Republic of Malawi

Ministry of Finance

Local Authorities Accounting and Financial Management Manual

Revised Edition

August 2020

TABLE OF CONTENTS

FOREWORD v
PREFACE vii
LIST OF ACRONYMS x
GLOSSARY OF DEFINITIONS xii
CHAPTER 1: POLICY AND REGULATORY FRAMEWORK 1
1.1 POLICY FRAMEWORK 1
1.2 LOCAL AUTHORITY FINANCIAL MANAGEMENT POLICIES 1
1.3 REGULATORY FRAMEWORK 13
1.4 GOVERNANCE FRAMEWORK 13
CHAPTER 2: CLASSIFICATION OF ACCOUNTS 21
2.1 THE LOCAL AUTHORITY CHART OF ACCOUNTS 21
2.2 AMENDMENTS TO THE CHART OF ACCOUNTS 23
CHAPTER 3: BUDGETING 49
3.1 DEFINITION OF BUDGET AND BUDGETING 49
3.2 OBJECTIVES OF BUDGETING 49
3.3 LOCAL AUTHORITY BUDGETING METHOD AND TYPES 49
3.4 MAIN BUDGET STAGES 50
3.5 FORMATS OF LOCAL AUTHORITY BUDGETS 50
3.6 PREPARATION AND APPROVAL OF BUDGET ESTIMATES 51
3.7 EXECUTION OF THE LOCAL AUTHORITY BUDGET 52
3.8 REVISION OF LOCAL AUTHORITY BUDGETS 52
3.9 CENTRAL GOVERNMENT TRANSFERS BUDGET GUIDELINES AND CEILINGS 52
3.10 BUDGETS UPLOADING IN IFMIS 52
3.11 CITIZENS BUDGET 52
CHAPTER 4: ACCOUNTING FOR REVENUE AND RECEIPTS 71
4.1 ACCOUNTING FOR LOCALLY GENERATED REVENUES 71
4.2 COMMERCIAL UNDERTAKINGS 75
4.3 CENTRAL GOVERNMENT TRANSFERS 77
CHAPTER 5: ACCOUNTING FOR EXPENDITURE 85
5.1 GENERAL PROVISIONS OF EXPENDITURE REGULATIONS 85
5.2 GENERAL PROVISIONS FOR PROCESSING PAYMENTS 86
5.3 PAYMENTS AND COMMITMENTS CONTROL 86
5.4 PROCUREMENT SYSTEM 87
5.5 PAYMENTS PROCESSING PROCEDURES 88
5.6 ACCOUNTING FOR WITHHOLDING TAX 94
5.7 EXPENDITURE CASH BOOK 95
5.8 THE COMBINED RECEIPTS AND PAYMENTS CASH BOOKS 95
5.9 DAILY CASH/BANK BALANCE STATEMENT 97

5.10 PAYMENT PROCEDURES FOR DONOR FUNDS 97
5.11 PAYMENT OF SALARIES AND OTHER EMPLOYEE COSTS 98
5.12 ACCOUNTING ENTRIES FOR PAYROLL 99

CHAPTER 6: MANAGEMENT OF BANK ACCOUNTS 107

6.1 AUTHORITY TO OPEN BANK ACCOUNTS 107
6.2 LOCAL AUTHORITY BANK ACCOUNTS 107
6.3 BANK RECONCILIATION 108
6.4 BANK RECONCILIATION PROCEDURES IN IFMIS 109
6.5 CCA FUNDED ACCOUNT BANK RECONCILIATION 111
6.6 MANAGEMENT OF POOL BANK ACCOUNT 115

CHAPTER 7: LEDGER MAINTENANCE PROCEDURES AND JOURNAL TRANSFER VOUCHERS 119

7.1 PURPOSE OF RECONCILING THE VOTES LEDGER 119
7.2 JOURNAL TRANSFER VOUCHERS 124
7.3 LEDGER MAINTENANCE PROCEDURES 131

CHAPTER 8: NON CURRENT ASSETS AND INVENTORY MANAGEMENT 135

8.1 NON CURRENT ASSETS 135
8.2 INVENTORY ACCOUNTING PROCEDURES 140

CHAPTER 9: RECEIVABLES AND PREPAYMENTS 150

9.1 DEFINITION 150
9.2 ACCOUNTING TREATMENT 150
9.3 ACCRUAL ACCOUNTING 151
9.4 REVENUES AND RECEIVABLES 151
9.5 MAINTENANCE OF RECEIVABLES RECORDS 153
9.6 BAD DEBTS 153
9.7 PROVISION FOR DOUBTFUL DEBTS 154

CHAPTER 10: PAYABLES, ACCRUALS AND COMMITMENTS 156

10.1 PAYABLES 156
10.2 ACCOUNTING FOR PAYABLES 156
10.3 ACCRUALS ACCOUNTING 157
10.4 COMMITMENT ACCOUNTING 157

CHAPTER 11: ACCOUNTING FOR INVESTMENTS AND BORROWINGS 161

11.1 INVESTMENTS 161
11.2 BORROWINGS 162

CHAPTER 12: ACCOUNTING FOR LOSSES 164

12.1 REPORTING A LOS 164
12.2 ACCOUNTING OBJECTIVES 164
12.3 LOSSES OF CASH VOTED EXPENDITURE 164
12.4 ACTION BY CONTROLLING OFFICER 165
12.5 AUTHORITY TO WRITE-OFF 166

12.6 ACCOUNTING ENTRIES 166
12.7 LOSS OF INVENTORY 167
12.8 LOSS OF THIRD PARTY/TRUST FUNDS AND APPLICATION FOR REFUNDS 167
12.9 PREPARATION OF THE ANNUAL STATEMENT OF LOSSES 167
CHAPTER 13: FINANCIAL REPORTING 171
13.1 REGULATORY FRAMEWORK 171
13.2 IFMIS REPORTS 171
13.3 MONTHLY FINANCIAL REPORTING 171
13.4 MONTHLY AND QUARTERLY REPORTS 174
13.5 FINAL ACCOUNTS 175
13.6 COMPONENTS OF LOCAL AUTHORITY FINAL ACCOUNTS 178
13.7 APPROVAL PROCEDURES OF FINAL ACCOUNTS 181
CHAPTER 14: RISK MANAGEMENT, INTERNAL CONTROLS AND AUDITING 200
14.1 RISK MANAGEMENT 200
14.2 INTERNAL CONTROL 201
14.3 THE ROLE OF ACCOUNTS STAFF DURING AUDIT, INSPECTIONS AND INVESTIGATIONS 203
14.4 AUDITING 204
CHAIRPERSON'S/ MAYOR'S FOREWORD 211
DISTRICT COMMISSIONER'S/ CHIEF EXECUTIVE OFFICER'S STATEMENT 212
STATEMENT OF MANAGEMENT RESPONSIBILITIES 213
STATEMENT OF FINANCIAL POSITION 214
STATEMENT OF FINANCIAL PERFORMANCE BY NATURE 216
STATEMENT OF CHANGES IN NET ASSETS/ EQUITY 217
STATEMENT OF CASHFLOW 218
NOTES TO THE FINANCIAL STATEMENTSFOR THE YEAR ENDED 30TH JUNE 2020 219

LIST OF APPENDICES

Appendix 1.1:	Directorate of Finance Annual Work Plan	19
Appendix 2.1:	Local Authorities Chart of Accounts	23
Appendix 2.2:	Chart of Accounts Programmes, Subprogrammes & Sub Subprogrammes	39
Appendix 3.1:	Output/Activity Based Budget	57
Appendix 3.2:	Consolidated Cost Centre Budget Summary	60
Appendix 3.3:	Personal Emoluments Schedule	64
Appendix 3.4:	Cash Flow Forecast Statement	65
Appendix 4.1:	Combined Receipts and Payments Cash Book	77
Appendix 4.1:	Donor Receipts Cash Book	79
Appendix 5.1:	General Expenditure Requisition	101
Appendix 5.2:	General Payment Voucher	102
Appendix 5.3:	Cheque Dispatch Register	103
Appendix 5.4:	Local Authority Payroll	105
Appendix 6.1:	Bank Reconciliation Statement	116
Appendix 7.1:	Expenditure Monitoring Return	124
Appendix 7.1:	The Journal	129
Appendix 7.2:	Journal Transfer Voucher (GP 38)	130
Appendix 8.1:	Non Current Asset Register	142
Appendix 8.2:	Stores Ledger	144
Appendix 8.3:	Stores Return Outward Note	145
Appendix 8.4:	Stores Requisition Note	146
Appendix 8.5:	Stores Issue Note	147
Appendix 8.6:	Stores Return Inward Note	148
Appendix 8.7:	Quarterly Stock Balance Report	149
Appendix 9.1:	Accounts Receivables Ledger	155
Appendix 10.1:	Invoices Register	158
Appendix 10.2:	Accounts Payables Ledger	159
Appendix 11.1:	Loans Ledger	163
Appendix 12.1:	Annual Statement of Losses Cash	168
Appendix 12.2:	Annual Statement of Losses Inventory	169
Appendix 13.1:	Monthly Statement of Consolidated Financial Report Summary	181
Appendix 13.2:	CDF Financial Return	190
Appendix 13.3:	Net Current Asset Statement	190
Appendix 13.4:	Output/Programme Based Progress Report	191
Appendix 13.5:	Monthly/Quarterly Financial Report	192
Appendix 13.6:	Statement of Financial Performance	197
Appendix 13.7:	General Rate Fund	199
Appendix 14.1:	Risk Register	209

FOREWORD

BACKGROUND

Arising from the implementation of the Decentralisation Policy, Government merged the District Commissioner's and Local Authority offices to form Assemblies in December, 1999. This merger necessitated the development of a uniform Accounting and Financial Management Procedures manual for the Assemblies. The District Commissioner's office was using Central Government accounting principles while the Local Authority offices were using a combination of Central Government and commercial accounting principles. The standardised Accounting and Financial Management Procedures manual was thus developed and issued out in August, 2001 and revised in May 2009.

REVISION OF THE MANUAL

Since the revision of the standardised Manual in 2009, several developments have taken place in the Fiscal Decentralisation reform process as well as public financial management systems. The Government of Malawi adopted the International Public Sector Accounting Standards (IPSAS) in 2011 and requires that all the Local Authorities prepare accounts that are compliant with IPSAS. The Government has also implemented the Integrated Financial Management Information System (IFMIS) in all the Local Authorities and is also planning to roll out the new chart of accounts and financial reporting formats in the Local Authorities. These public financial management interventions introduced by the Government are currently not supported by a document in form of a manual to guide the Local Authorities on the financial processes.

Arising from all these developments since 2009, it was imperative that the revised manual be revisited again so that it reflects current trends in the Fiscal Decentralisation reform process as well emerging reforms in public financial management systems.

OBJECTIVES

The objectives of the Local Authority Accounting and Financial Management Procedures manual include the following:

(a) To provide an operational guide to finance officers across all sectors of the Local Authority;
(b) To align the Local Authority accounting and financial management system to Generally Accepted Accounting Practices (GAAPs) as well as International Public Sector Accounting Standards (IPSAS);
(c) To align Local Authority financial management procedures to the Public Finance Management regulatory framework;
(d) To standardise the Local Authority accounting procedures thereby reducing the unwarranted financial management capacity constraints that emanate from varying funds management procedures placed on the Local Authorities by the different funds providers;
(e) To generate stakeholder confidence in the Local Authority accounting and financial management system; and
(f) To provide a basis for financial management decision making by Local Authorities.

METHODOLOGY

The review of the Local Authority Accounting and Financial Management Procedures Manual was undertaken through a task force that comprised of representation from Accountant General's Department and

Public Finance Management Systems Division under the Ministry of Finance, Economic Planning and Development; the Ministry of Local Government and Rural Development; the National Local Government Finance Committee and the Local Authorities.

A stakeholder's validation workshop was thereafter organised in order to get input from relevant stakeholders in the review of the Manual. The stakeholders invited were drawn from Public Finance Management Systems Division; Accountant General's Department; Central Internal Audit Unit; Ministry of Local Government and Rural Development; National Audit Office; the National Local Government Finance Committee, Malawi Local Government Association; the Local Authorities and Local Government Accountability and Performance (LGAP) project.

ACKNOWLEDGEMENT

The Ministry of Finance would like to express its sincere gratitude to all parties that participated in the revision of the Manual. The Ministry would further like to acknowledge the financial support rendered by the United States Agency for International Development (USAID) and the Foreign, Commonwealth and Development Office (FCDO), through the Local Government Accountability and Performance (LGAP) project towards the revision of the Local Authority Accounting and Financial Management Procedures Manual.

Hon. Felix Mlusu
MINISTER OF FINANCE

PREFACE

INTRODUCTION

The second edition of the Local Authority Accounting and Financial Management Procedures Manual was issued out in May 2009. Recent trends in the fiscal decentralisation reform and public financial management processes have called for revision of the second edition of the Manual to ensure that it reflects current accounting and financial management practices on the ground.

The Government of Malawi adopted the International Public Sector Accounting Standards (IPSAS) in 2011 and requires that all the Local Authorities prepare accounts that are compliant with IPSAS. The Government has also implemented the Integrated Financial Management Information System (IFMIS) in all the Local Authorities and is also planning to roll out the new chart of accounts and financial reporting formats in the Local Authorities. These public financial management interventions introduced by the Government are currently not supported by a document in form of a manual to guide the Local Authorities on the financial processes. The revised Manual therefore covers the new public financial management interventions that have been introduced by the Government to ensure that Local Authority financial management processes are in line with IPSAS and statutory requirements.

THE REVISED THIRD EDITION

Highlights of Added Features

This revised edition of the Local Authority Accounting and Financial Management Procedures Manual has the following added features:

(a) Reorganisation and consolidation of the Manual to avoid repetitions as well as bring consistency in the treatment of accounting transactions.
(b) Further to the legal provisions of the Local Government Act, 1998, this revised edition has taken into account provisions of the Public Finance Management legislative framework of the Public Finance Management Act, 2003, Public Procurement and Disposal of Assets Act, 2017 and the Public Audit Act, 2003 as amended.
(c) Mandatory adherence to the use of the Local Authority IFMIS.
(d) E-ticketing procedures including receipting of all monies and capturing in the IFMIS.
(e) Management of pool bank accounts due to sector devolution.
(f) Procedures for accounting for Work In Progress in LAs.
(g) Procedures for accounting for revenues and receivables in relation to property rates and business licenses.
(h) Detailed year end closing procedures for annual accounts by LAs.

General Outline

This revised edition is divided into 8 sections of 14 chapters as follows:

(a) Policy and Regulatory Framework.
(b) Chart of accounts and Budgeting.
(c) Revenues and Receipts.
(d) Expenditure
(e) Management of Bank Accounts.

(f) Ledger Maintenance Procedures and Journal Transfer Vouchers.
(g) Balance Sheet items.
(h) Financial reporting and Auditing.

Policy and Regulatory Framework

This section sets the Local Authority accounting and financial management system in perspective. It looks at the Local Authority:

(a) Policy framework;
(b) Regulatory framework;
(c) Governance framework;
(d) Financial management policies; and
(e) Accounting concepts and principles.

Chart of Accounts and Budgeting

The chart of accounts relates to the current harmonized one which is being used in LAs in the computerised Local Authority Integrated Financial Management Information System (IFMIS).

On budgeting, this revised edition looks at the current budget preparation, approval and execution processes. The section also provides procedures for uploading the approved budget in IFMIS. The detailed budgeting processes are contained in the Local Authority Budgeting manual which was issued out by the National Local Government Finance Committee (NLGFC) in 2007.

Revenues and Receipts

This section is a consolidation of all revenues and receipts for Local Authorities. The section looks at:

(a) Locally generated revenues;
(b) Commercial undertakings;
(c) Central Government Transfers; and
(d) Donor and Designated Funds.

Expenditure

This section outlines payment processing procedures, commitment control, and salaries and employee costs. The section further provides accounting transaction relating to donor funds as well as treatment of withholding taxes.

Management of Bank Accounts

This section looks at CCA funded bank account reconciliation, and management of pool bank account. Specifically, the section deals with Central Government Transfers to LAs in view of sector devolution.

Ledger Maintenance Procedures and Journal Transfer Vouchers

This sections outlines procedures for maintaining the Votes/general ledger including reconciliation with Accountant General Tabulations, and journal transfer vouchers. Users of the Manual are encouraged to refer to IFMIS Manual for procedures for general ledger maintenance and journals within IFMIS.

Balance Sheet items

The section looks at balance sheet items that must be accounted for by Local Authorities. These include non-current assets; inventory; receivables and prepayments; payables, accruals and commitments; Investments and borrowings; and accounting for losses.

Financial Reporting and Auditing

This section considers monthly, quarterly as well as annual financial reporting. It standardises the preparation of monthly and quarterly financial reports and annual financial statements so as to satisfy the financial reporting requirements of the different Local Authority stakeholders.

The section also looks at internal controls for risk mitigation and the framework for Local Authority audits in the context of both the Public Audit Act, 2003 as amended and the Local Government Act, 1998. It further considers the provision of an all-inclusive audit opinion on consolidated financial statements as one way of streamlining Local Authority audits.

The section also considers guidelines on audit responses to audit queries in view of the designation of District Commissioners/Chief Executives as Controlling Officers.

USERS OF THE MANUAL

The Local Authority Accounting and Financial Management Procedures Manual is ideally an operational guide to Local Authority Finance officers, across all sectors, in carrying out their accounting tasks. Local Authority Internal Auditors shall also use the manual to have a clear understanding of the accounting and internal control system they will be auditing.

Management of the Local Authority shall use the manual as a reference guide to the financial management policy issues that have been covered. The Finance Committee of the Assembly shall further be expected to be conversant with the provisions of the Manual.

Central Government agencies will be secondary users of the Manual. These include Treasury, the Accountant General's Department, the National Audit Office, the Ministry of Local Government and Rural Development, the National Local Government Finance Committee and devolved Line Ministries.

INTERPRETATION AND REVIEW

Requests for interpretation of specific aspects of the Manual should be addressed to the Secretary to the Treasury through the Secretariat of the National Local Government Finance Committee.

While the Manual has attempted to comprehensively cover the Local Authority Accounting and Financial Management System, the coverage may still not be exhaustive. Any suggestions for modifications and improvement should therefore be addressed to the Secretary to the Treasury through the Secretariat of the National Local Government Finance Committee for inclusion in subsequent revised editions.

This revised edition of the Manual will be subject to a complete review every five years in order to remain relevant through incorporation of emerging issues in accounting systems for Local Authorities as well as any public financial management reforms initiated by Government.

Mr Chauncy Simwaka
SECRETARY TO THE TREASURY

LIST OF ACRONYMS

AGD	Accountant General's Department
ADOF	Assistant Director of Finance
CCA	Credit Ceiling Authority
CCAS	Credit Ceiling Authority System
CDF	Constituency Development Fund
CE	Chief Executive
CPA	Corrupt Practices Act
CR	Credit
DC	District Commissioner
DOA	Director of Administration
dfla	Development Fund for Local Authorities
DR	Debit
ECB	Expenditure Cash Book
ETB	Extended Trial Balance
FIFO	First - In - First -Out
GAAP	Generally Accepted Accounting Practices
GFS	Government Financial Statistics
GPV	General Payment Voucher
GR	General Receipt
GRF	General Resource Fund
DOF	Director of Finance
IAS	International Accounting Standard
IFMIS	Integrated Financial Management Information System
IPDC	Internal Procurement and Disposal Committee
IPSAS	International Public Sector Accounting Standards
IT	Information Technology
JTV	Journal Transfer Voucher
LA	Local Authority
LDF	Local Development Fund
LGA	Local Government Act
LPO	Local Purchase Order
MDA	Ministries, Departments and Agencies
MISO	Management Information Systems Officer
MG	Malawi Government
MLGRD	Ministry of Local Government and Rural Development
MPSR	Malawi Public Service Regulations
MRA	Malawi Revenue Authority
MWK	Malawi Kwacha

NAO	National Audit Office
NLGFC	National Local Government Finance Committee
ORT	Other Recurrent Transactions
PAA	Public Audit Act
PAC	Public Accounts Committee
PAYE	Pay As You Earn
PE	Personal Emoluments
PFMA	Public Finance Management Act
PPDA	Public Procurement and Disposal of Assets Authority
PV	Payment Voucher
PVHO	Plant and Vehicle Hire Organisation
RBM	Reserve Bank of Malawi
RCB	Revenue Cash Book
RD	Refer to Drawer
SIN	Stores Issue Note
SRN	Store Received Note
TPMR	Third Party Money Register
WIP	Work - In - Progress

GLOSSARY OF DEFINITIONS

In this Manual, unless the context otherwise requires:

"**Act**" means the Local Government Act 1998.

"**Advances**" comprise of prepayment for services and goods to be received at a future date after the financial year and advances to staff.

"**Allocated stores**" means stores the cost of which is directly charged on the relevant programme, sub-programme and item of expenditure.

"**Accountable Stationery**" means stationery that requires local governments to fully account for every transaction entered into them e.g. receipt books, tickets, cheques, paying-in books, licence forms etc. Tight control over this stationary is important because unauthorised persons could use these documents to gain access to the Local Authority funds;

"**General Rate Fund**" comprise of the accumulated surplus / (deficit) of income over expenditure account. It represents the net worthyness of the local authority.

"**Bank**" means a financial organization or institution registered with the Reserve Bank of Malawi to provide banking services in accordance with the Reserve Bank Act.

"**Bank overdraft**" will comprise of balances of overdrawn bank accounts at the end of the financial year.

"**Cash in transit**" means all forms of monies as defined in these regulations being remitted or transferred from one office or place to another.

"**Chief Executive Officer**" means the controlling officer of a local government at a city or municipal level.

"**Creditors and accruals**" represent balances outstanding on suppliers accounts of goods and services which has not been paid by the end of the financial year.

"**Debtors**" comprise of debtors for services rendered by Local Authority and not yet paid for as at the end of the financial year.

"**Director of Finance**" means an officer in charge of accounting and financial management function of a a local government at district, city or municipal level.

"**District Commissioner**" means a controlling officer of a a local government at a district level

"**Local Authority**" means a local authority as defined by the Act.

"**Internal Control**" means the systems of control devised by management to ensure that the local authority's objectives and management policies are achieved and adhered to in a manner that promotes the economy, efficiency and effectiveness on the use of resources, that financial and other records are reliable and complete and that the local authority's assets and interests are safeguarded.

"**Investments**" comprises of the value of investment as valued in accordance with IPSAS and other underlying regulations

"**Land and building**" means land, buildings and enclosures which are owned, rented or occupied by the local authority.

"**loans**" comprise of the outstanding balances on loans of the LA. The balances will include the unpaid interest on such loans.

"**Loss**" means any loss, theft, deficiency, fraudulent payment, suppression of revenue, irrecoverable revenue, misappropriation, misuse or unauthorized damage or destruction.

"**Minister**" means the minister responsible for local governments.

"**Monies**" includes cash, cheques, postal and money orders, stamps and other negotiable instruments of monetary value.

"**Prepayments**" comprises of balances on accounts of suppliers of goods and services who have been paid before the end of the financial year but delivery of the goods and services are to be made after the close of the year.

"**Programme**" means a functional area under a vote which generates outputs.

"**Revenue collector**" means any officer, cashier, or any accounts staff appointed to receive or collect revenue.

"**Risk management**" means the establishment of policies, procedures and practices to identify, analyse, quantify, monitor, and control financial and other exposures of the local authority so as to minimize potential losses.

"**Secretary to the Treasury**" means the person designated as such under section 7 of the Public Finance and Accountability Act, 2003.

"**Standing Committee**" is a committee of the local authority as established under the Act.

"**Statement of cash flow**", also known as a cash flow statement, is a financial statement that shows how changes in a statement of financial position (Balance sheet) accounts and income affect cash and cash equivalents, and breaks the analysis down to operating, investing and financial activities.

"**Statement of financial performance**" also known as profit and loss statement, is a business financial statement that lists revenues, expenses, and net income throughout a given period.

"**Statement of financial position**", often called the balance sheet, is a financial statement that reports the assets, liabilities, and equity of an organisation on a given date. In other words, it lists the resources, obligations, and ownership details of an organisation on a specific day.

"**Stores**" means inventories of public assets, current or non-current, tangible or intangible, held by a local authority.

"**Work in progress**" comprises of either capital outlay or other long term outlay which is not completed by the end of the financial year.

"**Year**" means a financial year.

PART A
POLICY AND REGULATORY FRAMEWORK

CHAPTER 1: POLICY AND REGULATORY FRAMEWORK

INTRODUCTION

This Chapter introduces the policy, legal and institutional framework that regulates the Local Authority Accounting and Financial Management System. The Local Authority Accounting and Financial Management Framework is aligned to the Decentralisation reform process being implemented by the Government of Malawi as well as the Central Government accounting and financial management practices for consistency.

1.1 POLICY FRAMEWORK

The Decentralisation Policy seeks to achieve the following objectives:

(a) to create a democratic environment and institutions in Malawi for governance and development, at the local level which will facilitate the participation of the grassroots in decision-making;
(b) to eliminate dual administrations (field administration and local government) at the district level with the aim of making public service more efficient, more economical and cost effective;
(c) to promote accountability and good governance at the local level in order to help Government reduce poverty; and
(d) to mobilize the masses for socio–economic development at the local level.

1.2 LOCAL AUTHORITY FINANCIAL MANAGEMENT POLICIES

Financial management policies relate to accounting concepts and principles governing the Local Authority accounting system in line with Generally Accepted Accounting Practices (GAAPs) and International Public Sector Accounting Standards (IPSAS). These policies must be adhered to by Local Authorities in discharging their financial management responsibilities.

NON CURRENT ASSET

Non-Current Assets are those capital items owned by the LA both tangible and intangible which have a usable life of more than one year.

Acquisition

Purchase of Non-Current Assets shall relate to only those included in the approved budgets or supplementary estimates.

Non-Current Assets may be acquired through procurement or donations. Procurement shall be done in line with provisions of the PPDA, 2017 and Desk Instructions through the Internal Procurement and Disposal Committee (IPDC) of the Local Authority.

Capitalisation

Local Authorities shall capitalize all assets that are owned by and whose economic benefits shall accrue to the Local Authority. Construction projects that are in progress shall be treated as work in progress except

for community projects which shall not be capitalized but expensed during the year in which the expenditure is incurred.

Recognition

The cost of an item of property, plant, and equipment shall be recognized as an asset if, and only if:

(a) It is probable that future economic benefits or service potential associated with the item will flow to the entity; and
(b) The cost or fair value of the item can be measured reliably[1].

An item of property, plant, and equipment that qualifies for recognition as an asset shall be measured at its cost.

Where an asset is acquired through a non-exchange transaction, its cost shall be measured at its fair value as at the date of acquisition.

Records

Each LA shall prepare and maintain a Non Current Assets Register which includes all the Non Current Assets owned by the LA. The Fixed Asset module in the IFMIS should be used to record the assets and account for the same. All Non Current Assets should be reflected in the Statement of Financial Position.

Security

All Non Current Assets of the LA should be safeguarded and insured adequately from theft, fire, damage and abuse.

Depreciation

Local Authorities shall depreciate their Non Current Assets using the straight line method of depreciation. The recommended depreciation rates for Local Authority Non Current Assets are as follows:

Non Current asset category	Depreciation Period (Years)
Land	Nil
Buildings	20
Plant and machinery (e.g. fire engines, tractors, water bowsers)	7
Motor vehicles	5
Office equipment (e.g. printers)	4
Computers	3
Furniture and fittings	4

Note that leased assets shall be depreciated over the period of the lease.

The above policies shall take into consideration of any developments in IPSAS 17.

Review of Useful Economic Life

The useful economic life of Non Current Assets shall be reviewed by qualified valuers after expiry of the depreciation periods as stipulated above. Subsequent depreciation calculations shall be based on the revised useful economic life.

Revaluation

To ensure that Non Current Assets are reflected at their fair values in the Statement of Financial Position, Local Authorities shall periodically revalue their assets. All categories of Non Current Assets shall be re-valued at five-year intervals with the exception of computers which shall be revalued after two years. The revaluation exercise shall be undertaken by qualified valuers.

After recognition as an asset, an item of property, plant, and equipment whose fair value can be measured reliably shall be carried at a revalued amount, being its fair value at the date of the revaluation, less any subsequent accumulated depreciation, and subsequent accumulated impairment losses. Revaluations shall be made with sufficient regularity to ensure that the carrying amount does not differ materially from that which would be determined using fair value at the reporting date.

Disposal

It may become necessary to dispose of an asset where the useful life of the asset has expired, the asset has become expensive to run or maintain, or the asset is extensively damaged that it can no longer be used.

Where the asset was insured and has been damaged through accident, the LA shall claim from the insurance company where the asset was insured.

The following procedures shall be followed in the disposal of the Non Current Asset:

(a) Management shall pass a resolution at its meeting recommending the sale of the asset in question. A Board of Survey (that shall include an independent member such as PVHO for motor vehicle) shall be engaged to inspect the assets to be disposed of. The Board of Survey shall come up with its technical report of the assets to be disposed of.
(b) The Finance Committee of the Local Authority, upon receipt of a comprehensive technical report, shall ratify the asset disposal proposal which will have to be approved by the Local Authority.
(c) Management shall write NLGFC for consideration of the proposed board off.
(d) The assets shall be disposed of by competitive bidding through independent Auctioneers.
(e) The proceeds from the disposal of Non Current Assets shall be used for replacement of capital assets or such other expenditure as proposed by the Finance Committee and approved by the Local Authority.
(f) Once a Non Current Asset is disposed of, it should be marked "DISPOSED" in the Non Current Assets Register with reference to the relevant minutes of the Local Authority and official cash receipt number.
(g) Non Current Assets donated to other organisations on the approval of the Local Authority should be marked "DONATED" in the Non Current Assets Register with reference to the relevant minutes of the Local Authority and acknowledgement of the recipient.

1.2.1 CASH/BANK

Bank Accounts

(a) All Local Authorities shall open and operate bank account(s) with banks, which are registered under the Reserve Bank of Malawi Act.
(b) The following bank accounts shall be maintained by Local Authorities:

- Central Government transfers ORT bank accounts.
- An operating account in respect of locally generated revenue.
- An operating account in respect of commercial ventures.
- Staff salaries account.

- Staff revolving fund account.
- Donor/designated funds account(s).
- Development Accounts.

Where possible, Local Authorities shall be required to open specific bank accounts for specific projects as required by Development Partners with authority from the Accountant General.

(c) All monies collected from any source should be deposited **INTACT** into the LA's bank account(s) not later than the following working day.
(d) All payments of the LA should be made by **CHEQUE**.

Bank account signatories

(a) The DC/CEO shall be the principal signatory for all bank accounts of the LA.
(b) Signatories for Central Government transfers sector ORT bank accounts shall be categorised as follows:

Category A

- The District Commissioner (DC)/Chief Executive Officer (CEO)
- At most three Directors including Sector Heads

Category B

- Director of Finance
- Assistant Director of Finance

(c) The Accountant General's Desk Instruction requires that all category "A" signatories must be of grade P5 and above. In those LAs where the head of accounts is of grade P7 or above, he/she must be of category "A" signatory.
(d) For internal control reasons, no member of accounting staff other than the Head of Accounts of grade P5 or above shall be eligible to serve as a category "A" signatory.
(e) Signatories for all other bank accounts shall be categorised as follows:

Category A

- The District Commissioner (DC)/Chief Executive Officer (CEO)
- At least two Directors including Sector Heads

Category B

- Director of Finance
- Assistant Director of Finance

(f) The Finance Directorate should keep specimen signatures of all bank accounts in safe custody for security and reference purposes.
(g) Officers of the rank of Senior Executive Officer (Grade J) and below are not included on the panel of signatories, in line with the provisions of Treasury Instructions, and therefore cannot authorise cheque payments.
(h) In the unlikely event where the Local Authority has no officer at grades higher than grade J, the Local Authority shall seek authority from Accountant General through NLGFC for such officers to be included as signatories.

Cheque Signing Arrangements

(a) All cheques must be signed, depending on the limit of the amount, by two or three signatories as follows:

- Payments below MK100,000 (one hundred thousand Malawi Kwacha) must be signed by **TWO** signatories, of whom one must be from Category A and the other from Category B.
- Payments above and equal to MK100,000 (one hundred thousand Malawi Kwacha) must be signed by **THREE** signatories, two of whom must be from Category A and one from Category B.

(b) These limits are subject to review and at any given point in time, the revised limits as advised by the NLGFC shall prevail.

1.2.2 REVENUES

(a) All revenues of the Local Authorities shall be received or collected **only** by Cashiers or Collectors entrusted to collect money upon the issuance of an official cash receipt or ticket.
(b) All revenues collected should be remitted to the cashier and deposited INTACT. Where revenue collected is deposited directly to the bank by collectors, relevant receipt numbers must be endorsed on the deposit slips and immediately reconciled with the cashier. Each deposit slip shall be printed at the back by bank teller's machine.
(c) Local Authorities shall use internet banking facilities in liaison with AGD.
(d) The Cashiers or Collectors must make sure that un-banked money is kept in safe custody.
(e) All revenues shall properly and timely be recorded in IFMIS which hosts the books of accounts.

1.2.3 ACCOUNT RECEIVABLES

(a) All sums of money owing to the Local Authority from rates, trade activities and services rendered shall be recognized as debts of the Local Authority. Such debts shall be properly recorded in the books of accounts as Receivables upon raising of an invoice or a bill.
(b) All such debts shall be timely collected by the LA in accordance with the terms and conditions of the service rendered.
(c) If a rate payer fails to pay his or her rate charge within the due date; the Local Authorities shall surcharge according to the Local Government Act chapter 22:01.
(d) Debts proven to be un-collectible for various reasons shall be recommended to the Treasury through the Finance Committee of Local Authority and NLGFC for write off as bad debts in line with Section 90 of PFMA.

1.2.4 INVESTMENTS

(a) Local Authorities may invest any portion of their monies in any profitable investments, approved by the Local Authority and recorded as assets. Refer to Section 50 in LGA
(b) The LA shall prepare and maintain a register of all investments.

1.2.5 ACCOUNT PAYABLES

Local Authorities may accrue Payables only to the level of the provision in the annual or supplementary estimates of the LA. Therefore, Payables will be recognized in the books of accounts as soon as goods have been received and services provided. The Local Authorities shall ensure that Payables are paid within the agreed period of the service acquired.

1.2.6 INVENTORY

(a) Inventory shall comprise all office supplies, spare parts purchased for stock, and construction materials, among others.
(b) Inventory should be properly kept, recorded and accounted for.
(c) Obsolete, damaged and unserviceable Inventory shall be technically assessed before approval for disposal by the Finance Committee.
(d) Inventory shall be managed through the Inventory Module in IFMIS.

1.2.7 PROCUREMENT

(a) LA procurement shall be governed by the PPDA (2017), Public Procurement Regulations and Procurement Desk Instructions of the Public Procurement and Disposal of Assets Authority (PPDA)
(b) Each Local Authority shall establish an Internal Procurement and Disposal of Assets Committee (IPDC). The IPDC shall have representation of the Heads of Departments/Sectors. The DC/CEO shall not delegate the Chairpersonship of the IPDC.
(c) The IPDC will be responsible for all procurement in the Local Authority. The committee will handle requests for quotations, tender advertisement and evaluation of both quotations and tenders.
(d) At the end of each month, IPDC shall compile a report in respect of all procurements for the reporting month for submission to PPDA.
(e) Procurement thresholds shall be in accordance with Circulars/guidelines as provided by the PPDA from time to time.

1.2.8 SALARIES AND WAGES

Local Authorities shall pay salaries and wages to their staff on established and non-established positions respectively. Pension and gratuities shall be paid in accordance with the prevailing Local Authority's Conditions of Service. The Local Authority shall subject to financial analysis conducted by NLGFC and Local Authority approval seek further approval of the minister responsible for local government to determine the salaries and allowances payable to its employees.

1.2.9 STAFF LOANS AND ADVANCES

(a) Local Authorities may grant loans and advances to their staff in accordance with their staff conditions of services.
(b) Local Authorities shall establish a revolving fund, whose limit shall be assessed by the NLGFC and approved by the Finance Committee of the Local Authority, to cater for general staff advances.
(c) Local Authorities shall recover any loans and advances through uninterrupted payroll deductions within the agreed repayment period.
(d) All loans shall be made from the revolving fund only.

(e) The loans and advances shall only be provided through the loans and advances committee of the Local Authority.
(f) Local Authorities shall ensure that Staff Loans and Advances register is maintained.

1.2.10 LOANS AND BORROWING

(a) Local Authorities may provide loans, as approved by the Local Authority to other Local Authorities at an interest provided they have surplus funds in their General Rate Fund.
(b) Loan recovery shall be made according to the terms of the agreement.
(c) Local Authorities may obtain a loan from any source internally in accordance with Sections 48 and 49 of the LGA, 1998.

1.2.11 BUDGETING

(a) Local Authorities shall prepare annual estimates for revenues and expenditure not later than ninety (90) days before the commencement of the financial year next ensuing.
(b) The annual estimates shall be approved by the LA and forwarded to the NLGFC for consolidation.
(c) Local Authorities may prepare supplementary estimates and application for budgetary virements during the financial year and have them approved by the Local Authority through the NLGFC.

Supplementary estimates shall only apply when additional revenue sources have been identified within the year.

1.2.12 FINAL ACCOUNTS

(a) Local Authorities shall prepare and submit to the NLGFC their final accounts within four (4) months from the end of each financial year.
(b) The financial year of the Local Authorities shall be commensurate with that of the Central Government.

1.2.13 AUDIT

Local Authorities shall establish and maintain an Internal Audit Department, as a tool for management to enhance the internal control systems, and risk management.

The final accounts of the LA shall be subject to annual external audit, within six (6) months of the financial year end, by the Auditor General or anybody appointed by him.

The Internal Auditor shall report directly to the DC/CEO with copies of the Internal Audit Report to the Chairperson of the Finance Committee.

1.2.14 RETENTION OF RECORDS

Local Authorities shall retain accounting records and documents for periods as stipulated in the Treasury Instructions. Upon expiry of the retention period, the records and documents shall either be destroyed or sent to the National Archives Office. The destruction of accounting records shall be carried out in the presence of at least three officers who shall include the Police and National Audit Office and any other interest-

ed party that may be invited to be present. Destruction certificates must be signed by all officers witnessing the destruction and filed for reference.

1.2.15 BASIS OF ACCOUNTING

The statement of accounts shall be prepared in accordance with Generally Accepted Accounting Practices (GAAP) and International Public Sector Accounting Standards (IPSAS).

The LA statement of accounts shall present fairly the financial position and transactions of the LA. "Fair presentation" will normally be achieved by compliance in all material respect with proper Local Authority accounting practices and the broad accounting concepts outlined under Section 1.2.17 below.

1.2.15.1 Local Authorities

Districts have been preparing their financial statements on a cash basis while the Cities have been using accrual concept.

The two systems have been incorporated in this Accounting Manual particularly in the preparation of the monthly and annual financial statements. It is anticipated that the districts will gradually adopt the accrual concept for their accounting. However, any modification as a result of gradual adoption of Accrual accounting must be appropriately disclosed in the Notes to the Financial Statements.

Each LA shall prescribe in detail the accounting policies used in the preparation of the financial statements.

1.2.15.2 Cash Basis Accounting

Under cash basis accounting, revenues are recognized and recorded when cash is received, and expenditure is recorded when cash is paid. Consequently, the revenues not received at the end of the financial year are treated as arrears of revenue in the following year. Likewise, the outstanding bills at the end of the financial year are not taken into the accounts. The fixed assets purchased during the financial year are treated as revenue expenditure and written off in the year of purchase.

1.2.15.3 Accrual Basis Accounting

In contrast to the cash basis of accounting, the accrual basis recognizes revenue and costs accrued, that is as they are earned or incurred (and not as money is received or paid), and records them in the financial statements of the periods to which they relate. In the accrual basis of accounting fixed assets are depreciated over their useful lives, applying depreciation rates outlined in this Manual.

1.2.15.4 Revenue

Cash Accounting Basis

Revenue is realized, recorded in the accounting records, and reported in the financial statements in the period when cash or equivalents have been received.

Accrual Accounting Basis

Revenue is realized when a transaction or event occurs (and not when cash or its equivalents are received). Revenue is recorded in the accounting records and reported in the financial statements of the period to which it relates.

1.2.15.5 Expenditure

Cash Accounting Basis

Expenditure is recognized and recorded in the accounting records and reported in the financial statements of the period in which cash or cash equivalents have been paid.

Accrual Accounting

Expenditure is recognized when a transaction or event occurs (and not when cash or its cash equivalents are paid out). It is recorded in the accounting records and reported in the financial statements of the period to which it relates.

1.2.15.6 Accrued Assets

These include, among others, expected revenue from billed services from which cash or cash equivalents remain uncollected at the time of closing the financial period. The accounting treatment for accrued assets is as follows:

Cash Accounting Basis

The accrued assets will be maintained in registers for record purposes but will neither be recorded in the accounts nor be included in the financial statements for the period. Accrued assets for previous years that are collected in cash in subsequent periods are recognized and recorded in the period when cash is collected. They are reported in the financial statements during the period in which cash or cash equivalents will have been received.

Accrual Accounting Basis

The accrued assets are recognized and recorded at the time when a transaction or event occurs regardless of whether cash or cash equivalents have been received or not.

If cash has not been received by the end of the accounting period the balances on such accounts are reported in the financial statements as current assets for that period.

1.2.15.7 Accrued Liabilities

These include expenses such as electricity, water, telephone bills or salaries and wages that are due but which remain unpaid as at the close of the financial period. They are treated as follows:

Cash Accounting Basis

The unpaid expenses are recognized by listing them in memorandum registers as commitments. They are not recorded in the books of account. However, for information and planning purposes the schedules of the commitments and their values shall be noted and appended to the financial statements.

Accrual Accounting Basis

The unpaid bills as at the end of the period are recognized and recorded in books of account by means of adjustment through journal entries. They are reported in the financial statements for the accounting period in which the transaction or event occurred regardless of whether cash has been received or not.

1.2.15.8 Non- produced and Fixed Assets

Non-produced assets and fixed Assets are separate account classifications in the chart of accounts. Both represent those assets which yield benefit to the LA for more than one accounting period. Non-produced assets are natural resource assets such as land and forests owned by the LA. Fixed assets on the other hand are produced assets and are generally broken down into three categories:

(a) Buildings and structures (Non-residential buildings, residential buildings, roads and bridges, other structures).
(b) Machinery, furniture and vehicles (transport equipment, machinery and equipment, furniture and fixtures, aircrafts).
(c) Other fixed assets

Cash Accounting Basis

Under the cash accounting basis, expenditure incurred in acquiring assets is written off to the revenue account of the particular financial period. However, for their day-to-day management, a fixed assets register shall be maintained.

Accrual Accounting Basis

The assets are not fully charged to revenue in the period of acquisition but are carried in the books of account over their useful economic lives. A depreciation charge is computed annually over the assets' economic useful life and offset against the revenue of that period. A fixed assets register shall be maintained.

1.2.16 ACCOUNTING CONCEPTS

The accounting concepts governing the preparation of Local Authority statement of accounts shall be as follows:

Matching

Revenue income and expenditure shall be matched to the services provided in the same accounting period. This requires compliance with the concept of accruals for operating income and expenditure and interest.

Consistency

Consistent policies must be applied both within the accounts for a year and between years. Generally, a change in accounting policy should not be made unless it can be justified on the grounds that the new policy is preferable to the one it replaces because it will give a fairer presentation of the results and of the financial position.

Prudence

The accounts shall be prepared in accordance with the prudence concept. Income shall only be included to the extent that it can be realized with reasonable certainty, and proper allowance shall be made for all liabilities and losses.

Substance over form

The accounting statements shall be prepared so as to reflect the reality or substance of the transactions and activities underlying them, rather than only their formal character.

Materiality

Strict compliance, both as to disclosure and accounting principles, is not necessary where the amounts involved are not material to the fair presentation of the financial position of the authority and to an understanding of the statement of accounts by a reader.

1.2.17 ACCOUNTING PRINCIPLES

The following accounting principles are consistent with the accounting concepts outlined above and shall be followed in respect of the specific areas of income, expenditure and balances listed below:

Employee Costs

The full cost of employees shall be charged to the accounts of the period within which the employees worked. Accrual should be made for wages earned but unpaid at the year end.

Pension Costs

The cost of providing pensions for employees shall be charged in accordance with statutory requirements.

Premises related expenses

Premises related expenses, including property rents payable shall be accrued and accounted for in the period to which they relate.

Transport related expenses

Transport related expenses shall be accrued and fully allocated and charged to services in the period to which they relate.

Supplies and Services

The cost of supplies and services shall be accrued and accounted for in the period during which they were consumed or received. Accrual shall be made for all material sums unpaid at the year end for goods or services received or works completed. Stocks and work-in-progress should be included in the Statement of Financial Position at cost less an appropriate provision for obsolescence or loss in value.

eCosts of support Service

Cost of support services shall be fully charged to services in the period to which they relate.

Interest

Interest on external borrowing shall be accrued and charged in the accounts of the period to which it relates. Interest charges should be made on a fair basis, and at rates which are equivalent to actual rates in force.

Grants

Revenue based grants shall be accrued and credited to the accounts of the same period in which the expenditure to which they relate is charged. Where claims are not settled the best estimate of grant income shall be used. Capital grants shall be matched with the cost of the relevant assets.

Customer and client receipts

Customer and client receipts in the form of sales, charges and rents shall be accrued and accounted for in the period to which they relate. Provision shall be made for doubtful debts and known uncollectible debts should be written off.

Interest income

Interest income shall be accrued and accounted for in the period to which it related.

Investments

Investments in companies established for the promotion of Local Authority activities and in marketable securities shall be carried at cost less provision, where appropriate, for loss in value. Investments held by superannuation funds shall be carried at market value.

Provisions

Proper provisions are required for any liabilities or losses which are likely to be incurred, or certain to be incurred, but uncertain as to the amounts or the dates on which they will arise. Provisions may also be made for irregular but recurring types of expenditure. A typical example would be a Renewal and Repair Fund.

Reserves

Amounts set aside for purposes of falling outside the definition of provisions made above shall be considered as reserves, and transfers to and from them shall be distinguished from service expenditure disclosed in the statement of accounts. For each reserve established, the purpose, usage and the basis of transactions should be clearly identified.

Non Current Asset

Expenditure on the acquisition of a tangible asset, or expenditure which adds to, and not merely maintains, the value of an existing asset, shall be capitalized and be classified as a Non Current Asset, provided that the Non Current Asset yields benefits to the LA and the services it provides for a period of more than one year.

1.3 REGULATORY FRAMEWORK

The regulatory framework that governs the Local Authority accounting and financial management function is made up of the following:

(a) The Constitution
(b) Public Finance Management Act (PFMA), 2003
(c) Public Audit Act (PAA), 2003 as amended
(d) Public Procurement and Disposal of Assets Act (PPDA), 2017
(e) Local Government Act (LGA), 1998
(f) Corrupt Practices Act (CPA), 1995
(g) By-laws of the Local Authority
(h) GAAPS and IPSAS, 2013

At all times, Local Authority officers are expected to acquaint themselves with these legal instruments, in their current or revised state, in the discharge of their duties.

1.4 GOVERNANCE FRAMEWORK

Governance framework in the local authority is the responsibility of the Local Authority which is headed by the Chairperson / Mayor as the case be. The Chairperson and Mayor are assisted by the District Commissioner and Chief Executive Officer as head of the Secretariat of the Local Authority and city/municipal Authority respectively. The District Commissioner and Chief Executive Officer are designated as Controlling Officers as stipulated under Section 10 of the Public Finance Management Act, 2003 from which their authority is derived.

Supervision and regulation of Local Authority accounting and finance management is done by both Local Authority and Central Government institutions within the prescribed legal mandates.

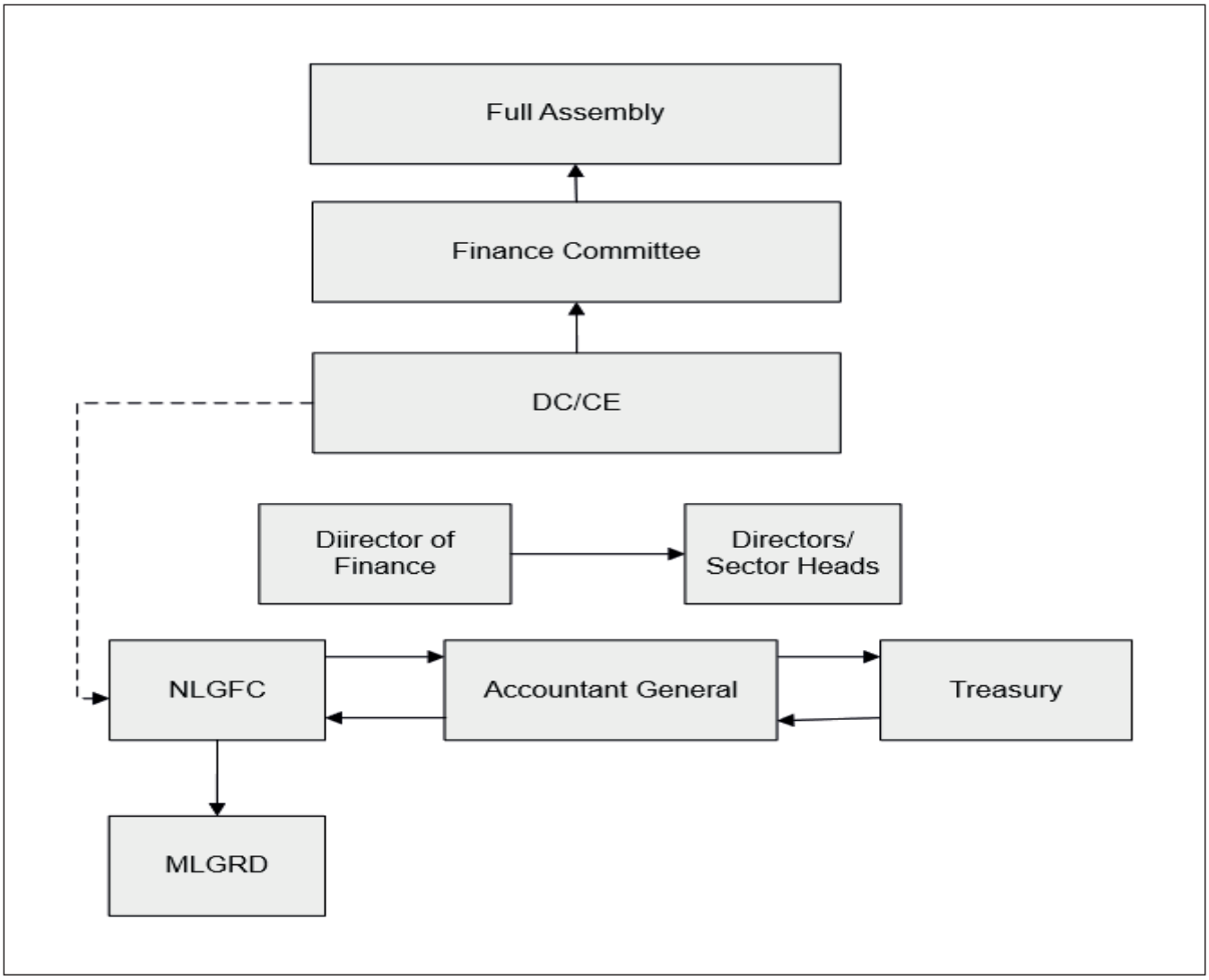
At the Local Authority level, the Local Authority, as stipulated in the LGA, Chapter 22:01 and in line with the Decentralisation Policy of 1998, has the overall mandate over the accounting and financial management function of the Local Authority. The Finance Committee of the Local Authority has delegated authority of the Local Authority over specific and operational oversight function of the Local Authority accounting and financial management system as provided in Section 15 of the Local Government Act, 1998.

Section 3 of the Public Finance Management Act (PFMA) 2003 stipulates that the overall responsibility for Public Financial Management rests with the Ministry of Finance. The Secretary to the Treasury therefore, under the delegated authority of the Minister of Finance, must fulfill this responsibility in terms of the Constitution and PFMA 2003. Section 149 of the Constitution mandates the National Local Government Finance Committee (NLGFC) with accounting and financial management regulatory functions of the Local Authorities. At the Centre therefore, the Ministry of Finance (both Treasury and the Accountant General) and the NLGFC provide the accounting and financial management oversight function to Local Authorities.

1.4.1 Specific Roles of Regulatory Bodies and Offices

Institutional Reporting Framework

The LA accounting and financial management institutional reporting framework is as illustrated below:



Roles of the Local Authority

The Local Authority represents the financial management policy formulation body at the local level. In the absence of the elected members, all financial management policy issues requiring their authority shall be referred to the Minister responsible for Local Governments through the National Local Government Finance Committee.

The roles of the Local Authority include the following:

(a) The Local Authority shall establish and maintain a General Rate Fund, and any other fund as deemed necessary, and monies received by the Local Authority by way of revenue and grants shall be paid into such a fund, and all expenses incurred by the Local Authority in the execution of the powers and duties conferred upon it by the LGA, Chapter 22:01 **of the Laws of Malawi** shall be defrayed out of such fund;

(b) The Local Authority may, from time to time issue instructions with regard to the general management, supervision and control of funds;
(c) The Local Authority shall sanction the opening and maintenance of bank accounts for all revenues and other monies raised or received by it under the LGA, Chapter 22:01 of the Laws of Malawi or any other written law;
(d) The Local Authority may, subject to the provisions of the PFMA, 2003 and LGA, Chapter 22:01 raise loans within Malawi of such amounts, from such sources, in such manner, for such purposes and upon conditions as the Minister responsible for Local Government, in consultation with the Minister responsible for Finance may approve;
(e) The Local Authority may invest any portion of its monies in Government Treasury Bills or in other investments as may be approved by the Local Authority as prescribed in Section 50 of LGA;
(f) The Local Authority shall, not later than ninety days before the commencement of the financial year next ensuing, approve detailed estimates of its revenue and expenditure for such financial year, and shall submit such estimates to the NLGFC for consolidation;
(g) The Local Authority may in any year prepare and approve supplementary estimates of revenue and expenditure and such estimates shall be submitted to the NLGFC for consideration;
(h) The Local Authority shall consider, on a quarterly basis, a report from the Finance Committee, on the financial performance of the Local Authority; and
(i) The Local Authority shall approve final audited accounts of the Local Authority within six months from the end of each financial year.

Roles of the Finance Committee

All matters relating to the raising of revenue, the expenditure of money, the general supervision and control of all financial matters and implementation of financial policy as set by the Local Authority shall be handled by the Finance Committee. The roles of the Finance Committee shall include the following:

(a) To review the annual estimates of expenditure and revenue from Service Committees of the LA, consolidate and submit its recommendations to the Local Authority for approval;
(b) To recommend applicable rate levies to the LA;
(c) To make recommendations on investments to the LA;
(d) To receive and consider reports from both internal and external auditors and take appropriate action;
(e) To make sure that all Local Authority assets are properly owned, valued and adequately insured;
(f) To make recommendations regarding the write off of irrecoverable debts or deficiencies in cash and inventory in consultation with NLGFC;
(g) To consider all proposals to raise loans and to make recommendations to the LA;
(h) To consider and make recommendations on supplementary estimates and the reallocation of estimates;
(i) To compare and monitor the actual revenues and expenditure with the approved estimates on a monthly basis and recommend necessary measures; and
(j) To consider, not less than once in every quarter, the collection of revenue and to issue instructions as it may deem fit to improve its collection.

These roles have to be done in consultation with NLGFC.

Roles of District Commissioners and Chief Executive Officers

In line with the Fiscal Decentralisation process, District Commissioners (DC) and Chief Executive Officers (CEO) are the Controlling Officers of the Local Authorities. The following are therefore responsibilities of the DC and CEO as stipulated in the PFMA, 2003:

(a) The DC/CEO shall ensure that the provisions of the PFMA, 2003 are complied with.
(b) Provide advice on financial management to the LA.
(c) Ensure that all accounts and records relating to the functions and operations of the Local Authority are properly maintained.
(d) Ensure that all necessary precautions are taken to safeguard the collection and custody of public funds.
(e) Ensure that all expenditure is properly authorized and applied to the specific purposes for which it is appropriated.
(f) Ensure that there is no over-expenditure or over-commitment of funds and a review is undertaken each month to ensure that there is no such over-expenditure or over-commitment.
(g) Ensure that the collection of public money is according to approved plans and the estimates.
(h) Ensure that all expenditures are incurred with due regard to economy, efficiency and effectiveness and the avoidance of waste.
(i) Ensure that all necessary precautions are taken to safeguard public resources.
(j) Ensure that any tax, duty, fee, levy or other charge imposed by legislation for which the Local Authority is responsible is collected promptly and to the fullest extent.
(k) Confirm that any proposal to charge for the supply of goods or services is consistent with the economic and fiscal policy of the Government.
(l) Ensure that accurate and reliable monthly financial reports are prepared and submitted to the Finance Committee, the NLGFC and Ministry of Finance by the 10th of the ensuing month.
(m) Ensure that final accounts are prepared within four months of the financial year end and audited and submitted to the Local Authority within six months of the financial year end.
(n) Ensure that after the first six (6) months of each financial year and at such other times as required by the NLGFC reports are submitted on management of funds provided for the achievement of the outputs of the Local Authority.
(o) Ensure that any financial information required by any Standing Committee is submitted to that Committee accurately and promptly in line with PFMA 2003.
(p) Ensure that an effective system of internal control is developed and maintained including an effective internal audit function.
(q) Ensure that all officers of the Local Authority are aware of their duties and responsibilities under the Local Government Act, 1998 and any other written law as spelt out in Section 1.3 above.
(r) Ensure that all financial obligations of the Local Authority, irrespective of the officer's tenure of office, are settled.
(s) To ensure that all audit queries, irrespective of the officer's tenure of office, are adequately responded to within 14 days of receipt of the auditor's report in line with the provisions of Section 14 (1) of the PAA, 2003 as amended.

The responsibility of a Controlling Officer shall not be derogated or reduced by reason of any delegation of functions by him to another person. A Controlling Officer in breach of his responsibilities is liable to disciplinary action under Section 87 of the PFMA, 2003.

Roles of the Director of Finance

The Director of Finance (DOF) at the Local Authority performs the daily management function of the public funds. The DOF is answerable to the DC/CEO and oversees the work of all finance officers across all sectors and departments of the Local Authority. In overseeing the work of all finance officers of the Local Authority, the DOF shall prepare an annual work plan (Appendix 1.1) which shall be submitted to the DC/CEO with a copy to the NLGFC by 30th July (covering the whole financial year). The work plan shall be reviewed monthly by the DOF and his team. The specific duties and responsibilities of the DOF include the following:

(a) Advising management of the Local Authority on all financial matters;
(b) Preparation and consolidation of draft annual estimates for the consideration of management and the Finance Committee;
(c) Maintenance of proper books of accounts of the Local Authority including ensuring that all transactions are posted in IFMIS;
(d) Preparation of monthly financial reports and annual financial statements;
(e) Ensuring that the Local Authority accounting and internal control system is operating properly;
(f) Preparation of revenue performance analysis reports, aimed at enhancing revenue mobilisation strategies of the Local Authority, on a quarterly basis for the consideration of management and the Finance Committee not later than 10 days after the quarter;
(g) Ensuring the timely collection of debts and payment of Local Authority obligations;
(h) Coordinating the compilation of timely and adequate audit responses;
(i) Ensuring that all assets are adequately insured;
(j) Preparation and submission to management of an analysis, in terms of viability and profitability, of proposed and actual investments of the Local Authority;
(k) Ensuring that all payments are within the approved estimates;
(l) Ensure that the chart of accounts is updated as need arises from time to time, in liaison with NLGFC;
(m) Facilitating internal training of finance personnel on accounting and financial management;
(n) Ensure that IFMIS month end, quarter end and year end runs are undertaken after all adjustments have been posted;
(o) Ensuring that IFMIS database is secure and safe from any manipulation in constant liaison with the MISO; and
(p) Supervising the staff under his or her control.

The responsibility of the Director of Finance shall not be derogated or reduced by reason of any delegation of functions of him/her to another person. The Director of Finance in breach of his/her responsibilities is liable to disciplinary action including surcharge.

The Director of Finance shall ascribe responsibilities to all accounting officers under the Finance Directorate as part of strengthening internal controls and subject to directives from Government relating to changes in accounting procedures.

Roles of the National Local Government Finance Committee

The National Local Government Finance Committee (NLGFC) is a body established under the provisions of Section 149 of the Constitution and regulates the Local Authority accounting and financial management system. The roles of the NLGFC include the following:

(a) Receiving, reviewing and consolidating Local Authority budgets for submission to Parliament for noting by the Minister responsible for Local Governments.

(b) Ensuring that Local Authority budgets are prepared in accordance with policy guidelines and set procedures and that development programmes are in line with national priorities.
(c) Administering the system of Intergovernmental Fiscal transfers to Local Authorities.
(d) Assisting Local Authorities in the implementation of revenue mobilisation strategies.
(e) Receiving, reviewing and consolidating financial reports from Local Authorities and giving feedback to the Local Authorities within ten days of receiving the financial reports.
(f) Providing technical support in the preparation of Local Authority final accounts.
(g) Facilitating the external audit of Local Authority final accounts by the Auditor General.
(h) Following up on audit queries arising from the audit of Local Authorities and imposing surcharges on officers responsible for financial mismanagement.
(i) Provide Help Desk assistance to Local Authorities on IFMIS.
(j) Liaising with MLGRD and Accountant General on training of accounting staff and other LA staff.
(k) Development and review of financial management systems.

Role of the Accountant General

The Accountant General is responsible for setting policies and standards regarding accounting practices in respect of public finance management by Government Ministries, Departments and agencies (MDAs).

The Accountant General shall therefore, in liaison with the NLGFC, advise Local Authorities on policies regulating management of public resources.

Role of the Auditor General

According Section 54 of the LGA, 1998; Sections 83, 84 (3) and 86 of the PFMA, 2003, and Section 6 (1) of the PAA, 2003 as amended, the audit of Local Authority accounts is the responsibility of the Auditor General. Annual audits of Local Authorities shall be carried out by the Auditor General or his appointee. On request of the Local Authority or NLGFC, the Auditor General or his appointee shall undertake investigative audits of the Local Authorities.

The Auditor General shall give his audit reports to the Local Authority, the NLGFC and the Minister responsible for Local Governments, as prescribed in Section 54 (3) of the LGA.

Appendix 1.1: Directorate of Finance Annual Work Plan

LOCAL AUTHORITY:																		
FINANCIAL YEAR:																		
Output	**Activi-ties**	**Performance Indicator**	**Tar-get**	**Responsible officer**	**Implementation Time Frame**												**Annual budget**	**Financed By**
					7	8	9	10	11	12	1	2	3	4	5	6	MWK		
Output 1	Activity 1.1	Indicator 1.1.1			x	x	x	x	x	x	x	x	x	x	x	x		CG Transfers	
	Activity 1.2	Indicator 1.2.1					x	x	x	x								Locally Generated Revenues	
	Activity 1.3	Indicator 1.3.1								x	x	x						CG Transfers	
Sub total																			
Output 2	Activity 2.1	Indicator 2.1.1					x	x	x									CG Transfers	
	Activity 2.2	Indicator 2.2.1					x	x	x									Locally Generated Revenues	
	Activity 2.3	Indicator 2.3.1									x	x	x	x				Locally Generated REV-ENUES	
Sub total																			
Output 3	Activity 3.1	Indicator 3.1.1					x	x	x									CG Transfers	
	Activity 3.2	Indicator 3.2.1				x	x				x	x							
	Activity 3.3	Indicator 3.3.1							x	x								CG Transfers	
	Activity 3.4	Indicator 3.4.1							x										
	Activity 3.5	Indicator 3.5.1							x									CG Transfers	
	Activity 3.6	Indicator 3.6.1					x	x	x									GTZ	
Sub total																			
TOTAL BUD-GET																			

PART B
CHART OF ACCOUNTS AND BUDGETING

CHAPTER 2: CLASSIFICATION OF ACCOUNTS

INTRODUCTION

The Chart of Accounts is the coding structure of nominal accounts designed to provide a framework for budgeting and financial reporting. It is used to identify nominal accounts in the books of accounts and assists in grouping and classifying accounts. The Local Authority chart of accounts has been designed to harmonise the Central Government, Donor and Local Authority reporting systems. The chart of accounts as introduced in this Chapter is the one that is used in the Integrated Financial Management Information System (IFMIS). The chart of accounts is compliant with Government Financial Statistics (GFS) coding requirements.

2.1 THE LOCAL AUTHORITY CHART OF ACCOUNTS

The Local Authority chart of accounts has twelve (12) levels of reporting with a total of thirty-three (33) digits. This meets the financial reporting requirements of various stakeholders of Local Authorities. The reporting levels in the Local Authority chart of accounts are as follows:

(a) Vote code
(b) Budget Type
(c) Cost centre
(d) Programme, Subprogramme and Sub-subprogramme
(e) Function
(f) Fund
(g) Project
(h) Objective
(i) Output
(j) Activity
(k) Location
(l) Item and Sub Item
(m) GFS

2.1.1 Local Authority Code

The Local Authority Code of reporting identifies the name of the Local Authority. Local Authorities are identified by a **three-digit** code. The coding has been adopted from the votes assigned to the Local Authorities by the Ministry of Finance.

2.1.2 Budget Type

This identifies the budget/account type of the revenue or expenditure item being reported on and has a **single digit** code.

2.1.3 Cost Centre

This covers the sectors of the Local Authorities. The sectors include those that have been devolved from Central Government to the Local Authorities. Each cost centre has been assigned a **three-digit** code.

2.1.4 Programme, Subprogramme and Sub-subprogramme

Coding at these three levels covers the Programmes, Subprogrammes and Sub-subprogrammes devolved by different sectors from the centre to the Local Authorities. It also includes programmes that Local Authorities have traditionally been responsible for. The Programmes and Subprogrammes have been assigned **one digit each** with the Sub-subprogrammes assigned **two digits.**

2.1.5 Function

This level of reporting meets the distinct Committee structure of reporting for Local Authority as required by both the Decentralization Policy and the LGA, 1998. **Two digits** have been assigned to this level of reporting.

2.1.6 Fund

This level defines the sources of funds for the implementation of different activities of Local Authorities. A **three-digit** code has been assigned for this level of reporting.

2.1.7 Project

Local Authorities are responsible for the implementation of projects at the local level. A **three-digit** code has been assigned to assist stakeholders track fund allocation and costs to individual projects.

2.1.8 Objective, Output and Activity

Local Authorities are implementing Output Based budgets which define the broad Programme objectives, desired outputs and prioritised activities to be implemented in the course of the financial year. Correspondingly then, a segment that reports on the budget objectives, outputs and activities has been introduced. This will facilitate output and activity progress reporting by Local Authorities.

The Objective and Output levels of reporting have been assigned **two digits each** while the Activity level of reporting has been assigned **three digits.**

2.1.9 Location

Stakeholders will also be interested to know the spread of projects in a particular Local Authority by ward. A **two-digit** code has been assigned to take care of this requirement.

2.1.10 Item and Sub item

Items identify the revenue and expenditure groupings that will be reported in the financial statements. Sub items are the revenue and expenditure details under each grouping of revenue and expenditure. The Item

and Sub item level of reporting further defines the budget line items in the preparation of the itemised budgets. **Two digits** have been assigned for the Items and **two digits** for the Sub items.

The existing Chart of Accounts shall be used in IFMIS until directed otherwise by NLGFC.

The detailed chart of accounts is presented in **Appendix 2.1** below.

2.2 AMENDMENTS TO THE CHART OF ACCOUNTS

The National Local Government Finance Committee shall be responsible for amending the Local Authority chart of accounts in consultation with Treasury and Accountant General's Department. A Local Authority that has planned to implement a new activity that is not covered by the coding in the defined chart of accounts shall seek approval from the Secretary to the Treasury through the NLGFC for the required codes.

Appendix 2.1: Local Authorities Chart of Accounts

Description	Number of Characters		Segment	
Assembly Code	3			
Account Type	1			
Cost Centre	3			
Programme, Subprogramme & Sub-Sub programme	4		1	
Function	2			
Fund	2			
Project	3			
Objective	2			
Output	2		2	
Activity	3			
Location	4		3	
Item & Subitem	4			
Total Number of Codes	**33**			
ASSEMBLY VOTES				
Assembly	**Vote**		**Assembly**	**Vote**
Blantyre City	580		Kasungu District	780
Lilongwe City	590		Likoma District	790
Mzuzu City	600		Lilongwe District	800
Zomba City	610		Machinga District	810
Balaka Town	620		Mangochi District	820
Dedza Town	630		Mchinji District	830
Karonga Town	640		Mmbelwa District	840
Kasungu Town	650		Mulanje District	850
Liwonde Town	660		Mwanza District	860
Luchenza Town	670		Neno District	870
Mangochi Town	680		Nkhata Bay District	880
Salima Town	690		Nkhotakota District	890
Balaka District	700		Nsanje District	900

Description	Number of Characters		Segment	
Blantyre District	710		Ntcheu District	910
Chikwawa District	720		Ntchisi District	920
Chiradzulu District	730		Phalombe District	930
Chitipa District	740		Rumphi District	940
Dedza District	750		Salima District	950
Dowa District	760		Thyolo District	960
Karonga District	770		Zomba District	970
Budget Type				
Budget Type	**Code**			
Recurrent	1			
Development	2			
Revenues	3			
Advances	4			
Assets	5			
Liabilities	6			
Capital	7			
COST CENTRES				
Cost Centre	**Code**		**Cost Centre**	**Code**
Headquarters	001		Commerce & Trade	007
Agriculture	002		Gender & Community Services	008
Water Development	003		Environment	010
Rural Housing	004		Fisheries	011
Education	005		Labour	012
Health & Social Services	006		National Registration Bereau	013
FUNCTION				
Function	**Code**		**Function**	**Code**
Finance & Audit	01		Works	04
Planning & Development	02		Health & Environment	05
Education	03		Human Resources	06
SOURCE OF FUND				
Fund	**Code**		**Fund**	**Code**
Government of Malawi	01		Nordic Development Fund	29
International Fund of Agriculture Development	02		Food and Agriculture Organisation	30
International Development Association	03		Kuwait Fund	31
European Development Fund	04		World Vision	32
African Development Fund	05		Finish Department of International Development Corporation	33
African Development Bank	06		Dutch	34
United States Agency fo International Development	07		OPEC Fund	35

Description	Number of Characters		Segment	
United Nations Industrial Development Organsition	08		Build Operate Transfer	36
United Nations Chidren's Education Fund	09		Icelandic International Development Agency	37
United Nations Fund for Population Agency	10		DFID	38
United Nations Development Programme	11		MACRO International	39
United Nations Capital Development Fund	12		Swedish	40
Stagecoach	13		African Capacity Building Foundation	41
Overseas Development Agency	14		United Nations High Commissioner for Refugees	42
Norwegian Agency for Development	15		African Centre for Technology Studies	43
Irish Aid	16		National Aids Commission	44
Kredistanstalt fur Miederaubuf	17		United Nations Chidren Funds	45
Japanese International Co-operation Agency	18		French Government	46
Japanese Government	19		Bill Gates Foundation	47
Deutsche Gesellsshaft fur Techniche Zusammena	20		Save the Children Federation - USA	48
Federal Republic of Germany	21		The World Bank	49
European Union	22		Centre for Disease Control	50
Danish International Development Association	23		The Global Fund	51
British Government	24		Locally Generated Revenues	80
Bank of Arab Development Agency	25		Malawi Social Action Fund	81
Southern Africa Development Community	26		National Roads Authority - HIPIC	82
China	27		Local Development Fund	85
Canadian International Development Agency	28			
PROJECTS & LOCATION				
Project Category	**Code**		**Location**	**Code**
Hard	001 -'500		Location	0001 -9999
Soft	501 - 999			
LIST OF ITEMS & SUBITEMS				
ITEMS			**SUBITEMS**	
Description	**Code**		**Code**	**Description**
REVENUE				
Government Transfers				
General resource fund	60		01	General Resource Fund Receipts

Description	Number of Characters		Segment	
Sector funds	61		01	Sector Fund Receipts
Chiefs honorarium fund	62		01	Chiefs honorarium fund Receipts
Chiefs Operation fund	63		01	Chiefs Operation fund Receipts
Constituency Development Fund	64		01	Constituency Development Fund
Infrastructure Fund	65		01	Infrastructure Fund Receipts
Salary subsidy	66		01	Salary Subsidy Receipts
Locally Generated Revenue				
Central Government Property Rates	67		01	Central Government Property Rates
Other Property Rates	68		01	Residential
			02	Commercial
			03	Traditional Housing Areas
			04	Special Areas
			05	Ground Rent
			06	Surcharge on Rates
Income from Market Establishments	69		01	Market Fees
			02	Butchery Fees
			03	Slaughter Fees
			04	Rental - Shops and Food stalls
			05	Water Sales
			06	Ice Sales
			07	Market Ground Charges
Income from commercial undertakings	70		01	Accomodation Fees
			02	Camping Fees
			03	Food Sales
			04	Minerals Sales
			05	Beer Sales
			06	Spirits Sales
			07	Property Rental Fees
			08	Livestock Sales
			09	Hall Hire Fees
			10	Other Sales
Fees and Service Charges	71		01	Hire Charges

Description	Number of Characters		Segment	
			02	Car Park Fees
			03	Public Convenience Fees
			04	Bus Depot Fees
			05	Forestry Products Sales
			06	School Fees
			07	Printing Fees
			08	Medical Fees
			09	Drugs Sales
			10	Passport Fees
			11	Registration Fees
			12	Cleaning Fees
			13	Cemetary & Mortuary Fees
			14	Recreational Fees
			15	Plant & Flower Sales
			16	Advertising Fees
			17	Interest Income
			18	Estate Fees
			19	Royalty Fees
			20	Refuse Collection Fees
			21	Decorations & Display Fees
			22	Vegetable & Fruit Sales
			23	Septic Tank Emptying Fees
			24	Hedge Trimming Fees
			25	Entry Fees
			26	Plot Application Fees
			27	Plot Transfer Fees
			28	Consent Fees
			29	Blockage Clearing Fees
			30	Burial Fees
			31	Spray Fees
			32	Commission Received
			33	Development Fees
			34	Planning Fees
			35	Sale of Materials and Containers
			36	Sale of Refuse Bins
			37	Sale of Coffins
			38	Sale of Tender Documents
			39	Asset Disposal
			40	Recovery of Legal Costs
			41	Administrative Charges Recovered
			42	Medical Cards
			43	Food Handlers Fees

Description	Number of Characters		Segment	
			44	Sale of Class Products
			45	Maternity Fees
			46	Undertakers Fees
			47	Interment Fees
			48	Refund of Industrial Levy
			49	Fire Call Charges
			50	Fire Fighting Training Fees
			51	Swimming Pools - re-filling
			52	Ditch and Blockage Clearing
			53	Sewerage Tariff Charges
			54	Sewerage Industrial / Trade Effluent
			55	Sewerage Connection Fees
			56	Septic and Conservancy Effluent Treatment
			57	Gardener's Course
			58	House Rent
			59	Grass mowing
			60	Tree Cutting/Felling
			61	Planting Design
Fees and Service Charges	71		62	Consultancy Fees
			63	Sale of Wreaths
			64	Sale of Veg & Fruits trees
			65	Park Entry Fees and Pavilion Hire
			66	Fuel Wood Sales
			67	Vandalism fine
			68	Tree Cutting / Felling
			69	Sale of house-plans
			70	Photo Shooting Charge
			71	Survey fees
			72	Medical Examination Fees
			73	Change of Ownership Application
			74	Rates Clearance Certificate Fee
			75	Sale of San plant
			76	Pest and Disease Control
			77	Title Deeds
			78	Auction Sales Fees
			79	Insurance Claims
			80	Sale of tree planks

Description	Number of Characters		Segment	
Licences & Permits	72		01	Hawker Licenses
			02	Business Licence
			03	Liquor Licence
			04	Marriage Certificates
			05	Permit Fees
			06	Landscape Maintenance Contracts
			07	Plant Design
			08	Maize Mill Licences
			09	Land Lease
			10	Bill Boards and Banners
			11	Felling Permits
			12	Occupation Certificates
Donor Funds	73		01	Donor Funds Receipt
EXPENDITURE				
Personal Emoluments				
Direct Staff (commercial undertakings)	45		01	Salaries
			03	Wages
			05	Professional Allowance
Direct Staff (other departments)	46		08	Housing Allowance
			09	Special Medical Aid
Government Paid Staff	10		11	Honoraria
			13	Duty & Dirt Allowance
			14	Overtime Allowances
			15	Entertainment Allowance
			17	Chauffer Allowance
			18	Fringe Benefits
			24	Duty & Dirt Allowance
			38	Education Advance for Contract Officers
			55	Responsibility Allowance
			80	Pension contributions
			81	Leave Grant
			82	Housing Subsidy
			83	Travel Allowance (Leave Grant)
			84	Contribution to Gratuity Fund
			85	Group Accident Allowance
			85	Bonus and Commuted Allowance
			86	Commission
			87	Industrial Levy

Description	Number of Characters		Segment	
			88	Recruitment Costs
			89	Bicycle Allowance
			90	Severance Allowance
			91	Fuel Allowance - Contract Officers
			92	Water Allowance
			93	Education Allowance
			95	Security Allowance
			96	Gardner's Allowance
			97	Ground Telephone
			98	Electricity Allowance
			99	Cell phone Allowance
Other Recurrent Transactions				
Chiefs emoluments	47		06	Chiefs Honorarium
Chiefs expenses	48		01	Chiefs expenses
Assembly and Functions	49		01	Assembly Subscriptions
			02	Ward Allowances
			03	MA Sitting Allowances
			04	Members Accommodation
			05	Special Events
			06	Inter -City/District Mayor's (Chairperson) Floating Trophy
			07	sponsorship of sporting activities
			08	Twining Expenses
			09	Meetings
HIV/AIDS Intervention	50			
Debt Servicing	51		01	Loan Repayments
			02	Interest Payments
Operational expenses from commercial undertakings	52		01	Purchase of Beer
			02	Purchase of Minerals
			03	Purchase of Spirits
			04	Purchase of Wines
			05	Other Purchases
Internal travel	21		01	Hiring Costs
External Travel	22		02	Transport Claims
			03	Public Transport
			04	Subsistence/Lunch Allowance
			05	Hotel Charges

Description	Number of Characters		Segment	
			09	Parking Fees
Public utilities	23		01	Heating & Lighting
			02	Telephone Charges
			03	Telex & Telegraph Charges
			05	Water & Sanitation
			50	Internet
Office supplies and Services	24		01	Computer Costs
			02	Consumable Stores
			03	Maintenance of plant and office equipment
			04	Postage and postal charges
			05	Printing costs
			06	Publication and advertising charges
			07	Stationery
			08	Uniform and protective clothing
			09	Freight charges
			09	Hospitality expenses
			10	Hiring of security services
			11	Hospitality Expenses
			13	Purchase of Maps
			14	Purchase of GPS
			50	Property rates expenses
			51	Beddings
			52	Cutlery & Crockery
			53	Cleaning materials
Medical supplies	25		01	Drugs,
			02	Referal Medical Cases Abroad
			03	Maintenance of Medical Equipment and Plant
				Local referral expenses
			04	Fuel For Cold Chain and Other Health Use
			05	Purchase of Bed and Linen
			06	Cleaning of Bed and Linen
			07	Clinical Staff Standard Clothings
			08	Vaccines & Pharmaceuticals

Description	Number of Characters		Segment	
			09	Purchase of Medical Equipment
			10	HIV/AIDS Services
			11	Medical aid
			12	Postmortem Charges
			50	Anti Malaria Campaign
			51	Anti Rabies campaign
			52	Anti Cholera campaign
Rent expenses	26		01	Rent of Offices Buildings
			03	Rent of Dwelling Units
			50	Ground rent
Education supplies	27		01	Boarding Expenses
			02	Tuition
			03	Examination Fees
			04	Text Books
			05	Sporting Equipment
			06	Purchase of Braille Materials
			07	Science Consumables
			08	New Text Books
			50	Bursaries
			51	Library
Training expenses	28		01	Internal Training
			02	External Training
			03	Training and Reaserch Equipment
Acquisition of technical services	29		01	Consultancy
			20	Valuation charges
			21	Audit Charges
			22	Legal Charges
			23	IT support
			24	Survey charges
			25	Security Services
Insurance expenses	30		01	Insurance of Buildings
			03	Insurance of Other Assets
			04	Other insurance expenses
			05	Superannuation
Agriculture inputs	31		01	Farm Inputs/ Animal Feeds

Description	Number of Characters		Segment	
Food and rations	32		01	Rations & Provisions
Other goods and services	33		01	Hosting of International Cenferences
			02	Loses of Public Money
			03	Public Assistance
			04	Licencing
			05	Bank Charges
			06	Deportation and Repatriation
			07	Purchase of Ammunition & Explosives
			08	Student Allowance
			09	Uniform Allowance
			10	Field Allowance
			11	Other Domestic Allowance Benefits
			12	Leave Grant/Disturbance Allowance
			13	Purchase of Fire Fighting Chemicals
			14	Disease Outbreak & Investigation
Other goods and services	33		16	Bank Commission
			17	Film Production
			18	City Rates
			19	Case Filling Charges (Legal Fees)
			20	Commission on Credit Ceiling Authority
			21	Gifts
			50	Recruitment Expenses
			51	Funeral Expenses
			52	Sitting Allowance
			53	Entertainment
			54	Provision for Doubtful Debts
			55	Provision for Inventory write downs
			56	Provision for Depreciation
			57	Incentive scheme Long service staff gifts
			58	Employee of the year award
			59	Open Days
			60	Sanitation Campaign
			61	Recreation expenses

Description	Number of Characters		Segment	
			62	Compensation (General)
			63	Home Craft closing ceremony/ home craft display
			64	Floating trophy for best school's results
			65	Laundry (Uniforms)
			66	Land scaping
			67	Street cart and litter bins
			68	Street name plates
			69	Zoo expenses
			70	Grave Digging
Motor vehicle running costs	34		01	Fuel & Lubricants
			02	Insurance and other road taxes
			03	Repairs and maintenance
Grants and subventions	40		01	Grants to associations (museum, etc)
			03	Subventions
			02	Subscriptions
			05	Discretionary Exemption of Repayments
			06	Transfer to Other Ministries
Formation & Maintenance of capital assets	41		01	Aerodrome Maintenance
			02	Boreholes Maintenance
			03	Building Maintenance
			04	Irrigation Schemes Maintenance
			05	Roads & Bridges Maintenance
			06	Water Supplies Maintenance
			08	Construction of boreholes
			09	Construction of buildings
			19	Design & Supervision
			10	Construction of roads
			11	Construction of irrigation schemes
			12	Acquistion and compensation for land
			13	Purchase of motor vehicles
			14	Purchase of livestock and other animals

Description	Number of Characters		Segment	
			15	Purchase of Plant Furniture and Office equipment
			18	Construction of sludge and Sewerage disposal
			20	Construction of water supplies
			22	Construction of electric fence
			26	Maintenance of institutional houses
			33	Acquisition of Skips
			34	Purchase of bicycle/motor cycle
			36	Land Surfacing
			46	Leased Buildings Maintenance
			50	Depreciation
Control Accounts	53		01	Salaries
			02	Deposits
			03	Advances
			04	Debtors
			05	Creditors
			06	Donations
			07	Pension Fund
			08	Loans Repaid
			50	Commitments Reserve
			51	Encumbrances
			52	Inventory Intermediate
			53	Withholding Tax
			54	Value Added Tax (VAT)
Capital Outlay				
Own capital contribution	54		01	Contract expenses
			02	Construction materials
			03	Labour contract expenses
			04	Contract administration expenses
			05	Transport and hiring charges
			06	Acquisition of Land
			07	Compansation for Land
			08	Purchase of Motor Vehicles
			09	Purchase of Livestock and Other Animals

Description	Number of Characters		Segment	
			10	Purchase of Plant,Furniture & Office Equipment
Constituency Development Fund	55			
Infrastructure Development Fund	56			
Donor Funds	57		01	Donor Funds
BALANCE SHEET ITEMS				
Land & Infrastructure	75		01	Leasehold Land
			02	Freehold Land
			03	Buildings
			04	Boreholes
			05	Dams
			06	Roads
Plant & Machinery	76		01	Road Equipment
			02	Fire Services Equipment
			03	Other Equipment
			50	Accumulated Depreciation
Motor Vehicles	77		01	Trucks & Lorries
			02	Station Wagons
			03	Saloons & Sedans
			04	Motor Cycles
			50	Accumulated Depreciation
Office Equipment	78		01	Computers
			02	Fax Machines
			03	Typewriters
			04	Scanners
			05	Printers
			06	Photocopiers
			07	
			08	Fridges
			09	LCD Projectors
			50	Accumulated Depreciation
Fixture & Fittings	79		01	Filing Cabinets
			02	Bookshelves
			03	Tables
			04	Chairs

Description	Number of Characters		Segment	
			05	Air Conditioner
Long Term Investment	80		01	Fixed Deposit Accounts
			02	Pension Fund
			03	Preference Bonds
			50	Accumulated Depreciation
Work In Progress	81		01	Road Infrastructure
			02	Building Infrastructure
			03	Boreholes
			04	Dams
Stocks	82		01	Infrastructure Materials
			02	Stores
			03	Trade Stocks
Debtors	83		01	Rates Debtors
			02	Trade Debtors
			03	Sewerage debtors
			04	THA debtors
			05	Staff Loans & Advances
Prepayments	84		01	Insurance
			02	Rentals
			03	Subscriptions
			04	Utilities
Short Term Investments	85		01	Short Term Deposits
			02	Treasury Bills
			03	Preference Bonds
			04	Shares
			05	Financial Derivatives
Overdrawn Deposits	86		01	Overdrawn Deposits
Bank	87		01	ORT Bank Account
Cash	88		01	Petty Cash Control
			02	Cash
Creditors	89		01	Trade Creditors
			02	Other Creditors
			50	Infrastructure Materials Clearing Account
			51	Stores Clearing Account

Description	Number of Characters		Segment	
			52	Trade Stocks Clearing Account
Deposits	90		01	Deposits
Bank Overdraft	91		01	Bank overdraft
Longterm Liabilities	92		01	Long Term Loans
Donations Received	93		01	
Renewals	94		01	Renewals
Capital Receipts Unapplied	95		01	Capital Receipts Unapplied
Revenue Contribution to Capital	96		01	Revenue Contribution to Capital
Pension Fund	97		01	Pension Fund
General Rate Fund	98		01	General Rate Fund

Appendix 2.2: Chart of Accounts Programmes, Subprogrammes & Sub Subprogrammes

Program	Sub-Program	Sub-Sub program	Codes		
01. Agriculture and Food Security	1. Irrigation Services	Irrigation Agronomy	01	1	1
		Irrigation Engineering	01	1	2
	2. Crop production and management	Field Crops	01	2	1
		Horticulture	01	2	2
		Farm Mechanisation	01	2	3
		Crop Protection	01	2	4
		Input Subsidy Programme	01	2	5
	3. Agribusiness Development	Agricultural Marketing	01	3	1
		Agricultural Business Management	01	3	2
	4. Fisheries and Aquaculture Services	Fisheries and Aquaculture Development	01	4	1
	5. Agro-processing	Agro-Processing	01	5	1
	6. Animal and Livestock Management	Animal Production	01	6	1
		Animal Health Regulatory Services	01	6	2
		Livestock Management	01	6	3
	7. Agricultural Extension	Agricultural Extension Services	01	7	1
02. Natural Resources and Environment Management	1. Pollution and waste Management	Waste Collection and Disposal	02	1	1
	2. Forestry Management	Forestry Conservations	02	2	1
	3. Land Resources	Environmental Education and Outreach	02	3	1
		Land Valuation Services	02	3	2
		Environmental Impact Assessment	02	3	3
		Land Information System	02	3	4
		Mapping, Trigonomic and Topographic Services	02	3	5
		Cadastral Services	02	3	6
		Geological Services	02	3	7
	4. Meteorological Services	Meteorological Monitoring and Forecasting	02	4	1
		Aviation Weather Services	02	4	2
		Public Weather Services	02	4	3
03. Tourism and Cultural Development	1.Tourism Industry Development	Tourism Industry Development	03	1	1
	2. Wildlife management and Conservation	Wildlife Management and Conservation	03	2	1
	3. Cultural Preservation and Promotion	Museums	03	3	1
		National Archives	03	3	2
		Arts and Crafts	03	3	3
		Censorship	03	3	4
		Antiquities Services	03	3	5
		Recreation Services	03	3	6

Program	Sub-Program	Sub-Sub program	Codes		
04. Water Resources Development, Management and Supply	1. Water Supply and Sanitation	Rural Water Supply and Sanitation	04	1	1
		Urban Water Supply and Sanitation	04	1	2
		Community Based Management of Water Resources	04	1	3
	2. Water Resources Development	Water Resources Development	04	2	1
		Water Resources Oversight	04	2	2
		Hydrological Services	04	2	3
05. Industry and Investment Promotion	1. Industrial standards and Inspection Services	Industrial Inspection	05	1	1
		Industrial Standards	05	1	2
	2. Trade Services	Domestic Trade	05	2	1
		Foreign Trade	05	2	2
	3. Industrial Development and Investment Promotion	Private Sector Development	05	3	1
		Micro-Enterprise Development and Promotion	05	3	2
		Investment Promotion	05	3	3
	4. Cooperatives Development and Management	Cooperatives Development and Management	05	4	1
06. Social Protection and Disaster Management	1. Disaster Preparedness, Relief and Rehabilitation	Disaster Preparation	06	1	1
		Disaster Relief and Rehabilitation	06	1	2
	2. Social Protection Services	Elderly Services	06	2	1
		Safety nets	06	2	2
		Disability Services	06	2	3
07. Health Services	1. HIV/AIDS	HIV/AIDS Prevention	07	1	1
		HIV/AIDS Intervention	07	1	2
		HIV/AIDS Treatment	07	1	3
	2. Nutrition Services	Nutrition Services	07	2	1
	3. Technical Services	Quality Assurance	07	3	1
		Diagnostic Services	07	3	2
		Other technical services	07	3	3
	4. Medical infrastructure, equipment and facilities	Medical Equipment and facilities	07	4	1
		Medical Infrastructure	07	4	2
	5. Preventive Health Services	Health Education Services	07	5	1
		Disease Control Services	07	5	2
		Community Based Health Services	07	5	3
	6. Curative Health Services	Primary Curative Health Services	07	6	1
		Secondary Curative Health Services	07	6	2
		Tertiary Curative Health Services	07	6	3
	7. Ambulatory Services	Ambulatory Services	07	7	1

Program	Sub-Program	Sub-Sub program	Codes		
08. Education and Vocational Training	1. Pre-primary & Primary Education	Primary School Management	08	1	1
		Primary Teaching and Learning Materials	08	1	2
		Primary Teaching Services	08	1	3
		Primary Boarding and Feeding	08	1	4
		Primary Special Needs	08	1	5
	2. Secondary Education	Secondary School Management	08	2	1
		Secondary Teaching and Learning Materials	08	2	2
		Secondary Teaching Services	08	2	3
		Secondary Boarding and Feeding	08	2	4
		Secondary Special Needs	08	2	5
		Secondary National Bursary	08	2	6
	3. Tertiary Education	Tertiary School Management	08	3	1
		Tertiary Teaching and Learning Materials	08	3	2
		Tertiary Teaching Services	08	3	3
		Tertiary Boarding and Feeding	08	3	4
		Tertiary Special Needs	08	3	5
		Tertiary National Bursary	08	3	6
	4. Vocational Training	Vocational Training	08	4	1
09. Community, Youth and Sports Development	1. Youth Development Services	Youth Outreach Services	09	1	1
		Rehabilitation of Juvenile Offenders	09	1	2
	2. Sports Services	Sports Development	09	2	1
	3. Economic Empowerment	Economic Empowerment	09	3	1
	4. Social Welfare Services	Gender Main Streaming	09	4	1
		Adult Literacy	09	4	2
		Community Capacity Building	09	4	3
		Family Welfare Services	09	4	4
		Children Services	09	4	5
	5. NGO Coordination	NGO Coordination	09	5	1

Program	Sub-Program	Sub-Sub program	Codes		
10. Transport, Building and Housing	1. Building and Housing Services	Urban Housing Services	10	1	1
		Rural Housing	10	1	2
		Rental Services	10	1	3
		Valuation and Estate Management	10	1	4
		Building and Housing Designs, Construction, maintenance and Rehabilitation	10	1	5
		Landscaping	10	1	6
	2. Air Transport Services	Airport Operations	10	2	1
		Air Transport Safety	10	2	2
		Airport Designs, Construction, Maintenance and Rehabilitation	10	2	3
		Commercial Services	10	2	4
	3. Marine Transport Services	Marine Transport Safety	10	3	1
		Port Management and Operation	10	3	2
		Marine Designs, Construction, Maintenance and Rehabilitation	10	3	3
	4. Rail Transport Services	Rail Transport Operations	10	4	1
		Rail Transport Safety	10	4	2
		Rail Designs, Construction, Maintenance and Rehabilitation	10	4	3
	5. Road Transport Services	Road Traffic Management and Control	10	5	1
		Road Transport Safety	10	5	2
		Road Designs, Construction, Maintenance and Rehabilitation	10	5	3
11. Information Communication and Technology (IC&T)	1. Media and Information Services	Press and Publications	11	1	1
		Film and Technical Services	11	1	2
		Telecommunication	11	1	3
		Public Events	11	1	4
		Statistical Publications	11	1	5
		Broadcasting	11	1	6
	2. ICT Development and Management Services	Application Development and Support	11	2	1
		Microfilming and Desktop Publishing	11	2	2
		Networking	11	2	3
	3. Civic Education	Civic Education	11	3	1
	4. Library services	Library services	11	4	1
12. Research and Development (R&D)	1.Agricultural Research	Agricultural Research	12	1	1
	2. Industrial Research	Industrial Research	12	2	1
	3. Medical research	Medical Research	12	3	1
	4. Social Research	Social Research	12	4	1
	5. Other Research	Other Research	12	5	1
13. Mining, Energy Generation and Supply	1. Energy Generation	Energy Generation	13	1	1
	2. Energy Supply	Energy Supply	13	2	1
	3. Mining Services	Mining Services	13	3	1

Program	Sub-Program	Sub-Sub program	Codes		
14. Economic and Financial Management	1. Economic Planning and Development	Economic Planning and policy formulation	14	1	1
		Public Sector Investment Programmes	14	1	2
		Poverty Reduction Programmes	14	1	3
	2. Fiscal policy management	Budget Planning and Management	14	2	1
		Economic Affairs Services	14	2	2
		Pensions and Gratuities	14	2	3
		Compensation and Refunds	14	2	4
		Revenue Management and Development	14	2	5
		Debt and Aid Management	14	2	6
	3. Public Enterprise Management	Public Enterprise Management	14	3	1
	4. Public Finance Management	Accounting Systems	14	4	1
		Financial Statements	14	4	2
		Salaries and payments	14	4	3
		Bank Services	14	4	4
		Cash Management	14	4	5
	5. Auditing Services	Auditing Services	14	5	1
	6. Statistical Services	Economic Statistics	14	6	1
		Demography and Social Statistics	14	6	2
		Cartography	14	6	3
	7. Economic, Financial Monitoring and Evaluation	Economic, Financial Monitoring and Evaluation	14	1	1

Program	Sub-Program	Sub-Sub program	Codes		
15. Security Services	1. Crime Policing	Crime Investigation	15	1	1
		Crime Intelligence	15	1	2
		Crime Protection	15	1	3
		Forensic Science	15	1	4
		Traffic Investigation	15	1	5
		Police Dog Services	15	1	6
	2. Immigration Services	Passport Services	15	2	1
		Permit Services	15	2	2
		Screening and Monitoring	15	2	3
		Deportation and Repatriation Services	15	2	4
		Citizenship	15	2	5
	3. Prison Services	Prisons Inspectorate	15	3	1
		Rehabilitation and Reformation	15	3	2
		Safe Custody	15	3	3
	4. Public Order	Public Order	15	4	1
		VIP Protection	15	4	2
		Presidential Operation	15	4	3
		National Intelligence Services	15	4	4
		Regulation of Private Security Activities	15	4	5
		Fire Arms and Ammunitions	15	4	6
	5. Defence	Security Logistics	15	5	1
		Security Operations	15	5	2
		Combat Support	15	5	3
		Military Air Force	15	5	4
		Security Intelligence	15	5	5

Program	Sub-Program	Sub-Sub program	Codes		
16. Governance and Rule of Law	1. Judicial services	High Court	16	1	1
		Supreme Court	16	1	2
		Magistrate Court	16	1	3
		Sheriff Services	16	1	4
		Industrial Relations Court	16	1	5
		Claims and Tribunals	16	1	6
		Commercial Courts	16	1	7
		Attorney General's Chambers	16	1	8
	2. Legal Services	Civil Litigation	16	2	1
		Deceased Estates	16	2	2
		Homicide Trials	16	2	3
		Prosecutions	16	2	4
		Legal Advisory Services	16	2	5
	3. Electoral Services	Presidential and Parliamentary elections	16	3	1
		Local Government elections	16	3	2
	4. Anti Corruption	Corruption Investigations	16	4	1
		Corruption Prevention	16	4	2
	5. Parliamentary Services	Legislative Affairs	16	5	1
		Constitution and Legislation	16	5	2
	6. Human Rights	Human Rights Investigation	16	6	1
		Human Rights Protection	16	6	2

Program	Sub-Program	Sub-Sub program	Codes		
17. Public Administration	1. President's Office	President's Office	17	1	1
	2. Minister's Office	Minister's Office	17	2	1
	3. Management and Support Services	Internal Audit	17	3	1
		Budgeting	17	3	2
		Stores and Procurement	17	3	3
		Internal Financial Management	17	3	4
		General Administration	17	3	5
		Planning and Policy Formulation	17	3	6
		IT Support	17	3	7
	4. HR Development and Management	Internal Training	17	4	1
		Recruitment	17	4	2
		Staff Welfare	17	4	3
	5. Foreign Affairs	International Cooperation	17	5	1
		Foreign Missions	17	5	2
		Protocol Services	17	5	3
	6. Public sector Reform	Public Sector Reform	17	6	1
	7. Internal Monitoring and Evaluation	Internal Monitoring and Evaluation	17	7	1
	8. Local Government Services	Local Government Administration and Management	17	8	1
		Decentralisation	17	8	2
		Town Assemblies	17	8	3
		City Assemblies	17	8	4
		Municipalities	17	8	5
		Chiefs and Traditional Leaders	17	8	6
		District Assemblies	17	8	7
18. Employment, Manpower Development and Labour Affairs	1. Labour Relations	Labour Relations	18	1	1
	2. Assessment and Investigation	Assessment and Investigation [of labour issues]	18	2	1
	3. Worker's Compensation	Worker's Compensation	18	3	1
	4. Manpower Development	Manpower Development	18	4	1
	5. Claims and Benefits	Claims and Benefits [relating to labour issues]	18	5	1

Program	Sub-Program	Sub-Sub program	Codes		
50. Local Authority Services	1. Administration & Support	Assembly & Function	50	1	1
		District Commissioner/ Chief Executive	50	1	2
		General Administration	50	1	3
		Civic Accommodation & Expenses	50	1	4
		Staff Housing	50	1	5
		Security	50	1	6
		Purchasing and Stores	50	1	7
		Legal Services	50	1	8
		Constituency Development Fund	50	1	9
	2. Financial Management Services	Treasury Management	50	2	1
		Central Stores	50	2	2
		Rate Collection & THA Rents	50	2	3
	3. Engineering	Engineering Department	50	3	1
		Works	50	3	2
		Road Maintenance	50	3	3
		Street Lighting	50	3	4
		Traffic Management	50	3	5
		Fire Brigade	50	3	6
		Garage / Workshop	50	3	7
		Sewerage	50	3	8
		Low Cost Sanitation	50	3	9
50. Local Authority Services	4. Health and Social Services	General Administration	50	4	1
		Gender and Child Welfare	50	4	2
		Pest & Bilharzia Control	50	4	3
		Home Economics & Social Welfare	50	4	4
		Urban Health Centres, Clinics & Mobile Units	50	4	5
		Primary Health Care	50	4	6
		Cemeteries & Burials	50	4	7
		Health Cities Programme	50	4	8
		HIV & AIDS	50	4	9
	5. Cleansing	Cleansing services	50	5	1
		Public conveniences	50	5	2
		Street Cleansing	50	5	3
		Refuse collection & Disposal	50	5	4
		Septic and Conservancy Tank Clearance	50	5	5

Program	Sub-Program	Sub-Sub program	Codes		
50. Local Authority Services	6. Leisure, Culture & Environment	Agriculture	50	6	1
		Environmental Management	50	6	2
		Parks & Recreation	50	6	3
		Parks Central Services	50	6	4
		Zoo and Dams	50	6	5
		Horticultural Production	50	6	6
		City Landscaping	50	6	7
		Urban Forestry	50	6	8
		Museum and Monuments	50	6	9
	7. Planning & THA Services	Estates Management	50	7	1
		THA Administration	50	7	2
	8. Market Establishments	Markets	50	8	1
	9. Revenue Generation Ventures	Bottle stores	50	9	1
		Rest houses	50	9	2
51. Local Authority Development Activities	1. Constituency Development Fund	1. Constituency A	51	1	1
	2. Local Development Fund	Window 1	51	2	1
		Window 2	51	2	2
	Infrastructure Development Fund	Construction Roads & Bridges	51	3	1
		Maintenance Roads & Bridges	51	3	2
60. Balance sheet Fixed Assets	1. Fixed Assets	Land & Infrastructure			
		Plant & Machinery			
		Motor Vehicles			
		Office Equipment			
		Fixtures & Fittings			
70. Balance Sheet Current Assets	2. Current Assets	Long Term Investments			
		Work in Progress			
		Stocks			
		Prepayments			
		Short Term Investments			
		Overdrawn Deposits			
		Bank			
		Cash			
80. Balance Sheet Liabilities	1. Current Liabilities	Creditors			
		Deposits			
		Bank Overdraft			
	2. Long term Liabilities	Long term Liabilities			
90. Balance Sheet Capital	1. Capital	Donations Received			
		Renewals			
		Capital Receipts Unapplied			
		Revenue Contribution to Capital			
		Pension Fund			
		General Rate Fund			
		Accumulated Gen Rate Fund			

CHAPTER 3: BUDGETING

INTRODUCTION

This Chapter introduces the Local Authority budget preparation and approval process. It also provides guidelines for preparing the Citizens Budget. It must be pointed however that the budgeting process for Local Authorities is covered in much more detail in the Budget Manual for Local Governments in Malawi that was issued out by the NLGFC in October, 2006.

3.1 DEFINITION OF BUDGET AND BUDGETING

A budget is a plan of action quantified in monetary terms, prepared and submitted to the Local Authority for approval showing planned revenue, grants and expenditure to be received or incurred in the ensuing financial year. It can also be described as:

(a) A statement of resources and expenditure anticipated during the budget period.
(b) A plan, programme or activity to be carried out within a period of one year or more.
(c) A control document that sets out the limits and purpose within which expenditure can be incurred and compared.
(d) Budgeting is a process that focuses on planning and controlling the use of resources for achieving desired objectives during a fiscal year.

The budget reflects the Local Authorities' policies over the period covered and represents a statement of intent against which performance can be compared.

3.2 OBJECTIVES OF BUDGETING

The objectives of budgeting are as follows:

(a) To estimate the expected revenue and expenditure for a specified period.
(b) Provide a framework for responsibility accounting.
(c) To authorise the collection and expenditure of revenues.
(d) To coordinate, plan and control the operations of the Local Authority.
(e) To provide a tool for decision making through the comparison of actual revenue and expenditure with the approved estimates with corresponding corrective action on noted variances.
(f) To provide a tool for monitoring and evaluating of objectives and outputs of the Local Authority.

3.3 LOCAL AUTHORITY BUDGETING METHOD AND TYPES

3.3.1 The Budgeting Method

The budgeting method applicable to Local Authorities is Output/Activity /Programme Based Budgeting. This allocates resources to planned activities on the basis of set objectives and outputs of the Local Authority.

The Local Authority budget period runs commensurate with that of Central Government.

3.3.2 Budget Types

Local Authority budgets are categorized into:

- Recurrent budgets incorporate administration and operational expenses of the Local Authority for the budget period. Recurrent estimates are made up of Personal Emoluments (PE) and Other Recurrent Transactions (ORT).
- Personal Emoluments include salaries and other remunerations in respect of Local Authority employees. ORT estimates incorporate expenditures for operations and maintenance of Local Authority services and facilities.
- Capital/Development - Capital/Development budgets incorporate expenditure which is of capital nature.

3.4 MAIN BUDGET STAGES

The Local Authority broad budget stages include the following:

3.4.1 Draft Budget

This is a budget prepared and discussed by management and service committees of the Local Authority before final approval by the Local Authority.

3.4.2 Approved Budget

This is a budget that has been passed by the Local Authority.

3.4.3 Revised Budget

This is a budget that measures the budget performance for the first half of the financial year and accommodates adjustments for the remaining half of the financial year.

3.4.4 Supplementary Budget

This is an approved budget for the additional funds sourced by the Local Authority over and above those amounts provided for in the original approved estimates.

3.5 FORMATS OF LOCAL AUTHORITY BUDGETS

The presentation of Local Authority budgets shall comprise the following:

(a) The DC's/CEO's statement of policy
(b) The Output/Activity Based Budget (template presented in Appendix 3.1)
(c) The Line Item Budget which will be made up of:

- Budget notes;
- Consolidated budget summary (Appendix 3.2);
- Consolidated cost centre budget summary (Appendix 3.3)
- Detailed budget (Appendix 3.4);

- Capital budget (Appendix 3.5); and
- Personal Emoluments schedule (Appendix 3.6)

(d) Cash flow forecast statement indicating the annual resource and application requirements, broken down by month, for implementation of the planned activities (Appendix 3.7)

The DC/CEO and all other Directors/Sector Heads should fully participate in the preparation of the above budget documents.

3.6 PREPARATION AND APPROVAL OF BUDGET ESTIMATES

3.6.1 The Budget Preparation Process

The Local Authority budget formulation process follows a bottom up approach as outlined in the Budget Manual for Local Governments in Malawi. A summary of the budget formulation steps is as follows:

(a) NLGFC shall issue budget circulars on policy changes and budgetary ceilings from Treasury.
(b) The DC/CEO shall initiate the budget exercise by issuing a circular memorandum together with budgeting guidelines and Indicative Planning Figures to all Departments/Sectors.
(c) The DC/CEO shall put in place a budget committee that shall coordinate the budget preparation process across all Departments/Sectors of the Local Authority. The Director of Planning and Development and Director of Finance shall assume roles of budget officers.
(d) The DC/CEO shall initiate an interactive approach to the budgeting process with an involvement of all stakeholders including the community.
(e) Individual Heads of Departments/Sectors at the Local Authority level shall prepare and discuss Departmental/Sector budget estimates with relevant Service Committees and forward them to the budget committee for consolidation.
(f) The budget committee shall seek technical assistance from the NLGFC where necessary.

3.6.2 The Budget Approval Process

The budget approval process shall be as follows:

(a) The draft budget as consolidated by the Budget Committee shall be presented to management for discussion.
(b) After incorporating the decisions of the management meeting, the draft annual budget shall be presented to the Finance Committee for scrutiny and recommendations to the Local Authority.
(c) The Chairperson of the Finance Committee shall present the draft budget to the Local Authority for approval.
(d) The DC/CEO shall forward the approved annual budget of the Local Authority, with accompanying Local Authority minutes, to the NLGFC for consideration and consolidation, ninety (90) days before the commencement of the financial year next ensuing.
(e) The NLGFC shall submit the consolidated Local Authority budgets to the Minister responsible for Local Governments for presentation to Parliament for noting.

3.7 EXECUTION OF THE LOCAL AUTHORITY BUDGET

The approved Local Authority budget shall form the basis of activity implementation in the budget year. The following provisions relating to the execution of the approved budget must be noted:

(a) LAs shall appropriate monthly allocations based on the approved cash flows, which are in line with approved budgets.
(b) In the event that the Local Authority does not generate sufficient revenue as budgeted in a particular month to fund its operational expenditure, management of the Local Authority shall prioritise its activities in line with the available resources.
(c) In the event that the budget is not approved in time, DCs/CEOs shall convene an extra ordinary meeting of the Local Authority to approve a provisional budget (not exceeding four (4) months) to necessitate Local Authorities to withdraw funds for their activities whilst awaiting approval of the budget.

3.8 REVISION OF LOCAL AUTHORITY BUDGETS

In the event that Local Authorities generate extra budgetary resources or fail to generate enough resources or where other items were over/under provided for, the Local Authority shall prepare supplementary estimates in respect of the extra budgetary resources, or reallocate provisions through virement (in the case of justifiable over/under budgetary provisions) and present them to the Local Authority within the financial year for its consideration before submission to the Treasury through NLGFC for approval.

The Local Authority shall hence obtain approval of the virement to transfer between outputs and budget line items as long as the amounts transferred do not increase any appropriation as approved for the financial year in question.

Formats for the supplementary and virement budget submissions are presented in Appendix 3.8 and Appendix 3.9 respectively.

3.9 CENTRAL GOVERNMENT TRANSFERS BUDGET GUIDELINES AND CEILINGS

It must be noted that the Ministry of Finance will issue budget templates, guidelines and ceilings in respect of Central Government transfers to the Local Authorities that form part of the national budget. These shall be communicated to the Local Authorities by Treasury through the NLGFC.

3.10 BUDGETS UPLOADING IN IFMIS

Once the budget has been approved by Parliament it shall be uploaded in the IFMIS for execution.

3.11 CITIZENS BUDGET

Every year, a Local Authority shall develop a budget which shows collection and allocation of scarce resources to priority projects, provision of public services and goods by government (central or local) and re-distribution of incomes. The budget is an important instrument that every local authority uses to define the direction of its policy, cost implications of its programmes, and possible sources of revenue during a

fiscal year. A citizens' budget is therefore a simpler version of the district budget meant for each and every citizen to read and understand.

3.11.1 Roles and responsibilities of citizens in the implementation of the District Budget

Citizens should be actively involved in their Local Authority's budget, because it is the tax paid by Malawians, both at national and local levels that form most of Government's revenue.

Citizens should be able to understand their Budget, to ask questions about their Budget and to know who to ask.

The Local Authority has the responsibility in ensuring accountability for resources provided to the Authority. Citizens themselves must have interest to hold duty bearers accountable for their decisions and actions in managing public funds, policy implementation, and public service delivery.

3.11.2 Publication of a Citizens' Guide to the Budget

Access to information is a precondition for citizens to:

(a) understand how a government is using its entrusted powers to tax, borrow, and spend public resources;
(b) become involved in informed public debate during the budget process; and
(c) hold a government properly to account.

By reporting and explaining budget decisions and the state of the public finances with simplicity and clarity, the government can help to demystify the budget beyond the often necessarily technically complex detail in the budget documentation. Otherwise, the job is left to civil society or the media, who are not always adequately equipped. It is also a good discipline for policy makers to explain themselves in simple, everyday language.

Publication of a citizens' guide allows a government to explain in plain language the objectives of its budget and to supplement and complement other supporting material such as the budget speech, press releases, web pages, media appearances, etc. A guide provides a single place where the public can learn about the main features of the budget and gain access to more detailed reference sources. It also helps citizens to assess the impact on their own circumstances and on specific groups in society

> Governments need to proactively help the general public make sense of the budget. Non-expert audiences can easily be intimidated by technical language and by the volume of budget information presented to legislatures. Non-experts can also be confused by the role and extent of extra-budgetary activities. Most importantly, unpacking the budget requires the government to explain itself, rather than hide behind technicalities. Broadening understanding of the country's public finances can help to frame more realistic citizen expectations and to build support for difficult policy choices. It can also help to offset the influence of narrow special interest groups and to avoid public debates being conducted in jargon by those "in the know".

(including the effects on the burden of taxation, service provision and employment prospects).

3.11.3 Characteristics of a Citizens' Guide to the Budget

Purpose and Coverage

A citizens' guide to the budget is defined here as an easy-to-understand summary of the main features of the annual budget as presented to the legislature. It should be a self- contained document that explains what is in the annual budget proposals and what their effects are expected to be. While containing links or references to more detailed documents, the guide should not require readers to refer to them, or to know their contents, in order to understand the guide.

The guide should be written with the needs of the general public in mind, using everyday language, and it should be linked to more detailed explanations to provide a simple access point to those who want to know more. "A citizens' budget can take many forms, but its distinguishing feature is that it is designed to reach and be understood by as large a segment of the population as possible"[2]. The guide should not be aimed at the needs of legislators, whose specific requirements should (in principle, at least) already be reflected in the way the public finance law stipulates that the budget is to be presented to the legislature, and who should have access to technical experts in either the legislative or executive branch for advice. However, given the complexity of the budget documents in many countries including Malawi, legislators may in practice find a citizens' guide helpful as an initial entry point to their consideration of the budget.

Nature and Qualities

A citizens' guide should be an objective and technical document, not a political tract. It should attempt to describe the budget in a neutral manner and meet recognised standards of comprehensiveness, reliability and relevance. It should not be seen as a partisan document to promote how well the government is managing fiscal policy. While the guide might contain a foreword by the finance minister or the president, the body of the guide should be clearly the responsibility of the government agency that is accountable for the accuracy and comprehensiveness of the budget and associated information, *e.g.* the Ministry of Finance. This will help to avoid cynicism that a citizens' guide is a purely political tool.

A citizens' guide should generally be produced by the executive branch. The guide should be seen as helping to meet the government's responsibility to explain publicly how it is raising, spending, and managing public resources. It is an important part of the transparency and accountability of fiscal policy. Where the government does not produce such a guide, it may be appropriate for the legislature to produce one, especially in those countries where the legislature has substantial powers to amend the budget presented by the executive. Failing that, there would be a role for a citizens' guide produced by civil society. But this solution is second best. The government should explain its own budget to the general public. The media and civil society groups can then use the citizens' guide as an input to their own deliberation, dissemination or advocacy activities – or publish their own alternative guide if they wish.

A citizens' guide to the budget should focus on the objectives and contents of the budget, not its process. While it is important that the public has a broad understanding of how the government puts the annual budget together, the main role of the guide should be to present the substance of the budget. Discussion of the budget process should mainly take the form of a brief overview, at the beginning of the guide, of the budget law and the annual budget process. More detailed information on the annual budget process and on the requirements of the budget law should be separately available to the public, and should be referenced in the guide or linked to it.

2 International Budget Partnership, 2009

A citizens' guide should meet a range of quality standards, including comprehensiveness, objectivity, relevance, reliability, ease of understanding, and timeliness. The guide should focus on substantive budget issues, and should not contain extraneous or irrelevant material that confuses or obscures the key issues. This will help to keep the guide short and accessible. The data should be accurate, reliable and credible.

Information should be presented in layman's terms that are easy to understand, avoiding technical jargon and making full use of simple and effective charts and diagrams – including comparative information for the estimated out-turn for the year prior to the budget year. Finally, the guide should be disseminated at the same time that the government presents the annual budget to the legislature, so that the public can fully understand what is being proposed and can engage in discussion in time to have a potential impact on the legislature's deliberations on the budget.

3.11.4 Contents of a Citizens' Guide

Core Substantive Elements

Citizens' guides should contain a common core of information. Section 3.11.3 above suggests a set of common topics that are likely to feature in a good citizens' guide in any country. However, the relative emphasis of the topics, and the level of detail, should reflect country circumstances and capacity. One important contextual factor is the pre-existing general level of understanding of government budgeting in the country; another is the related level of coverage of these issues by the media.

A brief introduction should explain why the guide is being published, and place it in context. The government should indicate its objectives in publishing the guide. It should briefly set out the key role the budget plays in public financial management, in the context of any requirements in the constitution or in the budget law. The guide should very briefly describe the budget process, including the roles of the executive branch in preparing the budget and of the legislature in authorising government taxation, borrowing and expenditure.

The macroeconomic and fiscal outlook is a key starting point. The prospects for the economy are an important determinant of resource availability in all countries, and economic forecasts for at least the budget year should be presented. Medium-term projections of the fiscal aggregates (revenues, spending, the deficit) should also be presented. The economic and fiscal forecasts are probably best presented in the form of a simple table or chart(s).

There should be a brief description of the institutional structure and coverage of the budget. This should explain whether the budget includes different types of accounts or funds, and what agencies are inside or outside the budget. Information on the government's extra-budgetary activities, and their impact on consolidated government accounts, should also be included. Where budget documentation identifies activities carried out by non-government agencies on behalf of government that are not reflected in the government's accounts ("quasi-fiscal activities"), these should be briefly summarised and explained. If relevant, high-level information should be provided on the aggregate distribution of revenues and spending between different levels of government, including any formulae used to determine the allocation of revenue or grants between sub-national governments.

Where disaggregated multi-year expenditure forecasts are available, summaries of these should be included. Total spending may be broken down by function (or sector), by administrative agency, by economic category (*e.g.* wages and salaries, interest, capital expenditures) and, where applicable, by major programme. References and links to more detailed spending information should be provided.

The guide should explain how the annual budget helps the government to meet its announced national development strategy, including in particular its fiscal policy strategy and objectives. The government's medium-term economic and social objectives should be summarised, and a brief explanation provided of how the next budget contributes to their achievement. The sustainability of the public finances and public debt, given a continuation of current policies, should be specifically addressed.

The realism of the budgeted levels of revenues and expenditures and the fiscal balance should be briefly discussed in terms of trends in recent years, and the economic forecasts. It is important to provide some historical information for comparative purposes, and particularly to present the expected out-turn for the current year in comparison to its forecast in the previous budget.

There should be a clear explanation of how the budget will be financed. The guide should provide a breakdown of the main revenue sources ("where the money comes from"), separately identifying domestic revenues and external grants. It should indicate the sources of funding of a deficit.

Key fiscal risks should be discussed. These clude the fiscal impacts of deviations in key economic variables from the forecasts (*e.g.* concerning oil prices, the exchange rate, and interest rates). Information should also be presented on other relevant specific fiscal risks (*e.g.* loan guarantees being called), and the government should briefly explain how it will meet unexpected spending needs that may arise during the year, for example through a budget contingency appropriation.

New spending and revenue policies being introduced in the budget should be summarised. The guide should explain why these new measures are being introduced, their expected impact on revenues and spending, and how they will contribute to the government's priorities. Citizens will wish to know how the budget will affect their own standards of living, and the nature and significance of the budget's impact on groups in society that are of particular policy interest (such as the poor and vulnerable, or different groups of taxpayers). The guide should therefore provide some indication of the budget's potential impact on take-home pay for different income levels, income support and service provision in the coming year, and on possible implications for the medium term.

The government should briefly explain what it is doing to improve overall service delivery and the social impacts of its spending programmes. Where relevant, this should be linked to the Millennium Development Goals. The guide should also contain references and links to programme-level information, and to any information that is available on performance and evaluations.

3.11.5 Suggested Outline of a Citizens' Guide to the Budget

The following is a suggested outline of a citizen's guide to the budget:

Part One: Introduction: The government's objectives in publishing the guide; the place of the annual budget in public finance legislation; a very brief description of the coverage of the budget and the budget process, including opportunities for public participation.

Part Two: The Economic Outlook and Government Objectives: Macroeconomic forecasts and the main assumptions underlying the budget; the sensitivity of the fiscal aggregates to variations in key economic assumptions; the government's national development strategy; and medium-term fiscal policy objectives.

Part Three: The Government's Accounts and Budget Prospects: Aggregate revenues, expenditures, and the fiscal balance over a medium-term horizon where available, including the broad allocation of spending and sources of revenue, and comparative figures for the previous year; public debt, fiscal risks, and the sustainability of current policies and trends.

Part Four: New Measures: Summary of the main budget initiatives; estimates of their fiscal effect and impacts on key policy groups; contributions to meeting the government's stated policy objectives.

Part Five: Improving Delivery of Services: A brief indication of what the government is doing to improve service delivery, including an outline of any strategies to improve the efficiency and/or effectiveness of government activities and any evidence of results to date, including performance indicators where possible of public spending and revenue collection.

Appendix 3.1: Output/Activity Based Budget

Output and Activity Based Budget for						
Program	**Objective**	**Output**	**Activity**	**Monitoring Indicator**	**Estimate (MWK)**	**Source of Funding**

Consolidated Budget Summary

Budget Summary for the Year						
	Revenue /Expenditure Detail	NOTES	1	2	3	4
			Actuals 20X1/20X2	Approved 20X2/20X3	Projection to June 20X3	Estimates 20X3/20X4
Code	REVENUE		MWK	MWK	MWK	MWK
	Government Transfers					
	Assembly voted transfers					
60	General resource fund					
61	Sector funds					
64	Constituency Development Fund					
65	Infrastructure Development Fund					
66	Salary subsidy					
	Sub total					
	Other transfers					
62	Chiefs honorarium fund					
63	Chiefs operations					
	Sub total					
	Total Government transfers					
	Locally Generated Revenue					
67	Central Government Property Rates					
68	Other Property Rates					
69	Income from Market Establishments					
71	Fees and Service Charges					
72	Licenses and Permits					
	Total Locally Generated Revenues					
	Add: Profit from Commercial Undertakings					
	Sub total					
	TOTAL REVENUE					
	EXPENDITURE					
	Personal Emoluments					
10	Government Paid Staff					
46	Direct Staff (other departments)					
	Sub total					
	Other Recurrent Transactions					
21	Internal travel					

Budget Summary for the Year						
	Revenue /Expenditure Detail	**NOTES**	**1**	**2**	**3**	**4**
			Actuals 20X1/20X2	**Approved 20X2/20X3**	**Projection to June 20X3**	**Estimates 20X3/20X4**
22	External travel					
23	Public utilities					
24	Office supplies & Services					
25	Medical supplies					
26	Rent expenses					
27	Education supplies					
28	Training expenses					
29	Acquisition of Technical Services					
30	Insurance expenses					
31	Agriculture inputs					
32	Food and rations					
33	Other goods and services					
34	Motor Vehicle Running Expenses					
40	Grants & Subvention					
41	Formation and maintenance of capital assets					
47	Chiefs emoluments					
48	Chiefs expenses					
49	Assembly & functions					
50	HIV/AIDS Intervention					
51	Debt Servicing					
	Sub total					

	Capital Outlay					
54	Own capital contribution					
55	Constituency Development Fund					
56	Infrastructure Development Fund					
73	Donor Funds					
	Sub total					
	Total Expenditure					
	Surplus/Deficit					

Appendix 3.2: Consolidated Cost Centre Budget Summary

		Sectors				Headquarters			Assembly Totals
		Cost Centre A	Cost Centre B		Sector Funds Subtotal	Central Government Transfers	Locally Generated Revenue	Donor Funds	
Code	SUB ITEMS	Estimates	Projection to June 20X3	Estimates 20X3/20X4	Estimates 20X3/20X4	Estimates 20X3/20X4	Estimates 20X3/20X4	Estimates 20X3/20X4	Estimates 20X3/20X4
		MWK	MWK	MWK	MWK	MWK	MWK	MWK	MWK
Code	REVENUE								
	Government Transfers								
	Assembly voted transfers								
60	General resource fund								
61	Sector funds								
64	Constituency Development Fund								
65	Infrastructure Development Fund								
66	Salary subsidy								
	Sub total								
	Other transfers								
62	Chiefs honorarium fund								
63	Chiefs operations								
	Sub total								
	Total Government transfers								
	Locally Generated Revenue								
67	Central Government Property Rates								
68	Other Property Rates								

		Sectors				Headquarters			Assembly Totals
		Cost Centre A	Cost Centre B		Sector Funds Subtotal	Central Government Transfers	Locally Generated Revenue	Donor Funds	
69	Income from Market Establishments								
70	Income from commercial undertakings								
71	Fees and Service Charges								
72	Licences and Permits								
	Total Locally Generated Revenues								
	Add: Profit from Commercial Undertakings								
	Sub total								
	TOTAL REVENUE								

	EXPENDITURE								
	Personal Emoluments								
10	Government Paid Staff								
46	Direct Staff (other departments)								
	Sub total								
	Other Recurrent Transactions								
21	Internal travel								
22	External travel								
23	Public utilities								
24	Office supplies & Services								
25	Medical supplies								
26	Rent expenses								
27	Education supplies								
28	Training expenses								
29	Acquisition of Technical Services								
30	Insurance expenses								
31	Agriculture inputs								
32	Food and rations								
33	Other goods and services								

	EXPENDITURE								
	Personal Emoluments								
34	Motor Vehicle Running Expenses								
40	Grants & Subvention								
41	Formation and maintenance of capital assets								
47	Chiefs emoluments								
48	Chiefs expenses								
49	Assembly & functions								
50	HIV/AIDS Intervention								
51	Debt Servicing								
	Sub total								
	Capital Outlay								
54	Own capital contribution								
55	Constituency Development Fund								
56	Infrastructure Development Fund								
73	Donor Funds								
	Sub total								
	Total Expenditure								
	Surplus/Deficit								

Detailed Budget

		1	2	3	4
ACC Code	**Revenue /Expenditure Detail**	**Actuals 20X1/20X2**	**Approved 20X2/20X3**	**Projection to June 20X3**	**Estimates 20X3/20X4**
		MWK	**MWK**	**MWK**	**MWK**
	District Summary				
	Total Revenue				
	Total Expenditure				
	Net Revenue/Expenditure				
Cost Centre	**Programme 1**				
	Subprogramme 1				
	Item 1				
	Item 2				
	Subprogramme1 Total				
	Subrogramme 2				
	Item 1				
	Item 2				
	Subprogramme2 Total				
	Programme 1 Total				
Cost Centre	**Programme 2**				

		1	2	3	4
ACC Code	**Revenue /Expenditure Detail**	**Actuals 20X1/20X2**	**Approved 20X2/20X3**	**Projection to June 20X3**	**Estimates 20X3/20X4**
		MWK	**MWK**	**MWK**	**MWK**
	Subprogramme 1				
	Item 1				
	Item 2				
	Subprogramme1 Total				
	Programme 2 Total				
	Total Revenue				
	Total Expenditure				
	Net Revenue/Expenditure				

Capital Budget

Capital Budget for the Year												
Project #	**Project title**	**Project objectives**	**Loca-tion**	**Sector**	**Project Start Date**	**Project Comple-tion Date**	**Activ-ity**	**Output Monitoring Indicator**	**ESTIMATE 20X1/X2**			
									Own Revenue	**Donor Funds**	**Total**	**Donor Detail**
							GRAND TOTAL					

*for details see the attached investment plan already submitted to ministry of economic and development through ministry of local development.

Appendix 3.3: Personal Emoluments Schedule

Dept/Cost Centre	Post	Grade	Name of Employee	Actuals 20X1/X2	Approved Budget 20X2/X3	Projection 20X2/X3	Annual Estimate 20X3/X4	Employee category (Govt.Paid/Direct Employee	REMARKS

Appendix 3.4: Cash Flow Forecast Statement

Forecast Cashflow Statement for the Year														
Code	**Revenue /Expenditure Detail**	**Jul**	**Aug**	**Sep**	**Oct**	**Nov**	**Dec**	**Jan**	**Feb**	**Mar**	**Apr**	**May**	**Jun**	**Total**
		MWK	**MWK**	**MWK**	**MWK**	**MWK**	**MWK**	**MWK**	**MWK**	**MWK**	**MWK**	**MWK**	**MWK**	**MWK**
	REVENUE													
	Opening Balance													
60	General resource fund													
61	Sector funds													
62	Chiefs honorarium fund													
63	Chiefs operations													
64	Constituency Development Fund													
65	Infrastructure Development Fund													
66	Salary subsidy													
67	Central Government Property Rates													
68	Other Property Rates													
69	Income from Market Establishments													
70	Income from commercial undertakings													
71	Fees and Service Charges													
72	Licenses and Permits													
	Total Revenue	0	0	0	0	0	0	0	0	0	0	0	0	
	EXPENDITURE													
10	Government Paid Staff													
21	Internal travel													
22	External travel													
23	Public utilities													
24	Office supplies & Services													
25	Medical supplies													
26	Rent expenses													
27	Education supplies													
28	Training expenses													
29	Acquisition of Technical Services													
30	Insurance expenses													
31	Agriculture inputs													
32	Food and rations													
33	Other goods and services													
34	Motor Vehicle Running Expenses													
40	Grants & Subvention													
41	Formation and maintenance of capital assets													
45	Direct Staff (commercial undertakings)													

Forecast Cashflow Statement for the Year														
Code	**Revenue /Expenditure Detail**	**Jul**	**Aug**	**Sep**	**Oct**	**Nov**	**Dec**	**Jan**	**Feb**	**Mar**	**Apr**	**May**	**Jun**	**Total**
		MWK	**MWK**	**MWK**	**MWK**	**MWK**	**MWK**	**MWK**	**MWK**	**MWK**	**MWK**	**MWK**	**MWK**	**MWK**
46	Direct Staff (other departments)													
47	Chiefs emoluments													
48	Chiefs expenses													
49	Assembly & functions													
50	HIV/AIDS Intervention													
51	Debt Servicing													
52	Operational expenses from commercial undertakings													
54	Own capital contribution													
55	Constituency Development Fund													
56	Infrastructure Development Fund													
	Total Expenditure	0	0	0	0	0	0	0	0	0	0	0	0	
	Balance carried forward	0	0	0	0	0	0	0	0	0	0	0	0	0
	Donor Funds													
	Balance brought forward													
73	Add: Donor Funds Receipts													
57	Less: Donor Funds Payments													
	Donor Funds C/F	0	0	0	0	0	0	0	0	0	0	0	0	0

Supplementary Budget

Supplementary Budget Summary for the Year							
	Revenue /Expenditure Detail	**NOTES**	**Approved Budget**	**Expenditure to date**	**Balance**	**Supplementary Budget**	**Revised Annual Budget**
Code	**REVENUE**		**MWK**	**MWK**	**MWK**	**MWK**	**MWK**
	Government Transfers						
	Assembly voted transfers						
60	General resource fund						
61	Sector funds						
64	Constituency Development Fund						
65	Infrastructure Development Fund						
66	Salary subsidy						
	Sub total						
	Other transfers						
62	Chiefs honorarium fund						
63	Chiefs operations						
	Sub total						

Supplementary Budget Summary for the Year							
	Revenue /Expenditure Detail	**NOTES**	**Approved Budget**	**Expenditure to date**	**Balance**	**Supplementary Budget**	**Revised Annual Budget**
Code	**REVENUE**		**MWK**	**MWK**	**MWK**	**MWK**	**MWK**
	Total Government transfers						
	Locally Generated Revenue						
67	Central Government Property Rates						
68	Other Property Rates						
69	Income from Market Establishments						
70	Income from commercial undertakings						
71	Fees and Service Charges						
72	Licenses and Permits						
	Total Locally Generated Revenues						
	Add: Profit from Commercial Undertakings						
	Sub total						
	TOTAL REVENUE						
	EXPENDITURE						
	Personal Emoluments						
10	Government Paid Staff						
46	Direct Staff (other departments)						
	Sub total						
	Other Recurrent Transactions						
21	Internal travel						
22	External travel						
23	Public utilities						
24	Office supplies & Services						
25	Medical supplies						
26	Rent expenses						
27	Education supplies						
28	Training expenses						
29	Acquisition of Technical Services						
30	Insurance expenses						
31	Agriculture inputs						
32	Food and rations						
33	Other goods and services						
34	Motor Vehicle Running Expenses						
40	Grants & Subvention						

Supplementary Budget Summary for the Year							
	Revenue /Expenditure Detail	**NOTES**					
			Approved Budget	**Expenditure to date**	**Balance**	**Supplementary Budget**	**Revised Annual Budget**
Code	**REVENUE**		**MWK**	**MWK**	**MWK**	**MWK**	**MWK**
41	Formation and maintenance of capital assets						
47	Chiefs emoluments						
48	Chiefs expenses						
49	Assembly & functions						
50	HIV/AIDS Intervention						
51	Debt Servicing						
	Sub total						
	Capital Outlay						
54	Own capital contribution						
55	Constituency Development Fund						
56	Infrastructure Development Fund						
73	Donor Funds						
	Sub total						
	Total Expenditure						
	Surplus/Deficit						

Application for Budget Virement

Description	Notes	Approved Budget	Expenditure to date	Balance on Budget	Decrease	Increase	New Provision
		MWK	MWK	MWK	MWK	MWK	MWK
Cost Centre							
Programme							
Sub Program							
Item							
Sub Item							

PART C
REVENUE AND RECEIPTS

CHAPTER 4: ACCOUNTING FOR REVENUE AND RECEIPTS

INTRODUCTION

Local Authorities are empowered to mobilize revenue from local sources. Further, part 12 (1) of the Second Schedule of the Local Government Act 1998 allows local Authorities to establish, maintain and manage trading undertakings.

The Decentralisation Policy of 1998 provides for the transfer of grants from Central Government to the Local Authorities. The transfers from Central Government are in the form of both unconditional and conditional transfers. The unconditional transfers relate to the General Resource Fund (GRF) while the conditional transfers are mostly in the form of sector funds in respect of devolved functions to the Local Authorities.

Donor Funds are one of the sources of revenue for Local Authorities. The advent of Fiscal Decentralization has resulted in an increased direct transfer of funds from Development Partners to the Local Authorities. With the growing number of Development Partners transferring financial resources to Local Authorities, it is desirable to have standardised accounting procedures for Donor Funds.

Local Authorities, as agents for Central Government, manage some funds transferred to them for specifically designated functions. These include Deceased Estate Funds and Chiefs Honorarium Funds among others.

This Chapter looks at the accounting procedures to be applied by Local Authorities over locally generated revenue, commercial undertakings, Central Government Transfers, Donor Funds, and Trust and Designated Funds.

4.1 ACCOUNTING FOR LOCALLY GENERATED REVENUES

4.1.1 Local Revenue Sources and Recognition

Section 44 (1) of the Local Government Act 1998 empowers Local Authorities to collect locally generated revenues in order to discharge their statutory mandate. Locally generated revenues are revenues that are generated by the Local Authorities from their own sources other than from Central Government and Development Partners. Examples of locally generated revenues for Local Authorities include:

(a) Property rates;
(b) Ground rents;
(c) Fees and licenses, e.g. market fees, bus departure fees, beer fees, trade licenses, etc.;
(d) Income from commercial undertakings, e.g. rest houses, bars and bottle inventory, etc.; and
(e) Service charges, e.g. sewerage emptying charges, tree felling charges, etc.

Local Authorities shall recognize locally generated revenue in the books of accounts once revenue is realised. Most of the Local Authority transactions are on cash basis; revenue shall therefore become realized once a cash receipt has been issued. However, in the case of property rates and other service charges, revenue shall be considered realized upon billing or raising of an invoice for the service rendered. This is also in line with

International Public Sector Accounting Standards 9 and 23. Local Authorities shall maintain registers for licensees, etc.

4.1.2 Cash Receipting Procedures

4.1.2.1 Cash remitted through the revenue collectors

Cash receipting books are controlled stationery (security documents) issued only to authorised personnel by the Director of Finance. All unused stock of revenue receipt books shall be under the custody of the Director of Finance for subsequent issue to revenue collectors**.**

All revenue collectors shall deposit revenues collected to the bank on the same day, but where not possible, the revenues shall be deposited not later than the following working day and reconciled with the cashier soon after depositing the cash.

4.1.2.2 Cash remitted through the Cashier

All monies received shall be properly receipted by an official receipt and then captured in the system by using correct and appropriate accounting codes as per the chart of accounts. **All revenue collected will be acknowledged by the cashier through an issuance of an official receipt and recorded in the cashbook. Every receipt shall at least have the following features:**

(a) Name of the Local Authority and unique security features
(b) Receipt Number
(c) Date
(d) Received from
(e) Address
(f) Amount in words and in figures
(g) Description of received funds
(h) Account code for the revenue received
(i) Official stamp
(j) Signature of the collector.

The cashier shall issue an official receipt to the revenue collectors in respect of the cash or bank deposit slips (where revenue is banked directly by the revenue collectors) received. The cashier shall make arrangements for banking of the revenue received intact.

4.1.2.3 Direct Payments at Cashiers' Local Authority Office

This relates to cash or cheques paid directly to the Cashier at the Local Authority Office. The Cashier shall issue an IFMIS generated receipt to the payer as acknowledgement of cash received. At the end of the day, the Cashier shall produce a summary schedule of all the collections from IFMIS which shall be filed together with the deposit slip and submitted to the Director of Finance for review and checking.

The receipting module in IFMIS shall be used for this purpose.

4.1.2.4 Money Received through Direct Banking

Direct deposits or internet banking, e-money transactions must first be confirmed by a copy of a deposit slip or transfer reference number and cross checked with the bank statement before it is receipted by the Cashier.

4.1.3 Cash Receipting Instruments

Local Authorities shall keep and maintain the following receipting instruments:

(a) Tickets
(b) General receipts
(c) Licenses or permits
(d) Marriage certificate fee books
(e) Beer fee books
(f) Liquor license books
(g) Bank deposit slip book, etc.

4.1.4 Banking Arrangements

Each Local Authority shall open and maintain an operating bank account for locally generated revenues with any commercial bank registered under the Reserve Bank of Malawi (RBM) Act.

All revenue collected must be banked intact.

4.1.4.1 Deposit Slip

A deposit slip is a document that captures the breakdown of the amount to be banked.

A deposit slip must be completed as follows:

(a) Prepare in quadruplicate (4 copies)
(b) Enter:

- Cash receipts summarised by denomination
- Cheque receipts summarised according to payees and their respective banks.

(c) All copies of deposit slips should be duly signed and stamped by the Bank Teller.
(d) Distribution of the deposit slip will be as follows:

› Original	Retained by the bank
› Duplicate	DOF
› Triplicate	Accounts office
› Quadruplicate	Cash office

In cases where revenue collectors are depositing the revenues collected directly to the bank, the revenues must be deposited intact and the revenue collector's receipt numbers must be endorsed on the bank deposit slip.

4.1.5 The Cash Book

The principal record in respect of cash kept by a Local Authority is the Cash Book which records both cash and bank transactions. All receipt and payment transactions must pass through the Cash Book.

The Cash Book must be kept up to date and balanced on a DAILY BASIS. All transactions (Revenues) that have been receipted should be captured and posted in the system daily.

Local Authorities shall maintain cashbooks through IFMIS which shall be updated on daily basis following the steps below:

Receipts

(a) Record receipted revenues in the correct source of that revenue by posting into the appropriate account code
(b) Ensure that the recorded revenue has got corresponding audit trail that shows all details like receipt number, time of entry, authority and location of transaction

The basic cash book format for Local Authorities shows the following columns:

(a) Date
(b) Details
(c) Reference No (GR No/PV No./Cheque No)
(d) Amount
(e) Daily Cash Total
(f) Bank
(g) Revenue or Expenditure Items analysis
(h) Below the line accounts
(i) Contra

Cash receipting procedures shall follow the procedures outlined in the IFMIS Manual and hence reference shall be made to the IFMIS Manual for guidance.

Local Authorities must maintain an automated combined revenue and expenditure cash book. At the end of the month, automated copies of the combined revenue and expenditure cash book must be printed, properly filed and used as a basis for preparing bank reconciliation statements.

4.1.5.1 Recording of Transactions in the Cash Books

The double entry rule of accounting requires that every transaction entered on the credit (for payment) side of the Cash Book must have a corresponding entry recorded on the debit column of the cash book. Similarly, each item entered in the debit (for receipts) side of the cash book shall have a corresponding entry recorded on the credit side of the cash book.

It therefore follows that, provided all the entries have been entered in the cash book correctly, the debits will agree to the credits. It is this agreement that is proved when a trial balance is drawn.

The Cash Books are in standard format providing two columns for bank and cash, on both the Receipts and Payments sides.

The bank column on the debit side records all monies paid into the bank, while the cash column records all monies received by the cashier. If cheques are received by the cashier, they must be treated as cash and must be recorded in the cash column.

The bank column on the right hand side records all withdrawals of cash from the Local Authority bank account.

4.2 COMMERCIAL UNDERTAKINGS

Commercial undertakings are services of a trading nature which are financed from appropriations from the Local Authority General Rate Fund. The principal aim of establishing commercial undertakings is to supplement the revenue base of the Local Authority. Local Authorities shall run commercial undertakings that register annual net profits of at least the prevailing rate of inflation at any given point in time. The annual profits from commercial undertakings should be reinvested or transferred to the General Rate fund.

For effective management, the LA shall recruit a Commercial Manager who shall oversee the daily management operations of the commercial undertaking(s). Local Authorities are encouraged to sale and purchase on cash basis.

Where a commercial undertaking registers losses in two consecutive financial years, the Local Authority must dispose of its interest in the commercial undertaking.

4.2.1 Accounting for Receipts and Payments

4.2.1.1 Banking Arrangements

Local Authorities are obliged to open a separate bank account for commercial undertakings where all revenues from commercial undertakings will be deposited. Payments from this account will be for stock purchases, salaries and other related operating expenses of the undertakings. All monies collected from commercial undertakings shall be banked intact with copies of deposit slips distributed to the Director of Finance, accounts office and another copy retained by the commercial undertaking.

4.2.1.2 Accounting records

Local Authorities shall maintain the following accounting records for each commercial undertaking:

(a) Combined Receipts and Payments Cash Book
(b) Purchases day book
(c) Purchases ledger
(d) Sales day book
(e) Sales ledger
(f) Stock control book
(g) Receivables ledger
(h) Payables ledger
(i) Inventory Register

The formats for these accounting records are presented in Appendices 4.1 – 4.7

Local Authorities shall further prepare bank reconciliation statements on a monthly basis following procedures as outlined under Section 4.1.9.

4.2.2 Stock Valuation and Stock Taking

Stocks shall be valued using the First – In – First - Out (FIFO) method of valuation. In situations where prices are fluctuating Standard Costing method can be used this is accordance with IAS 12. The Director of Finance shall be responsible for initiating monthly stock takes of commercial undertakings.

4.2.3 Trading, Profit and Loss Account

The accounts of commercial undertakings shall be maintained separately. Local Authorities shall prepare a separate Trading and Profit and Loss Account for each undertaking on a monthly basis. The format for the Trading and Profit and Loss account is presented in Appendix 4.10.

At the end of financial year, the profit or loss from commercial undertakings shall be appropriated against the General Rate Fund through a Journal entry as follows:

(a) Where the commercial undertaking has made a profit

	Dr	Cr
Debit Trading and P & L Account xxxx		
Credit General Rate Fund		xxxx

Being year end appropriation of profit for commercial undertaking

(b) Where the Commercial Undertaking has incurred a loss

	Dr	Cr
Debit General Rate Fund	xxxx	
Credit Trading and P & L Account		xxxx

Being year end appropriation of loss for commercial undertaking

4.2.4 Loss Making Commercial Undertakings

The Director of Finance shall prepare a report on the performance of the commercial undertaking(s) at the end of the financial year. Where an undertaking has registered a loss at the end of the financial year, management shall institute an investigation. The report of the investigation shall be presented to the Finance Committee for deliberations and appropriate action.

Where a commercial undertaking has made losses for two consecutive years a recommendation for letting it out shall be presented to the Finance Committee. The contracting out of the management of the undertaking shall be by competitive bidding.

4.2.5 Commercial Ventures Management Guidelines

In managing commercial undertakings, LAs shall refer to the guidelines on management of Commercial Ventures as issued by the NLGFC.

4.3 CENTRAL GOVERNMENT TRANSFERS

4.3.1 Recognition of Central Government Transfers

Revenue grants shall be recognised in the books of accounts in the period to which they relate. This will normally be in the financial year in which the grant is included in the approved budget. Capital grants shall be recognised on receipt and amortised over the period covered by the grant.

4.3.2 Funding Arrangements

Local Authorities shall be funded by Central Government through the Credit Ceiling Authority (CCA) fund transfer system. The CCA funding system involves the allocation of spending limits on each operating bank account as the basis for drawing of cheques by Local Authorities. The total amount drawn therefore shall not exceed the authorised ceiling.

The monthly CCA shall be communicated to Local Authorities by the Treasury through the NLGFC. Local Authorities shall access their CCA through their operating bank accounts maintained with the commercial banks.

Once the CCA is communicated to the Local Authorities, the Local Authority shall issue a General Receipt to acknowledge receipt of funds. This shall be done upon confirmation with the bank. These details shall be captured and posted in the IFMIS.

Appendix 4.1: Combined Receipts and Payments Cash Book

Name of Local Authority:											
Account Name:											
Account No.											
	Receipts				Payments						
Date	Receipt Detail	GR. No.	Account Code	Amount	PV. No.	Cheque No.	Payee	Expenditure Detail	Account Code	Amount	Daily Running Balance
				MWK						MWK	MWK
	Balance c/f										X

DONOR FUNDS

4.3.3 Recognition in Books of Accounts

Donor funds shall be transferred to Local Authorities by direct bank transfers or by cheques. Revenue donations shall be recognised in the books of accounts in the period to which they relate. Capital donations shall be recognised on receipt and amortised over the period covered by the grant. However, where capital donations are in kind, **the Local Authority shall recognise the market value of the donation in the books of accounts** at the time of the asset receipt or handover.

4.3.4 Receipting Procedures

LAs shall ascertain the Donor, purpose and the conditions of the funding. The LA shall issue a general receipt against the funds on the date of receipt. If received by direct lodgment into the bank account, an official receipt shall be issued upon receipt of a deposit slip supplied by the depositor or a bank statement.

All Donor Funds received shall be recorded in the Receipts Cash Book analysed by Donor. The funds received shall be captured and credited to the relevant Donor account in IFMIS as follows:

DR Bank Account

CR Donor Account (e.g. UNCDF, KfW etc.)

An illustration of the Receipts Cash Book is presented in Appendix 4.2.

The Receipts Cash Book shall be completed as follows:

Dat Enter date when funds are received

Donor Name of donor

Details Provides details of the funds.

Receipt No. Enter general receipt number

Amount Enter cash and cheque received.

Daily Cash Totals Total cash and cheques received for the day to be transferred to Daily Cash Balance Statement

Bank Enter all cash and cheques banked plus direct lodgments

Coding Record the complete account code

All receipts should be entered in numerical sequence in the RCB as soon as transactions take place.

4.3.5 Maintenance of Donor Subsidiary Ledgers

Local Authorities shall open a subsidiary ledger in respect of each Donor and project. The subsidiary ledgers shall carry details of individual projects and expense items under each Donor.

A Work - In – Progress (WIP) account shall be maintained in respect of each project in the course of implementation. All expenses related to projects under implementation shall be transferred to the WIP account.

The Donor subsidiary ledger is illustrated in Appendix 4.6

4.3.6 Donor Funds Receipts and Payments Summary Statement

LAs shall prepare and produce a Donor Funds Receipts and Payments summary statement at the end of each month. The statement shall analyse receipts, payments and corresponding fund balances for each Donor. Local Authorities shall also prepare monthly individual Donor Funds reports where this is required. The individual Donor funds reports will be prepared from the individual Donor subsidiary ledgers maintained.

The Donor Funds Receipts and Payments summary statement shall be presented as illustrated in Appendix 4. 7.

Appendix 4.1: Donor Receipts Cash Book

Date	Details	GR No	Cash	Bank	Allocation									
					Project 1			Project 2			Project 3			Contra
					Item 1	Item 2	Item 3	Item 1	Item 2	Item 3	Item 1	Item 2	Item 3	

Donor Expenditure Cash Book

Date	Details	PV No	Cheque No	Amount	Allocation									
					Project 1			Project 2			Project 3			Contra
					Item 1	Item 2	Item 3	Item 1	Item 2	Item 3	Item 1	Item 2	Item 3	

Donor Combined Receipts and Payments Cash Book

Local Authority										
Donor Name:										
	Receipts			**Payments**						
Date	**Receipt Detail**	**GR. No.**	**Amount**	**PV. No.**	**Cheque No.**	**Payee**	**Activity**	**Project**	**Amount**	**Daily Running Balance**
			MWK						**MWK**	**MWK**
										X

Reconciled Bank Donor Fund Balance Statement

Account Name						
Account Number						
Period:						
		Donor A.	**Donor B**	**Donor C**	**Bank credits/(debits)**	**Total**
Date		**MK**	**MK**	**MK**	**MK**	**MK**
	Balance b/f					
	Add: Receipts for the month					
	Sub total					
	Less: Payments for the month					
	Balance c/f					

Donor Subsidiary Ledger

Date	**Details**	**Amount**	**Allocation**								
			Project 1			**Project 2**			**Project 3**		
			Item 1	Item 2	Item 3	Item 1	Item 2	Item 3	Item 1	Item 2	Item 3

Donor Funds Receipts and Payments Summary

	DONOR FUNDS			
	Donor A	Donor B	Donor C	TOTAL
	MWK	MWK	MWK	MWK
Receipts				
Balance b/f as at 1st July, 20X1				
Add: Receipts to June 20X2				
Sub total (1)				
Expenditure				
Payments to June,20X2				
Sub total (2)				
Balance c/f (1-2)				
Programme Sector				
Summarised Programme Description				

TRUST AND DESIGNATED FUNDS

4.3.7 Trust Funds

The Public Finance Management Act 2003 defines Trust Funds as:

(a) Money that is deposited with the state pending the completion of a transaction and dispute and which may become payable to the depositor or payable to the state or any other person when desired;
(b) Money that is paid to court for possible repayment to the payer or third party by virtue of any written law, judicial direction or any other authority;
(c) Unclaimed money that is due to or belongs to any person and is deposited with the state;
(d) Money that belongs to or is due to any person and is collected by the state under any agreement between the state and that person

4.3.8 Deceased Estate Funds

The commonest example of Trust funds that are managed by LAs are Deceased Estate funds. LAs manage Deceased Estate Funds on behalf of the Administrator General.

4.3.8.1 Accounting Procedures

The following procedures shall be followed in accounting for Deceased Estate Funds:

4.3.8.2 Receipting procedures

All money meant for deceased estates from the Administrator General, Accountant General and other organizations shall be entered in the Paper Money Register (PMR) maintained by the Administration Department.

The register and cheques shall be tendered to the Treasury cashier. The Treasury cashier shall issue a general receipt whose details shall be entered in the PMR. The Administration Department shall retain the PMR and send the general receipts back to the source of the funds.

4.3.8.3 Record Maintenance

The receipted money shall be recorded in the Third Party Money Register (TPMR). Each receipted funds shall be given an identification number in the TPMR with reference to the original PMR.

A combined receipts and payments cash book shall be maintained. All receipted money shall be banked intact in the Deceased Estates account of the LA or the cheque shall be taken to the Treasury Cashier after completing a Paying - in - Voucher (form GP96).

Where the Deceased Estate funds are disbursed to minors, bank accounts shall specifically be opened for the minors with commercial banks registered with the RBM. The minor's bank account number shall be endorsed in the TPMR.

4.3.8.4 Payment Processing

Rightful beneficiaries shall be identified by the Administration Department who shall issue an authority to pay as approved by the DC. A payment voucher (GP 10) shall be prepared by the Treasury Cashier with the authority to pay from the DC attached to the payment voucher. The payment voucher shall be processed in the normal way and shall be authorised by the DOF and countersigned by the DC. The payment voucher number shall be endorsed in the TPMR against the appropriate receipted deceased estate money.

A cheque shall be drawn in the name of the beneficiaries. The LA shall pre arrange with the banks on permissible Deceased Estate identity letters that shall be used by beneficiaries with no identity cards of their own.

Alternatively, transfer letters outlining beneficiary names and bank account numbers shall be prepared and signed by the DC authorizing withdrawal from the account. The funds shall be directly transferred to the beneficiaries' bank accounts.

The payments from the Deceased Estate funds account shall be recorded in the cash book.

4.3.8.5 Bank Reconciliation

The Deceased Estate bank account shall be independently reconciled by the Treasury Cashier at the end of every month.

A register of individual minor bank accounts shall be maintained by a Local Authority accounts officer and recorded balances shall be independently verified against available bank balances.

4.3.8.6 Financial Reporting

At the end of every month, a Receipts and Payments statement shall be prepared in respect of the Deceased Estate funds account. The statement shall summarise Deceased Estate funds receipts and payments for the month.

PART D
EXPENDITURE

CHAPTER 5: ACCOUNTING FOR EXPENDITURE

INTRODUCTION

This Chapter outlines procedures for accounting for various types of expenditures including payroll. It provides procedures for processing payments relating to ORT transactions, donor funds, salaries and employee costs, and accounting for withholding taxes.

A payment voucher is the authority by which a Controlling Officer authorizes payment of money from public funds. Payment vouchers are the basis for entry of transactions in the accounts/IFMIS and must be carefully prepared.

After the approval of budget estimates, Local Authorities have the authority to make payments and implement the approved budget. The Finance Directorate is responsible for making the initial budget implementation activities of uploading the approved budget in IFMIS, opening of ledgers, cashbooks, and bank accounts, for the new financial year before making payments

In terms of payroll, LAs presently have two categories of employees. Those seconded and paid by Central Government and those directly recruited and paid by the LA. This Chapter outlines payroll procedures for employees on the LAs payroll as Central Government payroll has not yet been devolved to the LAs

5.1 GENERAL PROVISIONS OF EXPENDITURE REGULATIONS

Authorisation and control of public expenditure is regulated in terms of Treasury Instructions (Finance) and Desk Instructions issued by the Accountant General. In addition, Treasury Circular Instructions and Minutes are issued from time to time by the Treasury to supplement the Treasury Instructions and Desk Instructions.

The important provisions relating to expenditure control are summarised below:

(a) Public funds can only be spent for the purpose and up to the limits established in the budget estimates.
(b) The purpose for which the expenditure shall be incurred is determined by the scope of Head/Vote concerned in the approved budget estimates on Revenue and Development account.
(c) It must be ensured that expenditure incurred is within the scope of the relevant item and is correctly classified.
(d) The approved budget provision on any item cannot be exceeded unless the Treasury in terms of Treasury Instruction (Finance) has provided additional funds through issue of a Virement Warrant.

Funds can be vired from one item to another by the Treasury provided the total provision for the Vote/Head as approved by the National Assembly is not exceeded.

(e) Controlling officers must apply for virement of funds as soon as it is known that expenditure in the item is likely to exceed the approved provision. Requests for virement must indicate items where savings are expected.
(f) The authority for expenditure on the Revenue Accounts elapses at the end of the financial year. Any unspent balance of provision cannot be utilized in the next year.
(g) Unspent provision in the Development Estimates in respect of the projects financed from external resources may be carried forward to the next financial year with the authority of the Treasury. Unspent provision in respect of expenditure met from local resources cannot be carried forward from one year to the next.
(h) Controlling officers may authorize Departmental officers to incur expenditure on each item within specified limits.
(i) Controlling Officers and their cost centres must keep commitments registers in form of G.P. 113 and Vote Books in form G.P. 114 to record all commitments and expenditure as soon as these are incurred. Vote books must be promptly reconciled with monthly tabulations received from the Accountant General and discrepancies corrected. **In the case of LAs, the IFMIS should be used to record all commitments and expenditure as soon as these are incurred.**
(j) Controlling officers are required to monitor monthly expenditure and commitments against budget provision. Controlling officers must send to the Treasury with copy to the Accountant General a monthly expenditure monitoring return by 10th of the following month using the format prescribed by Treasury.

5.2 GENERAL PROVISIONS FOR PROCESSING PAYMENTS

(a) Before a payment voucher is raised there must be the following:

- **Authority for payment:** This must be either standing authority in terms of the Treasury Instructions or Malawi Public Sector Regulations (MPSR) or specific authority issued by Treasury, Public Procurement and Disposal of Assets Authority (PPDA), and Internal Procurement and Disposal Committee (IPDC).
- **Provision of Funds:** Funds must be available under the relevant item /sub-item of the Vote/ Head to be charged.
- **Proof of Receipt of goods or services:** Goods or services must be certified to have been received by an authorized receiving officer (Delivery note duly signed by the stores officer, completion certificate).
- **Suppliers invoice in original form**.

(b) The allocation on the voucher must be in line with the approved Chart of Accounts as illustrated in Chapter 2.
(c) Each voucher must first be checked before posting in IFMIS.
(d) Only authorizing officer with appropriate financial delegation must approve vouchers.
(e) An officer must not authorize or pass for payment vouchers made payable to himself.
(f) Payments must be made as soon as possible after the invoice or claims are received subject to availability of funds.

5.3 PAYMENTS AND COMMITMENTS CONTROL

A commitment occurs when a local authority enters into a legal obligation that requires it to pay for goods or services either immediately or sometime in future.

A local authority enters into financial commitments whenever it enters into an agreement which involves future financial payments. It is very important that LAs make commitments within their approved budget estimate limits.

Expenditure commitments for Other Recurrent Transactions (ORT) shall be done in IFMIS and tied to payment processing in order to avoid accumulation of arrears. No payment shall be made unless it is based on a previously approved commitment within IFMIS.

LAs shall submit monthly reports of expenditure and outstanding commitments to Treasury through NLGFC by 10th day of the following month as part of monitoring mechanism as well as compliance with controls set by Treasury. Government shall be monitoring commitments on a monthly basis through commitment control report submitted by Controlling Officers.

Payment processes shall be done in IFMIS following payment procedures which are outlined in the IFMIS Manual and hence reference shall be made to the IFMIS Manual for guidance.

5.4 PROCUREMENT SYSTEM

The government allocates funds to budget lines before payment in order to control expenditure. The aim of this practice is to guard against variations between budget provisions and funding provisions.

The Pre-qualified list of suppliers shall be annually updated by the LA and submitted to the Public Procurement and Disposal of Assets Authority.

The Procurement Module in IFMIS shall be used in processing transactions relating to procurement and hence reference shall be made to the IFMIS Manual for guidance.

5.4.1 Procurement Procedures

LAs shall adhere to the requirements of the PPDA Act 2017 and accompanying Desk Instructions and Standard Bidding Instructions as well as Circulars which are issued from time to time by PPDA.

(a) **Local Purchase Order**

- Raise Internal Purchase Requisition (IPR).
- Submit Internal Purchase Requisition for approval and authorization.
- Source three quotations
- Internal Procurement and Disposal Committee (IPDC) meet to select quotation
- Raise Local Purchase Order (LPO) on selected quotation
- Present Local Purchase Order for authorization and record entry
- Receive Invoice and post
- Invoice matching and authorization
- Match invoices with Goods Received Notes (GRN)
- Payment processing

(b) **Personal Allowances and Claims**

- Fill Request to Leave Duty Station Form (loose minute for officers from P5). Indicate bank account details.
- Commit the document in the system.
- Authorization and approval
- Payment processing

(c) **Contracts**

- Identification of the project
- Identification of funding for the project.
- Invitation for bids
- Upon selection, Contract forms should be signed by the two parties. The forms must contain among other things:
- Contract number
- Contract amount
- Commencement date
- Mode of payment (currency whether local or foreign)
- Commit the contract basing on the amount indicated on the certificate.

5.4.2 Contract Agreements

In case of payment for a full or partial contract for services, a certificate shall be completed by a Technical Expert of the LA indicating the level of work completed so as to confirm whether payment to the contactor should be made, withheld, or amended according to the quality and defects of the work so far executed.

5.4.3 Supplier's Invoice or Contractor's Certificate Payment Procedures

On receipt of the supplier's invoice or contractor's certificate together with the duplicate LPO/contract, the officers in the Finance Directorate shall check the documents to confirm actions taken at different stages of initiation, acquisition of goods, and/or services pertaining to the said invoice.

5.4.4 Contracts Payments (Commitments)

(a) Before any payment is made on a works contract, the Director of Finance shall obtain a certificate from the technical officer supervising the contract that the payment is in order and is in accordance with the contract.
(b) Details of payment shall be entered in the contract register maintained by the LA.
(c) On completion of the contract, details of retention money and penalties, if any, shall be entered in the contract register.

5.5 PAYMENTS PROCESSING PROCEDURES

5.5.1 General Instructions for Preparing Payment Vouchers

Voucher Completeness

Payment Vouchers shall be computer-generated and shall contain:

(a) Name and full address of the payee.
(b) Full details of goods or services, quantities, rate, total amount payable, deductions and net amount to be paid. Where necessary use the reverse side of the voucher. After the last item in amount column, a line shall be drawn diagonally to prevent unauthorized additions.
(c) Reference to relevant authority shall be quoted on the voucher.

(d) In case of refunds, the original receipt issued shall be attached to the voucher and where the original is not available, an authorised officer shall certify the copy. Refunds shall be approved by a responsible official, to avoid abuse by endorsing on the request for refund.
(e) All supporting documents shall be attached to the original copy of the voucher.
(f) **Posting Block**

The posting block on the voucher shall show:

(a) The account code in full. Where not applicable insert "zero" to complete the digit code.
(b) Vouchers shall be numbered serially starting afresh each financial year. A register of vouchers shall be maintained to allocate voucher numbers.
(c) The gross amount payable shall be indicated on the allocation line.
(d) The total amount paid may be analysed into a number of posting blocks. Each entry shall have its own line in the posting block.

Signature

Vouchers shall be signed in full (not initials) by the officers compiling it, entering it in the vote book, the authorising officer and the counter-signing officer.

The DOF shall check and initial the vote book before signing the voucher.

Payee

Vouchers shall be payable only to the person to whom payment is due except where cash is to be withdrawn to pay a number of persons in which case the voucher shall be payable to the officer drawing the cash. Where cash is withdrawn to pay a number of persons, names of beneficiaries and the amount paid to each officer shall be shown and signed for by the recipient. No payment advice is required in this instance.

Number of Copies

Payment vouchers shall be prepared in triplicate and distributed as follows:

(a) Original copy to be retained by the cash office
(b) One copy to be retained by the originating office (sector)
(c) One copy given to the payee as payment advice

There shall be no alterations or erasures on the voucher. Any correction affecting the amount payable or names of payees shall be made by striking out the wrong figures or words and authenticated by the signature of the authorising officer.

5.5.2 Supporting Documents for Payments

Local Authorities shall pay for goods and services on the basis of the following authority or documentation where applicable:

(a) Inclusion in annual estimates and availability of funds;
(b) Local Purchase Orders;
(c) Invoices;
(d) Expenditure Requisition;
(e) Internal memos or circulars;

(f) Conditions of Service;
(g) Contract Agreement;
(h) Authority to leave duty station; and
(i) Establishment Warrant.

5.5.3 Payment Processing

All payments must be made by cheque or electronic funds transfer as approved by the Secretary to the Treasury. Payments for goods and services shall be made on a prescribed General Payment Vouchers (GP 10) which will automatically be generated in IFMIS. The Procedures for processing payments shall be as follows:

(a) A loose minute or memo shall be raised by the requesting department through the Sector Head and certified by the Director and approved by the DC/CEO.
(b) An expenditure requisition (Appendix 5.1) shall be raised by the Finance Directorate and certified by the Head of department;
(c) The Director of Finance shall certify availability of budget and cash balance on the expenditure requisition.
(d) The DC/CEO shall approve the expenditure requisition.
(e) The approved expenditure requisition shall be sent to the accounts office for preparation of a payment voucher.
(f) The payment voucher shall be sent to the DOF for authorization.
(g) The payment voucher shall be sent to the DC/CEO for countersigning.
(h) The payment voucher shall be sent back to accounts office for drawing of a cheque.
(i) The cheque shall be sent to signatories.
(j) The cheque shall be recorded in the cheque dispatch register and issued to the payee.

It must be emphasized that it is the responsibility of the DOF to authorise a payment voucher and that of the DC/CEO to countersign the payment vouchers. The role of Sector Heads is to validate and certify requests for activities on the expenditure requisition form which is a primary source for raising and processing of a payment voucher. The role of the DOF in authorising payment vouchers stems from the nature of a payment voucher being an accounting document.

5.5.4 Payment Vouchers Preparation Procedures

LAs must abide by the following procedures in preparing payment vouchers:

(a) Local Authorities shall use the general payment voucher format as shown in Appendix 5.2.
(b) All payment vouchers should be sequentially numbered and filed by month based on the sequential payment voucher and cheque numbers.
(c) The payment vouchers must be duly signed by those who prepared, checked and authorized.
(d) The payment vouchers must have the following supporting documents where applicable before authorisation:

- Original Local Purchase Order.
- Expenditure Requisition.
- Original Invoices.
- Certificate of supply of goods.
- Certificate of completion of services.
- Work Progress Certificate, etc.

5.5.5 Pre-checking of Payment Voucher before Authorisation

The authorising officer is fully responsible for the correctness of a payment voucher. In the event of any incorrect payment being made, the authorising officer will be held responsible and liable to be surcharged.

The authorising officer shall check that:

(a) Payment vouchers are supported by original supporting documents.
(b) The services and Goods being paid for have been received by the Local Authority.
(c) The prices charged are either according to contract or are fair and reasonable according to current prevailing prices.
(d) The payment is covered by proper authority and has been quoted on the voucher.
(e) All tax deductions due have been correctly computed according to the 14th schedule of the Taxation Act as amended and all other deductions due have been correctly made and remitted to relevant institutions/authorities.
(f) The persons named as payees are those entitled to receive payment.
(g) The voucher is correctly coded.
(h) No over expenditure will arise as a result of passing the payment voucher.
(i) A previous payment has not been made in respect of the particular service/goods/works.
(j) The payment voucher has been committed and funds are available to cover the payment.

After satisfying himself on the completeness and correctness of the payment voucher, the authorizing officer shall sign all copies of vouchers in the space provided.

5.5.6 Cash Office Procedures – Payments

After payment vouchers are compiled and passed by the authorizing officer, they are submitted for payment to a cash office.

All payment vouchers shall be checked to ensure that:

(a) Vouchers are prescribed on the correct forms
(b) They are complete and arithmetically correct
(c) Have been signed by both authorising and countersigning officers and that the signatures tally with the specimen signatures which are on record in the cash office
(d) The correct code has been entered in the allocation block on the bottom of the vouchers
(e) The gross amount and deductions are correctly shown
(f) Supporting documents such as original invoice and duplicate copy of LPO are attached
(g) Authority for payment is indicated and appropriately attached
(h) The voucher is not made payable to the authorising or countersigning officer himself
(i) Balance of CCA is adequate to cover payment
(j) The payee is the one entitled to receive payment
(k) Vouchers received from out stations are received with covering list and it shall be checked that all vouchers have been received

If the voucher is in order, the checking officer shall sign in the space provided on the voucher and submit it to the cash office

5.5.7 Role of A Cashier

The cashier shall:

(a) Review the voucher to satisfy that it is complete and correct and has been properly checked.
(b) Verify that funds are available to cover the payment.
(c) Ensure that competent authorities have signed the voucher and it is a correct charge to public funds
(d) Decline to pay the voucher if there is an anomaly.
(e) Pass for payment by signing in the space provided on the payment voucher.

5.5.8 Cheque Payments

All duly authorised payment vouchers for goods and services shall be paid by cheque. The following principles shall be followed in processing cheque payments:

(a) Group together all payment vouchers payable to the same payee and prepare one cheque for the total of the grouped vouchers.
(b) Write clearly date, name of payee, amount of cheque in words and figures on the cheque form counterfoil. The counterfoil shall be initialed.
(c) Enter the cheque number on all copies of the voucher in the space provided.
(d) Submit the cheque pad together with the relevant vouchers and supporting documentation to the authorised signatories who shall sign both the cheque and the counterfoil.
(e) After the cheque is signed all copies of the voucher and attachments shall be stamped "PAID".
(f) All outgoing cheques shall be recorded sequentially in the Cheque Dispatch Register (Appendix 5.3).
(g) All cancelled cheques shall be recorded in Cheque Dispatch Register and marked 'Cancelled'.
(h) All altered cheques shall be cancelled and fresh ones issued.
(i) All stale cheques shall be reversed by a journal debiting bank control account and crediting appropriate expense account or payables control account with a corresponding entry in the payables ledger.
(j) All 'Referred to Drawer' (RD) cheques shall be carefully investigated and where necessary replaced.

In case the payee collects the cheque personally, obtain the payee's personal identity and his full name and signature in the dispatch register.

5.5.9 Cash Payments: Receipted Vouchers

A receipted voucher is payment to an officer on behalf of other beneficiaries. The voucher is drawn in the name of a cashier who shall pay the claimants listed on the voucher.

5.5.9.1 Control of Receipted Vouchers

(a) The cashier shall ensure that all claimants have signed against their names and amounts before cash is paid.
(b) In case of a claimant who is unable to write, the right thumbprint shall be affixed against his name and amount on the receipted voucher before cash is paid and witnessed by a person other than the paying officer.

(c) Receipted payment vouchers, shall be returned within ten days from the last date of payment. If the vouchers are not returned within ten days, efforts by the DOF to follow up on the vouchers shall be made. Any monies unpaid shall be brought on charge.
(d) The return of receipted payment vouchers shall be recorded in the "Receipted Voucher Register". Receipted Voucher Register shall contain: full name of payee for staff, cheque number and amount, date collected, signature of payee for staff, date receipted voucher returned.
(e) If for any reason the claimant is not able to come in person to receive the claim and decides to send a third party, an authority letter personally signed by the claimant stating reasons for failure to come shall be produced by the third party as evidence. The third party shall print full name and signature before payment is made. The letter produced as evidence, shall be attached to the payment voucher.
(f) Any unclaimed money shall be brought to charge.

5.5.10 Treatment of Lost Cheques

If a payee loses an issued cheque and has reported the loss, proceed as follows:

(a) Give a "Stop Order" request to the bank by phone and confirm in writing.
(b) Wait for two weeks before issuing a replacement cheque.
(c) After expiry of two weeks, confirm with the bank if the cheque is still outstanding.
(d) Correct the initial cash book entry as follows:

- Debit Bank Account which was originally credited
- Credit the expense account or payables account which was originally debited

(e) Issue a supplementary payment voucher with reference to the original payment voucher and a replacement cheque and record it as follows:

- Debit expense or payables account
- Credit Bank Account

(f) The supplementary payment voucher shall also be supported by copies of the stop order, cancelled cheque and original payment voucher.

5.5.11 Cancelled Cheques

The following procedures shall be adhered to for cancelled or lost cheques:

(a) Draw two lines diagonally across the face of the cheque and write "cancelled" between the lines on the cheque and the counterfoil or a stamp labeled "cancelled" shall be used for the purpose.
(b) If the cheque is cancelled after it has been entered into the cashbook, a fresh entry shall be made in red ink to reverse the original entry and bring back value to the vote of charge. The narration in the payee column shall be "reversal of the entries of cancelled Cheque No....." Reverse the entries earlier made in the Net Amount column.
(c) If a cheque is cancelled before it has been entered in the cashbook, write "cheque number and date" in respective columns of the cashbook and "cancelled" in the payee column. Draw a line through the remaining columns.
(d) File the cancelled cheques in a separate folder. After the cheques are returned by the bank, file the cancelled cheque in numerical sequence with the paid cheques.
(e) Retain the cancelled cheques with paid cheques for seven years after audit.

Note that the above explanations refer to the manual systems. For the automated system a complete reversal shall be required and record the transaction using a journal. (For details refer to the IFMIS Manual).

5.5.12 Security of Cheque Books

Cheque books are security documents and the following procedures for their control and safe custody must be strictly adhered to:

(a) Lost cheque pads or blank cheque forms must be reported to bank and police as soon as it is discovered.
(b) Unused cheque pads must be entered in a cheque book register and kept in a cash chest or safe.
(c) Only one cheque book must be issued or used at any one point in time for each bank account.
(d) Cheques **must not** be pre-stamped with the name and designation of the signatories.
(e) Ensure that cheque books are kept under lock and key when not in use.
(f) Ensure that each cheque issued is recorded in the Cheque Dispatch Register.

5.6 ACCOUNTING FOR WITHHOLDING TAX

Local Authorities are major consumers of goods and services in various forms from suppliers. It is mandatory for Local Authorities to procure goods from prelisted approved suppliers only. These are prescribed in the Local Authorities' Vendors Register. One component that has lacked on the part of Local Authorities is failure to appropriately record and remit deducted withholding tax to Malawi Revenue Authority (MRA) in time, usually stipulated within 14 days from time of deduction.

It is from this background that Local Authorities are encouraged to open up a Withholding Tax Register to be used for tracking withheld tax owed to MRA. This shall help to ensure that withholding tax obligations are timely settled and the creditors or vendors account are reconciled and balanced.

A specimen for Withholding Tax Register is provided below.

The following journal posting in IFMIS shall follow immediately after raising payment to vendor who is not exempt from withholding tax.

Creation of a Vendor Account through posting of vendor invoice in IFMIS:

Dr.	Purchases/Expense Account	xxxxx	
CR.	Vendor Account		xxxxx

Full invoice amount

Settlement of Vendor Account

Dr.	Vendor Account (with payment net of WHT) xxxxx		
Cr.	Bank Account		xxxxx

Entry in the cash book journal.

Recognition of obligation to pay WHT to MRA control account

Dr.	Vendor Account (with Withholding Tax element only)	xxxxx

Cr. MRA Withholding Tax Account Control xxxxx

Being posting of vendor account to create/accrue withholding tax liability on initial payment to vendor. (MRA a/c will be cleared by cheque payment made to MRA). If MRA payments are made once in a while the register is mandatory to help keep these transactions in line.

Settlement of WHT to MRA

Dr. MRA Account xxxxx

Cr. Bank Account xxxxx

Withholding Tax Register

Date	Vendor Details	Withholding Tax Certificate	Invoice No./LPO	Total Amount MK	Net Paid to Vendor MK	Withholdilng Tax Mk

5.7 EXPENDITURE CASH BOOK

The Combined Cash Book is a book of original entry in which all payments transactions are recorded and analysed on a daily basis (Appendix 5.4).

The procedures for maintaining the ECB are as follows:

All payments must be recorded under bank column and analysed to appropriate expenditure items.

(a) All cash withdrawals from the bank should be recorded under the bank column in the ECB with a contra entry. The corresponding contra entry shall be recorded in the RCB.
(b) The ECB must be balanced page by page and totals carried forward.
(c) The ECB must be balanced and closed and the totals posted to the General Ledger on a monthly basis.
(d) At the end of the month the ECB must be balanced. The monthly contra totals of the ECB must agree with the monthly contra totals of the RCB to indicate the accurate transfer of Cash to and from bank. All below line items such as sundry receivables, sundry deposits etc. must be further analysed.

5.8 THE COMBINED RECEIPTS AND PAYMENTS CASH BOOKS

Further to the maintenance of separate Revenue and Expenditure cash books, Local Authorities shall maintain a combined Receipts and Payments cash book. The combined Receipts and Payments cash book shall be used in the preparation of bank reconciliation statements.

In the event that the cash book is maintained in IFMIS, cash book balances shall be automatically determined on a daily basis since the cash book shall be updated on a daily basis.

Completing the Combined Receipts and Payments Cash Book

Payment vouchers shall be entered in the combined receipts and payments cashbook as soon as transactions take place. One cash book shall be maintained for each bank account. A format of the Central Government Combined Receipts and Payments Manual Cash Book is illustrated in Appendix 5.5.

Entries shall be made as follows:

(i)	Station:	Name of Cash Office
(ii)	Station Account Number:	Station number of the cash office
(iii)	Period:	Period prescribed for submission of cash account
(iv)	Date:	Enter date of cheque. Entries shall be made in date sequence.
(v)	Allocation:	Allocation as shown on the voucher
(vi)	Particulars	Details of payee
(vii)	Voucher No.	Enter voucher number
(viii)	Net amount of Voucher:	Enter the net amount payable
(ix)	Cheque Number:	Cheque Number
(x)	Cheque Amount:	Amount as appearing on cheque issued. If one cheque is issued to cover two or more vouchers payable to the same payee, enter individual voucher amounts under the column "net amount". Enter gross amount of voucher as appearing under the debit column on the allocation block of the voucher.
(xi)	Credit:	Total amount of receipts appearing under the credit column on the allocation block of paying in voucher.

5.8.1 Daily Closing of Cashbook

At the end of each business day, the cash book balance shall be established as follows:

Balance on CCA

"Total gross amount of CCA on the receipt side of the Cash book less Total of the payments on the payment side of the cash book = balance on the CCA."

Balance on Reimbursements

"Total of the Reimbursement column on the Receipt side of the Cashbook less Total Payments on the Payment side of the Cashbook shall equal to the balance on the reimbursement."

In the event that the cash book is maintained in IFMIS, cash book balances relating to Central Government transfers shall be automatically determined on a daily basis since the cash book shall be updated on a daily basis.

The maintenance of a Combined Receipts and Payments Cash Book is illustrated in Appendix 5.4.

5.9 DAILY CASH/BANK BALANCE STATEMENT

The daily Cash/Bank Balance statement shows the cash and bank position at the end of each day (Appendix 5.6). The DOF must see to it that this statement is prepared on a daily basis so as to inform management on the cash and bank position of the Local Authority.

Local Authorities shall maintain the Daily Cash/Bank balance statement as detailed below:

(a) The opening balances shall be for both cash and bank under separate columns respectively.
(b) The day's receipts in total will be transferred to the cash and bank columns respectively.
(c) The day's payments in total will be transferred to the cash and bank columns respectively.
(d) The closing balances shall be reflected on both columns by the cashier for the day.
(e) The cash closing balance shall further be analysed into respective denominations and signed for by the cashier.

The above processes shall be undertaken within IFMIS in which the cash book shall be maintained. Daily cash book balances shall be determined automatically within IFMIS if the cash book is updated on daily basis.

5.10 PAYMENT PROCEDURES FOR DONOR FUNDS

All payments shall be by cheque and in line with activities and budgets on the work plan as agreed with the Donor.

The payment cycle shall be as follows:

(a) An expenditure requisition shall be completed and certified for conformity to the work plan by the Head of the implementing Department;
(b) The DOF shall certify budget balance and cash availability on the expenditure requisition;
(c) The expenditure requisition shall be submitted to the District Commissioner/Chief Executive for approval;
(d) A payment voucher shall be compiled with the approved expenditure requisition as a supporting attachment if manual system is used otherwise the invoice will be generated from the system automatically;
(e) A pre-check of the payment voucher shall be done by an officer other than the officer who prepared it for verification of accuracy of the payment voucher;
(f) Payment vouchers must be duly authorised by the Director of Finance and countersigned by the DC/CEO;
(g) Payment vouchers must be sequentially numbered;
(h) Issuance of a cheque and endorsement of cheque numbers on payment vouchers;
(i) Stamp payment vouchers and supporting documents as "PAID";
(j) Have the cheque signed;

(k) Record the cheque in the cheque dispatch register;
(l) Post the payment voucher and cheque in the Expenditure Cash Book for manual system or IFMIS. File the Paid Vouchers according to the voucher and cheque number and by month; and
(m) At the end of the month, extract the monthly' totals from the Expenditure Cash Book and transfer them to the respective ledger accounts if manual system is used otherwise IFMIS will automatically generate the totals and balance off the books.

The Expenditure Cash Book shall be completed as follows:

Date	Enter date when cheques are paid or banked
Details	Provides details of the payment including the payee.
PV Number	Enter Payment Voucher number
Cheque Number	Enter the cheque number
Amount	Enter amount paid.
Daily Cash Totals	Total cheques paid in the day and transfer to Daily Cash Balance Statement
Bank	Enter all payments by cheque
Coding	Records the complete code for the transaction

All payments must be posted in numerical sequence of Payment Vouchers and cheque numbers in the ECB as soon as transactions take place.

Separate analysis Receipts and Expenditure Cash Books shall be maintained by LAs to facilitate postings to the General Ledger especially where the LA is operating on a manual accounting system.

The payment cycle as described above relates to manual accounting system otherwise the above processes will be undertaken in IFMIS. If the IFMIS is used, reference should be made to the IFMIS Manual for processing transactions.

5.11 PAYMENT OF SALARIES AND OTHER EMPLOYEE COSTS

Local Authorities shall maintain a payroll system to properly manage its human resource. Employees' salaries shall be paid as per approved salary structure and paid out at the end of every month.

Payroll preparation is the responsibility of individual LA. The payroll shall be arranged according to LA directorates. All payments of salaries and wages shall be made monthly.

5.11.1 Payroll Processing Procedures

The DOA shall ensure that staff that have left the service of the LA are removed immediately from the payroll. The DOA shall check the payroll among other things for the following:

- Names of employees
- Employee's National Identification Number
- Salary grade
- Basic pay
- Allowances including overtime, if applicable

- Deductions
- Net pay
- Any changes duly communicated to the Finance Directorate in writing

The DOF shall determine the accuracy of the payroll and ensure that staff advances and other deductions are deducted before the payment is made. The DOF shall ensure that the correct PAYE rates have been used in preparing the payroll.

The payroll payment procedures shall be as follows:

(a) The Human Resource section shall prepare a payroll detailing the name of employees, their gross earnings, deductions and net pay.
(b) The responsible Directors shall certify the physical existence of employees under their directorates.
(c) The DOA shall certify the validity of the payroll in terms of number of employees on the payroll, their earnings' rates in relation to their grades, deductions and conformity to the approved budget estimates.
(d) The DC/CEO shall approve the payroll and pass it for payment.

Payments of Salaries through Banks

Staff salaries shall be paid through the individual bank accounts of staff. Hence, once the payroll has been checked, bank payment paypoint schedules consisting of staff that hold accounts in specific commercial bank branches shall be prepared.

For each commercial bank branch, one bank payment schedule shall be prepared indicating the names on the individuals to be paid, their account numbers and amount payable.

A voucher shall then be prepared to cover each individual payment schedule with the totals of gross pay, deductions and net pay. A certified copy of the payroll(s) shall form the supporting document.

The Director of Finance Department will authorize the cheque/EFT payments to cover the total amount on each individual bank payment schedule/voucher which the DC/CEO will endorse.

Payments of employees costs shall, as far as possible, be made by direct bank transfer or cheque payments but where this is not possible, payments in cash shall be made and in case of cash, payments shall be made in the presence of a witness authorized by the head of the directorate or DOF for this purpose and if no officer can identify him or her, a recipient shall be required to produce proof of identity.

The payroll shall be maintained in the format as illustrated in Appendix 5.8.

5.12 ACCOUNTING ENTRIES FOR PAYROLL

From the payroll illustrated in Appendix 5.7, the accounting entries shall be as follows:

	Dr	Cr
Debit Salaries Expense Account Dept A	27,000	
Debit Allowances Account Dept A	2,000	
Debit Salaries Expense Account Dept B	57,000	
Credit Bank Account	69,100	
MRA – PAYE	5,700	
Other Deductions	11,200	
Total	**86,000**	**86,000**

5.12.1 Reversal of Payroll Entries

All unclaimed and overdrawn salaries shall be immediately receipted and banked by the cashier. The accounting entry shall be as follows:

Debit: Bank Account

Credit: Salaries Account

A Journal entry must be prepared to reverse remittances earlier made as follows:

	Dr	Cr
Debit MRA – PAYE	xxxx	
Debit Other Deductions	xxxx	
Credit Salaries	xxxx	

Being reversal of transactions relating to unclaimed salaries

The Local Authority shall ensure that amounts that were wrongly remitted to institutions are recovered.

5.12.2 PAYE and Pension Contributions

Deductions through the payroll are a liability to the Local Authority and are held on trust from the date of deduction. The Local Authority shall ensure that all deductions are remitted immediately to appropriate organisations.

When these payments are made the following entries will be made:

	Dr	Cr
Debit MRA – PAYE Account	xxxx	
Credit Bank Account		xxxx

5.12.4 Advances and Loans Repaid

Local Authorities shall establish a revolving fund for advances and loans. Deductions from employee emoluments for advances and loans may not result in an external cash inflow but do represent a return of monies previously advanced or lent to employees from Local Authority funds. It is important to show the effect of these transactions in the accounts immediately the deductions are made.

Appendix 5.1: General Expenditure Requisition

To: **District Commissioner/Chief Executive Officer**

I request the payment of the sum of:.....
MWK

by charging the appropriate budget line/account of.....for the actual payment

(Requesting Department)

Purpose .....

Requesting Officer.....Signature.....Date.....

DOFs Certification of budget and funds availability

Budget balance MWK .....

Cash balance MWK .....

I certify/do not certify the availability of funds for the requested activity.

Name..... Signature ..... Date .....

District Commissioner/Chief Executive Officer Approval

I approve/do not Approve the payment of MWK.....

by charging the appropriate budget line/account of.....for the actual payment

(Requesting Department)

Name..... Signature..... Date.....

	Certification of budget and funds availability			
		INVOICE/RECEIPT		
Serial No	**Supplier**	**NO.**	**DATED**	**AMOUNT**
1				
2				
	Total Amount Invoices/Receipts			
	Cash Refunded by Recipient, If any			
	Invoices plus Refund (Must be equal to Cash Advance)			
	Local Authority Cashier . Signature Name Date Recipient's . Signature Name Date			

Appendix 5.2: General Payment Voucher

Pay to:	Emp. No.	CASH PAYMENT RECEIPT		
		Received the sum of .....Kwacha ..... Tambala ..... Signature ..... Witness PAID CHEQUE NO.		
DETAILED DESCRIPTION OF SERVICE OR ARTICLE		K	T	Signature of Recipient
TREASURY AUTHORITY: TOTAL				

I certify that this voucher is passed for payment in accordance with Treasury Instructions, that goods or services have been acquired for public purpose and that the expenditure is a proper charge to public funds and has not been previously paid.

COMPILED BY: ..... **ENTERED IN VOTE BOOK BY:**	Signature of Authorizing Officer: Appointment: Counter Signature: Appointment: Local Authority: Address: Date:

For use of Paying Officer: Checked by..... Passed by.....

ACCOUNT NUMBER								**AMOUNT**		
										DEBIT
Sect	Min	Dpt	Bgt Type	Cost Centre	Prg	Sub Prog	Donor	Project	Item Sub Station VR Item No. No.	K T

Appendix 5.3: Cheque Dispatch Register

Cheque		Payee	Purpose	PV No.	CHQ Amount	Collected By			Issuing Officer	Remarks
Date	No.					Date	Name	Sign		

Combined Receipts and Payments Cash Book

	Receipts					Payments							Running Balances	
Date	Receipt Detail	GR. No.	Dept	Amount		PV. No.	Cheque No.	Payee	Expen-diture Detail	Dept	Amount		Daily Cash Running Balance	Daily Bank Running Balance
				Cash	Bank						Cash	Bank	Cash	Bank

Central Government Combined Receipts and Payments Manual Cash Book

ASSEMBLY:	MONTH:	Account No:
COST CENTRE:		
BANK :	BRANCH :	ACCOUNT NAME : / Station No:

Date	Payee/Funding source	Head	Program	Sub-Item	Item	CCA							Reim-burse-ment		PV No.	Cheque No	Amount	Balance on CCA							Balance on
						AMOUNT							GR NO	Amount											Reim-burse-ment
	Opening Balance					GRF	CDF	LDF	Gender	Trade	Water	Total CCA						GRF	CDF	LDF	Gender	Trade	Water	Total Balance	
																									-
																									-
																									-

Daily Cash/Bank Balance Statement

DATE.....

No		Ref *	Cash Amount	BANK ACCOUNT Nos			
				AMOUNT	AMOUNT	AMOUNT	AMOUNT
				MWK	MWK	MWK	MWK
1	OPENING BAL.	*					
2	ADD: Receipts of Today	*					
3	Sub-total (1+2)						
4	LESS:- (a) Amt. Deposited today						
5	(b) Paid today by Cheque						
6	Sub-Total (4+5)						

*__NOTE__: - Please indicate/write for (1) previous working day for Open. Bal. ; (2) the range of GRs issued; (4) Date(s) the Deposit(s) relate; (5) the range of VR. Nos.

Appendix 5.4: Local Authority Payroll

Name	Emp. No.	Basic Pay	Allowances (Analysed)	Gross Pay	PAYE	Other Deductions	Net Pay
Department A							
Richard Kang'oma	P001	13,000	2,000	15,000	1,950	1,500	11,550
Jane Semu	P004	8,000	0	8,000	300	500	7,200
Peter Botolo	P009	6,000	0	6,000	0	200	5,800
Total Dept A		**27,000**	**2,000**	**29,000**	**2,250**	**2,200**	**24,550**
Department B							
David Jellasi	P002	20,000	0	20,000	3,450	3,000	13,550
Thom Kapito	P006	12,000	0	12,000	0	1,050	10,950
Charles Ketulo	P015	25,000	0	25,000	0	4,950	20,050
Total Dept B		**57,000**	**0**	**57,000**	**3,450**	**9,000**	**44,550**
Total for LA		**84,000**	**2,000**	**86,000**	**5,700**	**11,200**	**69,100**

PART E
MANAGEMENT OF BANK ACCOUNTS

CHAPTER 6: MANAGEMENT OF BANK ACCOUNTS

INTRODUCTION

The generally accepted policy regarding payments is that they must be by cheque. This Chapter outlines standard procedures for preparation of a bank reconciliation statement for bank accounts operated directly by Local Authorities with commercial banks. This Chapter further looks at the bank reconciliation process for operating accounts funded through the CCA system.

This Chapter also describes procedures relating to management of pooled bank accounts that must be adhered to by the local authorities. In order to strengthen fiscal decentralization, Government directed that all sector funds at Local Authority level should be managed through a single ORT Pool bank account, under the stewardship of the DC/CEO as Controlling Officer.

6.1 AUTHORITY TO OPEN BANK ACCOUNTS

Section 47 of the Local Government Act 1998 states that a Local Authority shall open and maintain a bank account for all revenues and other monies raised or received by it under the Act or any other written law. Section 31 (4) of the PFMA states that no bank account shall be opened or operated or continue to operate for the deposit or withdrawal of public money without express authority of and on such conditions as the Secretary to the Treasury determines.

DCs/CEOs shall always ensure bank accounts are opened and maintained in compliance with PFMA.

6.2 LOCAL AUTHORITY BANK ACCOUNTS

As a minimum, every Local Authority shall maintain the following bank accounts:

(a) Other Recurrent Transactions (ORT) Main Bank Account
(b) Local Revenue Operations Bank Account
(c) Salaries Bank Account
(d) District Development Fund Bank Account
(e) Deceased Estate Bank Account
(f) Local Development Fund Bank Account

These bank accounts shall be operated and maintained in IFMIS following the IFMIS procedures as outlined in the IFMIS Manual.

In addition to the above, LAs shall open and maintain specific donor funded bank accounts based on donor requirements for the funds received by the LAs. These bank accounts shall be opened upon approval by Treasury through Accountant General.

6.3 BANK RECONCILIATION

Bank Reconciliation is an accounting process of reconciling the bank and cash book balances. Local Authorities must ensure that Bank Reconciliation Statements are produced each month. Presentation and submission of financial reports should be supported by bank reconciliation statements.

The bank reconciliation statement shall comprise the cashbook, bank statement, and the summary of reconciled items.

6.3.1 Purposes of Bank Reconciliation

(a) To analyse the difference between the cash book and the bank statement balances.
(b) To detect and correct errors made by the bank or cash office.
(c) To detect possible fraudulent withdrawals from the bank.
(d) To recognise or identify appropriate expenditures or receipts made directly by the bank.

Differences between Cash Book and Bank Statement balances may arise due to the following:

- Un-presented cheques;
- Deposits not credited by the bank;
- Bank charges;
- Standing order payments;
- Direct credits to the bank;
- Wrong debits and credits by the bank; and
- Errors made in recording entries in the Cash Books.

A Bank Reconciliation Statement must be prepared by an officer other than the one responsible for maintaining the Cash Books.

A bank reconciliation statement must be produced by 10th of the following month and the Director of Finance must follow it up regularly.

6.3.2 Books and Documents Required for Bank Reconciliation

In preparing bank reconciliation statements, the following documents would be required:

(a) Cash Books; and
(b) Bank Statement with the following:

  › Credit notes
  › Bank deposit slips
  › Debit notes
  › A list of outstanding cheques and lodgments from the previous month.

6.3.3 The Reconciliation Process

The bank reconciliation process shall proceed as follows:

(a) Match entries appearing in the Cash Book against those on the Bank Statement.

(b) Tick the entries appearing on both the list of un-presented cheques from the previous month's bank reconciliation and the bank statement.

(c) Prepare lists of:

- Debits in the Cash Book not on the bank statement.
- Credits in Cash Book not on the bank statement.
- Debits on the bank statement not in the Cash Book.
- Credits on bank statement not in Cash Book.

(d) Prepare a Bank Reconciliation Statement using the standard format as outlined in Appendix 6.1.

6.4 BANK RECONCILIATION PROCEDURES IN IFMIS

This is a summary guideline for preparing bank reconciliation statements using the IFMIS for Local Authorities currently processing all their financial transactions through IFMIS.

Path: Financial Management>Cash Management>Bank Reconciliation

Steps to Reconciliation

The General Tab.

Step 1

Pick the bank account number to reconcile. This is done by clicking on the look up arrow to select the bank that you want to reconcile. After clicking the look up arrow, the screen will display all the bank accounts for you to select the bank account you want to reconcile.

After selecting the bank account number, click OK in order to display the bank account number on the reconciliation sheet. After clicking OK, the bank reconciliation worksheet window will appear.

Then continue to enter the following information on the General tab:

a) Statement number: This is the bank statement number to be reconciled. This is usually found at the top of the bank statement. A statement number must be set on the bank account card before beginning to reconcile. Once the number is set on the Bank account Card, it will automatically be incrementing when doing the next reconciliation. To set the bank statement number on the bank card, proceed as follows: Financial management....Cash management....Bank account. Then click on the posting tab to enter the last statement number. If this is the first reconciliation for this bank account, the last statement number will be 000 or blank. This means the first reconciliation will pick from this number and it will be 001.

b) Statement date: Enter the date as it appears on the bank statement you received from the bank.

NOTE: The other information on the left side of the General tab is entered immediately after entering the statement date.

Step 2

Enter balance on statement. This is the closing balance which appears on the bank statement and is entered manually by the operator.

NOTE: Immediately after entering the statement balance, the other fields on the right side of the general tab like Subtotal and ending balance are also entered automatically.

Further explanation of the fields which are to the right- hand side of the general tab.

(a) **Cleared With / Cheques Per Statement.** This field includes the total of the cleared withdrawals/ cheques per the statement being reconciled.
(b) **Cleared Inc./Deposits. Per Statement.** - This field includes the total of the cleared increases/deposits per the statement being reconciled.
(c) **Balance on Statement: Refer to step 2 above.**
(d) + **Outstanding Deposits** - This field contains the total of the increases and deposits from the Deposits/Transfers tab.
(e) **Subtotal** - This field is the sum of the Balance on Statement field, plus the Outstanding Deposits.
(f) **- Outstanding Cheques** - This field contains the total of the outstanding checks from the Checks tab.
(g) +/- **Differences** - This field contains the difference between the deposits and the outstanding checks.
(h) **Ending Balance** - This field is the sum of the Balance on Statement, plus the Outstanding Deposits, minus the Outstanding Checks.

Step 3

Suggesting lines is the third step to reconciliation. This step involves automatic entering of information in both the cheques and the deposits/transfers tab once you click on the suggest lines. To suggest lines, go to **Financial management**...**cash management**...**bank reconciliation**.

On the window displayed, click on the functions button and then click on the suggest lines option. Before moving to the options tab ensure that the filter for the posting date is within the period that you want to reconcile.

After specifying the date filter, click on the options tab for the system to display all the available options. On the options displayed, when you click on the checks option, it means you want the system to display information relating to checks only. When you click on the deposits option, it means the system will display information relating to deposits only.

Lastly when you click on both, it means the system will display both the cheques and the deposits in their respective places. You select the option **BOTH** and then click **OK**.

Once you suggest lines the deposits/transfers tab are populated automatically. The deposits/transfers tab is populated with all the deposits/transfers or any amounts of money received within that date. And the other balances are populated like the + outstanding deposits field, -Outstanding checks field and the ending balance field changes.

After you have suggested the lines click on the Deposit/Transfers tab, see all the Deposits/Transfers transaction that you made in the period specified. Before you start clearing, watch out for some changes that occur in the general tab. The +**outstanding deposits field** is populated with the total amount for the deposits which are listed in the deposits/transfers tab.

One by one you check the Deposits/Transfers list against the bank statement. If an amount is found on both the Deposits/Transfers list of the system and the bank statement you clear that amount by clicking on the cleared column on the Deposits/Transfers.

When you clear an amount a few changes occur in both the Deposits/Transfers and the general tab.

(a) The cleared amount column which was initially zero is populated with the amount that has been cleared.
(b) The difference column which was initially minus the cleared amount will now become zero.
(c) In the general tab, the outstanding Deposits/Transfers field is reduced by any cleared amounts and the amount that remains in this field after we have cleared those amounts found on both the bank statement and the Deposits/Transfers list in the system is the total for unpresented Transactions.

To clear the transactions, you check the deposits against the bank statement. After clearing all the deposits/transfers we now enter the balances/amounts that are on the bank statement but are not in our system under the tab deposits/transfers. These amounts could either be interest received which will have a positive effect to our balance in the system or bank charges which will have a negative effect to our balance in the system.

After you are done with this adjustment, check the positive adjustment field under the general tab to see if the field is updated with the same amount together with subtotal field.

You should also do the same step above when we want to update the system with the bank charges which has a negative effect.

Immediately after putting the figures for bank charges and commission, the negative adjustment is populated with the total amount and the ending balance has also changed to reflect the same.

At this point the reconciliation can now be posted. Before posting you can also try to test the report to check if the reconciliation does have errors. To do this you go on Posting field just below the reconciliation tab..... Test report.

Finally we can now post the reconciliation by going to Posting field..... then Post and Print to have a copy of the reconciliation.

Immediately after clicking post and print, there is dialogue which asks you to confirm if you really wish to post the reconciliation, then click yes.

If the reconciliation is successfully posted, the shot will appear informing you that the reconciliation is finally posted.

NB: For detailed explanation and illustrations, go to the IFMIS User Manual

6.5 CCA FUNDED ACCOUNT BANK RECONCILIATION

In terms of Treasury Instruction, officers authorised to operate bank accounts shall reconcile the bank balance with the cashbook balance at the end of every month. An officer other than the one responsible for maintaining the cash books shall prepare the bank reconciliation statements. The procedures shall be as follows:

(a) Check that all paid cheques or debit notes are printed or enclosed, to support payment entries on the bank statement.
(b) Check each entry in the combined Receipts and Payment Cashbook against entries on the Bank Statement
(c) Tick entries appearing on both cashbook and Bank Statement
(d) Check the un-ticked debits on the bank statement with the list of un-presented cheques.

(e) Check un-ticked credits on bank statement with previous list of "Credits in Cashbook not on bank statement" and tick off entries appearing on Cashbook and bank statement.

(f) Prepare list of:

- Debits in cash book not appearing on the bank statement
- Credits in cashbook not on the bank statement
- Debits on the bank statement not in cashbook
- Credit on bank statement not in cashbook.

(g) Prepare a cash book summary, whose purpose is to test the accuracy of cashbook balances for the month, and the bank reconciliation statement using the following format:

CASH BOOK SUMMARY

Opening Balance	x
ADD: Receipts	x
LESS: Payments	(x)
Closing Balance	xx

BANK RECONCILIATION STATEMENT

Balance per Cashbook		**x**	
ADD: unpresented cheques		x	
Credits on Bank Statement not on Cashbook		x	**x**
		xx	
LESS:			
Credits in Cashbook not on Bank Statement		x	
Debit on Bank Statement not in Cashbook	x	**x**	
Balance as per Bank Statement		**xx**	

(h) The statement shall be signed by the officer preparing it and countersigned by the DOF.

6.5.1 Follow-Up Action

After the bank reconciliation statement is prepared, it is necessary that adjustments required are promptly made for correcting errors and omissions revealed by the reconciliation statement. These are discussed below:

Un-Presented Cheques

The list of outstanding cheques shall be checked and ticked against the following month's bank statement.

Cheques that have become stale for example after a period of six months from the date of issue shall be brought on charge by preparing a General Receipt and allocated as follows:

(a) Cheques becoming stale in the same year shall be credited to the account originally debited.
(b) Cheques becoming stale in the next financial year shall be credited to appropriate Revenue Head.
(c) Cheques issued on Below-the-Line Accounts shall be credited to the account originally debited regardless of when the cheque was issued.

Procedures for Replacement of Stale Cheque

(a) Check for the official copy of the General Receipt that the stale cheque was brought on charge.
(b) Prepare a payment voucher (GP 10) charging the same vote/Head credited with the amount of the stale cheque. The General Receipt (official copy) shall be attached to the payment voucher.
(c) Enter the replacement cheque and payment voucher in the Cashbook.
(d) If the stale cheque was credited to Revenue and the replacement cheque is issued in a subsequent financial year, charge General Rate Fund appropriation account

The procedure for correcting the transaction is as follows:

DR General Rate Fund Account

CR Bank Account

Where the stale cheque is credited to a Revenue Head, the issue of replacement cheque can be authorised only by the Director of Finance. In this case, the payment voucher shall be submitted with a covering letter to the DOF and the official receipt shall invariably be attached to the payment vouchers.

List of Credits on Bank Statement not in Cashbook

(a) The Bank sends deposit slips and credit notes together with the bank statements. These shall provide sufficient information to identify the deposit. If information is insufficient, enquire from the bank or where necessary, from the person who deposited the money.
(b) If the deposit pertains to the account, issue a General Receipt and post in the Receipts Cashbook as usual. DR Bank Control a/c and CR Revenue Item a/c.
(c) If the deposit is not for the account, ask the bank to reverse the entries.

List of Credits on Cashbook not on Bank Statement

Check the date on the bank deposit transfer. If the deposit was made after the last date on the bank statement, wait until the next bank statement is received. If the amount does not appear in the next bank statement, enquire immediately from the bank why the amount deposited has not appeared. If it is an omission or error on the part of the bank, ask the bank to correct its books. The amount shall remain outstanding until the next bank statement is received.

List of Debits on Bank Statement not in Cashbook

(a) Find out if the payment is a valid charge to the account. If not, ask the bank to reverse the entry.
(b) If the payment is genuine, ascertain the account allocation to which it shall be charged. Prepare a voucher charging the appropriate account code and post the voucher in the Payments Cash book.
(c) If a cheque appears on the bank statement but not in the Cashbook, check the payment voucher to make sure that the cheque is genuine. In that case rectify the omission by entering the cheque in the current months Cashbook and keep a note on the list. If the cheque is not genuine, report the matter immediately.
(d) Fraudulent cheques drawn from the Local Authority's bank account shall be recorded in the ledger by use of a journal as follows:

DR. Debiting Suspense Account or personal account of drawee, if known

CR. Crediting bank account

Further investigations shall be carried out and appropriate action taken.

Errors in Recording Cheque Amount in Cashbook

Normally such errors shall not arise if the Cashbook is updated and balanced daily. However, if the amount of the cheque is overstated or understated in the Cashbook, the error shall be reflected on both the list of outstanding cheques and List of Debits on bank Statement not in Cashbook. To correct the error, proceed as follows: -

First, locate the relevant copy voucher and verify the correct amount of the cheque.

(a) If amount on the cheque is overstated, raise a journal for the difference by:

DR. Bank Cash Control a/c

CR. The appropriate Expense Item a/c

Being correction of overstated amount on cheque no.....

(b) If the amount of the cheque is understated in Cash Book, raise a journal for the difference by:

DR. The appropriate Expenses Item a/c

CR. Bank Cash Control a/c

Being correction of understated amount on cheque no.....

(c) Credits on the bank statement not appearing in the Cash Book should be corrected by the following journal:

DR. Bank Account

CR. Receipts Account

Being bringing on charge direct credit omitted in the cash book

(d) Entries in the Cash Book not appearing on the bank statement for a long period must be investigated.

The bank reconciliation shall be done in IFMIS and the system procedures shall be followed. The DOF shall ensure that this is adhered to at all times.

6.5.2 Bank Reconciliation Statement for the Last Month of the Financial Year

Close the Cashbook on the last date of the financial year (say 30th June), in the usual manner. On receipt of the bank statement for the last month of the financial year (say June) prepare a preliminary bank reconciliation statement and adjust the Cashbook by posting items on the bank statement not in the Cashbook. Then recast the closing cash balance and rule off the Cashbook.

Prepare a revised bank reconciliation statement for submission to Controlling Officers, Accountant General and Auditor General.

6.5.3 Submission of Bank Reconciliation Statements

Local Authorities shall produce their bank reconciliation statement by the 10th of the ensuing month. The bank reconciliation statement shall be submitted to the Accountant General through the NLGFC with copies to the Auditor General.

6.6 MANAGEMENT OF POOL BANK ACCOUNT

6.6.1 Receipting Procedures

Funding shall be recorded according to the appropriate budget codes for respective sectors

Funding shall be recognized in the system on the date the figures have been confirmed with the banks.

Recording of such funding shall follow the procedures laid down in IFMIS.

Receipting procedures shall include the following:

- Counting and verification of cash.
- Issuing of an official receipt with relevant classification, signed and date stamped.
- Receipted cash should be immediately kept in the safe.
- All receipts for the day must be recorded in the cash book sequentially.
- The cash daily totals should be transferred to the Daily Cash Balance Statement.
- Prepare a deposit slip for banking and recording in the cash books.
- Banking should be done daily and the deposit slip copies must appropriately be filed.

6.6.2 Expenditure Procedures

All payment procedures as outlined in Chapter 5 shall apply. Cheques shall be issued/ drawn serially. That is, one cheque book shall be used at a time for all sectors.

The DOF or his delegated officer shall be the custodian of the cheque books.

The DOF shall ensure that balance in the Pool Account is reconciled or analyzed with individual sector balances. This entails maintenance of subsidiary ledgers a must.

6.6.3 Filing Arrangements

The DOF shall ensure that all payment vouchers are always properly filed. All payment vouchers shall be filed serially according to cheque numbers in one place. Sectors shall file copies of their payment vouchers sequentially for their record purposes. Sectors shall appoint designated officers to help in the filling process. The DOF shall ensure that payment vouchers are secure and that they are only accessible upon his/her authority, preferably, an officer should be assigned to ensure safe custody of the payment vouchers.

Bank Reconciliations: Treasury instructions require that bank accounts are reconciled at least once in a month. Procedures as outlined in this Chapter shall be followed. It is therefore the responsibility of the DOF to ensure that this requirement is adhered to at all times.

6.6.4 Signing Arrangements

All the signing arrangements of the Pool Bank Account shall follow the procedures outlined in Chapter 1.

6.6.5 Audit Arrangements

The DOF shall facilitate the preparation of the audit exercise and ensure that all payment vouchers are accessible to auditors all the times. Where audits are to be conducted for selected sectors the DOF or his/her delegated officer shall authorise the release of the required payment vouchers. The DOF shall ensure that all payment vouchers released to auditors are listed and signed for by the auditors: and that they are returned in good order once the audit exercise is over.

Appendix 6.1: Bank Reconciliation Statement

Name of Local Authority

Bank Reconciliation Statement As At:.....

For Account No:.....

Cash Book Summary	**MWK**
Cash Book Balance beginning of month	
Add:	
Receipts during the month	
Deduct:	
Payments during the month	
Cash Balance at the end of the month	

	Reconciliation	**MWK**	**MWK**
A	Balance per bank statement (overdraft in brackets)		
	Add:		
B	Outstanding Lodgments, i.e. credits not in the bank statement (as per supporting schedule on page 3 of this form)		
C	Debit on the bank statement and not in the cash book (as per supporting schedule on page 3 of this form)		
D	**B+C**		
	Deduct:		
E	Outstanding Cheques (as per supporting schedule on page 2 of this form)		
F	Credits in the bank statement and not in the Cash Book (as per supporting schedule on page 3 of this form)		
G	**E+F**		
	Balance per Cash Book above **(A+D+G)**		

Prepared by **Checked By** **Approved by**

Name:..... Name:..... Name:.....

Signature:..... Signature:..... Signature:.....

Date:..... Date:..... Date:.....

Supporting Schedules for Bank Reconciliation Statement

i. Outstanding Cheques Listing

	Date	Cheque No.	Amount (MWK)
1			
2			
3			
4			
5			
6			
8			
9			
	Total		

ii. Outstanding Lodgments

	Date	Lodgment ref.	Amount (MWK)
1			
2			
3			
4			
5			
6			
7			
		Total	

iii. Credits on the bank statement and not in the cash book

	Date	Bank Statement Ref.	Amount (MWK)
1			
2			
3			
4			
5			
6			
		Total	

iv. Debits on the bank statement and not in the cash book

	Date	Bank Statement Ref.	Amount (MWK)
1			
2			
3			
4			
5			
6			
		Total	

PART F
LEDGER MAINTENANCE PROCEDURES AND JOURNAL TRANSFER VOUCHERS

CHAPTER 7: LEDGER MAINTENANCE PROCEDURES AND JOURNAL TRANSFER VOUCHERS

INTRODUCTION

The vote book is synonymous to the subsidiary ledger under private sector accounting. Treasury Instruction Part 2.6.1 requires Local Authorities, just like any other reporting entity receiving Government grants, to reconcile the monthly tabulations received from the Accountant General with expenditure as recorded in the Vote Book. This Chapter considers the necessary accounting procedures for maintenance and reconciliation of vote books. The Chapter further looks at Expenditure Monitoring Returns that are submitted to Treasury.

This Chapter also introduces the specific use of a Journal in the Local Authority accounting system. As it is an accounting document that will inevitably lead to adjustments to earlier recorded figures in the books of accounts, control over its being processed and approval cannot be overemphasized.

Finally, the Chapter introduces adjustments that are passed through the journal and posted to the Ledgers before compilation of financial statements. It also looks at the Extended Trial Balance which must be maintained alongside the General Ledger.

7.1 PURPOSE OF RECONCILING THE VOTES LEDGER

The Accountant General shall send monthly expenditure tabulations (postings) to Local Authorities to enable them to reconcile their Vote Books. Vote books shall be reconciled for the following reasons:

(a) To ensure that the Vote Book is a complete and accurate record of all payments charged to the Local Authority accounts.
(b) To detect and correct errors of omission, misposting, or misallocation of vouchers.
(c) To detect possible fraudulent payments charged to the Vote but not recorded in the Vote Book.
(d) To ensure that the National Accounts produced annually by the Accountant General reflect a true and complete record of all transactions of the year

7.1.1 ACCOUNTANT GENERAL'S TABULATIONS

Monthly tabulations produced by the Accountant General shall be sent to Local Authorities to enable them to reconcile their Vote Books.

The Tabulations comprise the following:

Item Posting

This is a complete listing of all transactions during the month listed in Programme, Sub Programme Item and Sub-item sequence within a Vote/Head.

Item posting shall be used by Local Authorities accounts offices to identify vouchers which do not appear on Item Posting and to reconcile revenue and Below-the-Line transactions

Monthly Statement of Expenditure

This is a summary statement showing total provision, expenditure and balance of available funds under each item/sub-item. This statement shall be used by the LA to review trends of expenditure relative to budget provisions. Local Authorities shall investigate transactions appearing on monthly statement of expenditure and take remedial action on transactions flagged as overspent or misallocated.

7.1.2 RECONCILIATION PROCEDURES

The process of reconciliation involves four steps as follows:

(a) Checking and ticking off vouchers in Vote Book and Item Postings
(b) Preparing lists of outstanding vouchers
(c) Ø Vouchers in Vote Book not in tabulations - called List A
(d) Ø Vouchers on tabulations not in Vote Book - List B
(e) Drawing up Monthly Reconciliation Statement
(f) Investigating and correcting discrepancies.

The specific procedures under each step shall proceed as follows:

(a) Check and tick off: -

- Vouchers in Item posting against Voucher in Vote Book
- Vouchers in List A of previous month with item posting
- Vouchers in List B of previous month with vouchers in Vote Book

(b) Prepare List A (Vouchers in Vote Book not on Item Posting)

- Enter un-ticked vouchers in Vote Book in List A
- Carry forward un-ticked vouchers from List A of previous month
- Total debit voucher and credit vouchers and work out Net Total of List A

(c) Prepare List B (Vouchers in Item Posting not in Vote Book)

- Enter un-ticked voucher on item posting in List B
- Carry forward un-ticked vouchers from List B of previous month
- Total debit and credit vouchers and work out Net Total or List B

(d) Draw Reconciliation Statement.

Start with: Expenditure-to-date as per Vote Book

Less: Net Total of List A

Add: Net Total of List B

Result shall be Expenditure as per Item Posting

7.1.3 FOLLOW-UP ACTION AND CORRECTION OF DISCREPANCIES

The process of reconciliation does not end with preparation of a reconciliation statement. The investigation and correction of discrepancies is an essential part of this process and unless this is done the purpose of reconciliation is not achieved.

Vouchers Outstanding in List A

This may be due to the following reasons:

(a) Vouchers entered in Vote Book in a particular month are paid in the following month.

In this case, wait until next month's item postings are received. Then check and tick off outstanding vouchers against the Item Posting.

(b) Vouchers are misposted or omitted in posting to the Vote Book or wrong amount is posted.

In this case the first step shall be to check the copy voucher in the voucher file in the office and ascertain the reason why the voucher has not appeared on the tabulations. The vouchers shall remain outstanding in List A after next month's Warrant Analysis is received and checked.

Correction required

Corrections shall be made on Vote Book figures only. No Journal transfer Voucher shall be raised.

- Enter correct amount in Vote Book for current month
- If the amount in the Vote Book is wrong write back the wrong figure by a credit entry. Then enter the correct amount.
- Note action taken in Remarks column of List A
- The outstanding vouchers are left on List A and carried forward when next month's List A is prepared
- When Item Posting for the next month is received and reconciled with the vote book the outstanding vouchers shall be cleared in List A

(c) Account Code is not given on the voucher or account code is incomplete or a new account code is used without advising the Accountant General's Department.

Correction Required

In this case, correction of tabulation only is required.

- Raise a Journal Transfer Voucher showing the correct account code. The Journal Transfer Voucher. is sent to the Accountant General's Department as usual
- If a new account code has been used check that it has been advised to Accountant General
- Note action taken in Remarks column of List A.
- The outstanding vouchers are left on List A and carried forward to the next month's List A
- When the Item Posting incorporating the Journal Transfer Voucher is received it is reconciled and ticked off with outstanding vouchers on List A

Vouchers Outstanding in List B

Since these vouchers do not appear in the Vote Book, the first step shall be to trace the outstanding vouchers with the Accountant General or in the voucher file retained by the LA. The vouchers may not appear in the Vote Book for one of the following reasons:

(a) Voucher is correctly allocated in tabulations but omitted in Vote Book or misposted under another Sub-item:

- Outstanding vouchers are left on List B and carried forward to next month's List.
- When tabulations for the month are received, Vote Book entries are ticked off against List B thus clearing the outstanding vouchers

(b) Vouchers originating in another Ministry or sector have been wrongly allocated to the LA.

Correction Required

- Ascertain correction of allocation after consulting the Sector from where the voucher originated
- Raise a Journal Transfer Voucher for correcting the misallocation and send it to Accountant General as usual
- If the voucher is not chargeable to the LA Vote, no entry is made in Vote Book but a copy is sent to the originating Ministry or sector for recording in their ledgers or vote book and inclusion on the cash control
- If the Vote allocation is correct but Programme/Sub programme Item /Sub-item is wrong the voucher shall be entered in the Vote Book under the correct allocation and a Journal Transfer Voucher raised to correct the misallocation.
- Carry forward outstanding vouchers to next month's List B
- When tabulations for the month are received the Journal Transfer Voucher shall appear on that month thus clearing the outstanding voucher.

(c) Voucher is on tabulations but copy voucher is not available in the voucher file in the office:

In this case, obtain the voucher from the Accountant General. If the voucher shows that it originated from the cost centre but no such voucher was raised in the office, this could possibly be a fraudulent voucher. The voucher shall be kept in safe custody and action taken in accordance with Treasury Instructions.

7.1.4 SUBMISSION OF RECONCILIATION STATEMENTS

The monthly Reconciliation Statements together with lists A and B shall be submitted to the Accountant General through the NLGFC not later than 10 days after receipt of the tabulations for the month.

If corrective action has not been taken the reason shall be stated in the Remarks column of List A or B as applicable.

Ensure that all Journal Transfer Vouchers arising from reconciliation up to April Accounts are sent to the Accountant General before the end of June for inclusion in the First June Account.

Journal Transfer Voucher arising after reconciliation of May and First June Accounts shall be sent to the Accountant General in time for inclusion in the Second June Account which is the final Account.

Second June Account tabulations shall be reconciled by the Local Authority and necessary corrections made within the dates prescribed by the Accountant General.

7.1.5 MONTHLY EXPENDITURE RETURNS

Local Authorities shall submit a monthly expenditure return to the Treasury through the NLGFC. The return shall reach the NLGFC not later than 10th of the month following the month being reported. The return is designed to show the consolidated position in respect of approved budget provision and levels of expenditure and commitments on each programme, item and sub-item falling under a Vote/Head.

The monthly expenditure return shall comprise:

(a) Summary statements of Monthly Recurrent Expenditure
(b) Detailed statement of Monthly Recurrent Expenditure
(c) Summary statements of Monthly Development Expenditure
(d) Detailed statement of Monthly Development Expenditure
(e) Summary Commitment Control System
(f) Detailed Commitment Control System

7.1.6 EXPLANATORY NOTES ON MONTHLY EXPENDITURE RETURN

The monthly expenditure monitoring Return compares expenditure plus commitments with budget provisions. It is, therefore, necessary that the monthly Expenditure Return shall be accompanied by an Explanatory Notes in order to:

(a) Highlight sub-items which show significant over expenditure or under expenditure as compared to budget provision
(b) Compare expenditure trends with those in corresponding period of previous year to determine if variations are normal or abnormal
(c) Analyse reasons for abnormal variations
(d) Suggest remedial action to be taken to correct the diverse trends indicated.

7.1.7 PREPARATION OF MONTHLY EXPENDITURE RETURN

The monthly Expenditure monitoring return is presented in Appendix 7.1 and shall be completed as follows:

(a) Use separate sheets for Sub-items overspent and for Sub-items under spent.

i. Column (1): Enter each Sub item overspent/Under spent
ii. Column (2): Enter balances of cumulative monthly provision in respect of each sub-item from column of the expenditure Monitoring return.
iii. Column (3): Compute percentage of Cumulative Expenditure plus commitments outstanding column and of Expenditure monitoring return to Annual Budget Provision.
iv. Column (4): Compute similar percentage for the corresponding period in the previous year. The revised budget provision shall be taken for this purpose.
v. Column (5): Analyse reason for variation in percentages computed in columns (3) and (4). If the percentage for the current year (column 3) is higher than the corresponding percentage for the previous year, it shall be necessary to explain reason for it.
vi. Similar reasons for less expenditure in the current year shall need to be explained

vii. Column (6): Here indicate the action proposed to correct adverse trends in expenditure. If expenditure on a sub-item is likely to exceed the annual provision a separate report shall be made to the NLGFC indicating at the same time possibility of savings under other sub-items. If necessary, apply for virement of funds.

The Director of Finance shall also prepare a summary report in a narrative form for the DC/CEO as a Controlling Officer highlighting:

(b) Critical areas in which expenditure has exceeded or is likely to exceed the quarterly provisions and reasons for it.
(c) Cost Centres who have not effectively controlled expenditure against funds authorized
(d) Departmental revenues under collected and reasons for it
(e) Position of reconciliation with the Accountant General's tabulations
(f) Remedial measures proposed.

Appendix 7.1: Expenditure Monitoring Return

Local Authority:											
Expenditure Monitoring Return											
Month.....											
Cost Centre	**Programme**	**Sub Programme**	**Item**	**Sub Item**	**Annual Provision**	**Monthly Provision**	**Monthly Expenditure**	**Cumulative Monthly Provision**	**Expenditure to date**	**Commitment Outstanding**	**Balance**

7.2 JOURNAL TRANSFER VOUCHERS

7.2.1 Use of Journal Transfer Vouchers

Journal Transfer Vouchers (JTV) are used for transferring a debit or a credit entry from one account to another, which becomes necessary in order to:

(a) Correct misallocations or errors revealed as a result of reconciliation with Accountant General Tabulations.

(b) Clear amounts initially booked to below-the-line accounts or suspense accounts, which have to be transferred to relevant Votes/head of account.
(c) Apportion debits (or credits) between different Departments or between cost centres on the basis of an approved authority to vire funds.
(d) Reverse wrong credits or debits

A Journal is a book which is used for recording adjustments, non-recurring and unusual transactions and correction of errors such as (Appendix 7.1). it is used for recording:

(a) Opening entries;
(b) Closing entries;
(c) Purchase of non current asset on credit;
(d) Donations in kind;
(e) Adjustments;
(f) Transfer between accounts;
(g) Disposal of non current asset
(h) Correction of errors;
(i) Dishonored cheques;
(j) Bank loans, interest and charges; and
(k) Payroll expenses

7.2.2 Procedures for Preparing Journal Transfer Vouchers

The format of the Journal Transfer Voucher (GP 38) shall be as outlined in Appendix 7.3.

The JTV shall be completed in quadruplicate as follows:

Date: Indicate the actual date of writing the Journal usually at the end of the month.

Particulars: Indicate the account to be debited preceded with "TO" and the account to be credited preceded "BY".

Folio: Enter ledger number where the account to be debited or credited refers

DR: Record amount to be debited.

CR: Record the amount to be credited.

Narration: Explains the reason for the journal entry indicating the subsidiary ledger where applicable.

The Journal shall always be approved by the Director of Finance before posting to the books of accounts and ensure that it is properly filed.

In the case of IFMIS Journal adjustments, refer to the IFMIS manual for guidance.

7.2.3 Register of Journal Transfer Vouchers

Each originating Local Authority shall maintain a register of Journal Transfer Vouchers. Details of each Journal Transfer Voucher raised shall be entered in the relevant column of the register.

7.2.4 Submission of Journal Transfer Voucher Control Statement

A control statement of Journal Transfer Vouchers raised at each Local Authority shall be prepared and submitted according to period prescribed by the Accountant General. Local Authorities shall submit the control statement with supporting Vouchers to the Accountant General's Department for consolidation of the national accounts.

7.2.5 JTVs Raised for End of Year Supplementary Accounts

Journal Transfer Vouchers shall be raised as and when account adjustments become necessary and shall not wait until the end of the financial year. Every effort shall be made to ensure that all JTVs required to be raised as a result of end of year reconciliation with Accountant General's Tabulations, are included in the June Second Account.

Vouchers for inclusion in June second account shall be forwarded to the Accountant General through the NLGFC well before the closing date fixed for the June second account which is the final adjusted account.

7.2.6 Annual Closing of Cash Accounts

In line with Treasury Instructions, the following year end procedures shall be followed to ensure a smooth transition into a new fiscal year.

Other Recurrent Transactions (ORT) that are processed through IFMIS

(a) All outstanding transactions shall be completed and cleared in the IFMIS system before the financial year end.

(b) The process of clearing transactions in the IFMIS shall involve producing supporting schedules in printout form for Commitments, Payables Lists, Receivables Lists, Detailed General Ledger print out, Trial Balance, draft General Rate Fund accounts, Statement of Income and Expenditure, Profit and Loss for those Local Authorities running commercial undertakings and Draft Statement of Financial Position. These shall be required to be filed as part of the Local Authority's audit trail.

In order to achieve this, the following shall be undertaken:

- Ensure that all Unposted transactions have been posted.
- Ensure that all Unauthorised transactions have been duly finalized whether by authorizing or by cancelling (voiding) them and reversing such transactions with valid approved supporting documentation print out.
- All Outstanding Batches in IFMIS should be posted if resources are available. If there are no resources, the outstanding transactions in batches shall be reversed to avoid accruing unnecessary commitments.
- Ensure that all unallocated resources are captured and duly finalized by allocating them to appropriate items of their account class with printed out supporting information where necessary. When not very sure, consult respective desk officer at NLGFC for direction.

(c) To complete processes stated above, end users in Local Authorities in liaison with Desk Officers at NLGFC shall be required to:

- Use navigator in IFMIS to look for any unposted transactions (vouchers, debit memos, payments, payment adjustments, journals, manual transactions (cash management), cash receipts, invoices, purchase orders).
- Clear all outstanding transactions in all modules by entering, reversing, posting or authorizing such transactions depending on their validity.

To counter-check the results of (iii) above, the DOF shall be required to print out and produce the under-listed reports to cross check and identify any unauthorized, unallocated or undistributed transactions:

- Undistributed Fund allocation report
- Unallocated warrant of Funds reports

(d) For vouchers that have been posted but not paid, either complete the payment cycle or reverse the posted voucher using Debit/Memo in IFMIS.
(e) Cancel outstanding purchase orders if not required by using VOID facility or complete the entire cycle i.e. receiving, matching and voucher generation.

After the closure of the accounts for a particular financial year, the system will be closed for the current year's transactions. However, the cash book will remain open for a period of 10 days in the new financial year to accommodate adjustments.

Government shall not allow any NEW PAYMENTS to be raised after **30th June. Arrangements should therefore be made to process all payments by 30th June for which funds are already committed**.

Other Recurrent Transactions that are processed through Credit Ceiling Authority System

When closing cash books and subsequent cash controls for all transactions under the Credit Ceiling Authority System, local authorities shall ensure that the following year-end procedures are followed:

(a) All accounts shall be closed by 30th June and Cashbooks prepared and printed with software backups for submission to the NLGFC through desk officers not later than by 15th July to allow for closure.
(b) After the closure of the June account, the cash book shall remain open for a period of 10 days to accommodate adjustments arising from bank reconciliations.
(c) Unspent Credit Ceiling Authority balances for other Recurrent Transactions shall be cleared after bank reconciliation has been performed.
(d) All bank reconciliations must be completed by 15th July.
(e) All refund cheques shall be dated 30th June and be made payable to the Accountant General who shall issue a General Receipt.

Procedures for Closing Below–the–Line Accounts

Procedures to be followed for below-the-line accounts shall be similar to those for on-going development projects since below-the-line accounts are of a continuing nature following IPSAS accruals procedure.

(a) All control accounts shall be closed by 30th June and reconciled with supporting lists for Receivables, payables, Deposits, staff advances etc. within 10 days of the financial year end. These accounts shall already exist in IFMIS.

(b) For all ongoing projects, the project accountant shall carry out bank reconciliation and thereafter make the necessary adjustments in the cash book which shall be duly authorized by the Director of Finance.

The Project Accountant shall further prepare a contra payment voucher against the cash book balance of operating accounts charging the remittance account head. A contra is simply a cashbook balancing entry signifying cash movement. The narration of the voucher shall be ***"Being transfer of year end closing balance from FY ..... to FY ....." wherever applicable.*** The contra account shall be advised by NLGFC.

To facilitate posting of transactions into 2020/2021 cash book, a General Receipt (GR) should be issued against the voucher raised in a. above. The narration should be "Being the opening balance from the 2019/2020 financial year".

(c) In case where the project has closed by the year end, procedures described for ORT shall be followed.

Locally Generated Revenues and Recurrent Expenditure

Locally Generated Revenues represent a very important source of revenue for the Local Authority as it indicates how strongly a Local Authority is pursuing its own autonomy in spiraling participatory budget in line with decentralization. Therefore, the Controlling Officers shall ensure that:

- General receipts are issued for all cash/cheque received before the financial year end.
- All issues of tickets must be fully reconciled in IFMIS with appropriate summary returns filed to account for all revenue operations of the Local Authority in the Market Operations Module.
- All filed summary returns must be accompanied by relevant respective bank deposit slips which should be well cross referenced to ease audit trail i.e. Summary Returns to be reconciled with Deposit Slips.
- Cashbook must be fully updated with any outstanding transactions to ensure that all monies are deposited intact and all funds available are banked by 30th June to facilitate closure of the financial year.
- All unposted receipts and payments including any other reconciling cashbook adjustments are wholly captured in IFMIS.
- Bank statements are obtained 5 days after closure of year end from the bank and reconciled against respective cash books.
- Local Authority Income and Expenditure Statement is printed out as required under IPSAS 1 which should match all revenues and expenditures of the Local Authority.
- The Income Surplus/Deficit must match the cashbook balance at the year-end subject to adjustments in bank charges and any other unbooked transactions.

Appendix 7.1: The Journal

				Journal No.....	
Date	**Particulars**	**Folio**	**Account Code**	**Dr**	**Cr**
Narration.....					
.....					
Narration.....					
	.....				
.....					
	.....				
	Prepared By	Checked By		Approved by	
Signature:.....		.....		.....	
Name:.....		.....		.....	
Designation:.....		.....		.....	
Date:.....		.....		.....	

Appendix 7.2: Journal Transfer Voucher (GP 38)

Distribution
ORIGINAL- Retained for Processing through the Accounts
DUPLICATE - Retained for Processing through the Accounts
TRIPLICATE -To Controlling Officer of Head/Vote being debited
QUADRUP – To Controlling Officer of Head/Vote being credited

If reason for JTV is retiring an imprest, commission and conferences or introducing a personal advance for the first time complete Part B also.

PART A: REASON FOR SUBMISSION OF JOURNAL TRANSFER VOUCHER

PART B: EMP. NO. NAME OF OFFICER AMOUNT

ADJUSTMENTS OF MISALLOCATIONS OR MISPOSTINGS: The following details should be supplied in respect of the voucher(s) being adjusted.

SECT/ DONOR	MTRY/ DEPT	BUD-GET TYPE	COST CEN-TRE	PROG/ TYPE OF RECEIPT	SUB-PROG/ TYPE OF REVE-NUE	SPE-CIFIC REVE-NUE	DO-NOR	PROJ-ECT	ITEM	Station Num-ber		Cash Con-trol	Date	AMNT
											Vr. No.			

I Certify that this voucher is passed to adjust the charge(s) detailed above.
Authorising Officer:.....
Appointment:.....
COMPILED BY:

Signature: Counter Signature;.....
ENTERED IN VOTE BOOK BY Appointment.....
Signature Local Authority:.....
Address:.....
Date:.....

SECT/ SOURCE	MTRY/ DEPT	BUD-GET TYPE	COST CEN-TRE	PROG/ TYPE OF RECEIPT	SUB-PROG/ TYPE OF REVE-NUE	SPE-CIFIC REVE-NUE	DO-NOR	PROJ-ECT	ITEM	Station Num-ber	Acc. Gen Transfer Vr. No.	AMOUNT	
												Debit	Credit

7.3 LEDGER MAINTENANCE PROCEDURES

7.3.1 The Ledger

A Ledger is one of the books of accounts. Local Authorities shall maintain the following ledgers:

(a) General Ledger
(b) Subsidiary Ledger
(c) Votes Ledger

The IFMIS ledgers shall be used to which transactions shall be posted to. In this regard, IFMIS procedures shall be used to post, maintain and report transactions. Reference to the IFMIS Manual is therefore key in achieving this.

7.3.1.1 The General Ledger

The General Ledger is the main book of account into which transactions recorded from all other books of accounts are posted on a regular basis. Local Authorities shall maintain nominal accounts in the General Ledger.

Nominal accounts record revenue and expenditure items for the purpose of preparing the income & expenditure account. All nominal accounts shall be closed and transferred to the income and expenditure account in the General Ledger at the end of the year by a journal.

Control accounts summarise the balances on individual accounts of similar type; for example, Cash and Bank Account, Deposit, Payables, Receivables, etc.

All Local Authorities shall open and maintain the General Ledger (Appendix 8.3). It provides detailed information of the balances of each account for management decision-making and is the basis for the production of monthly financial reports, annual financial statements and draft annual estimates.

Postings to the General Ledger shall be done monthly from the:

(a) Expenditure Cash Book
(b) Revenue Cash Book and;
(c) Journals

Local Authorities shall balance their General Ledger monthly. The General Ledger shall be closed at the end of the financial year and a new one opened at the beginning of the new financial year through a journal entry.

7.3.1.2 The Subsidiary Ledger

The subsidiary ledger records details of each personal/impersonal account in support of the control account balances, e.g. receivables subsidiary account, payables subsidiary account, etc.

7.3.2 Ledger Maintenance Procedures

The following procedures shall be used in maintaining the ledgers:

(a) The Cash Book shall be balanced at the end of each month and all below the line items (e.g. Payables, Receivables, and Advances) shall be appropriately analysed.
(b) Certify correctness of the postings in the cash books and journals.
(c) Immediately after posting to the General Ledger, a trial balance shall be extracted to ascertain the correctness of the postings.
(d) The cash and bank totals in the Cash Book shall be posted to credit side of the Ledger under the Cash Control Account and Bank Control Account in the General Ledger. The cash and bank totals in the Revenue Cash Book shall similarly be posted to debit side of the Cash Control Account and Bank Control Account in the General Ledger.
(e) Receipts or payments affecting subsidiary ledger shall be posted in total to the respective control accounts and simultaneously posted to the individual subsidiary ledgers.

The IFMIS procedures shall be used for posting transactions in the ledger.

7.3.3 The Trial Balance

Further to the maintenance of the General Ledger, LAs shall maintain the Trial Balance on a monthly basis. The DOF shall ensure that print outs of the TB are maintained on file each month. The TB is a tool used in the compilation of up to date monthly financial reports and annual accounts and as such shall be kept up to date by the DOF.

7.3.3.1 Trial Balance Maintenance Procedures

The TB shall be maintained on the basis of the Statement of financial position items and the nominal accounts. The balances from the control and nominal accounts shall be posted to the TB on a monthly basis. Each month shall be posted in its own work sheet in Excel with closing balances from the previous month posted as opening balances in the subsequent month.

The IFMIS will automatically generate a trial balance on monthly basis based on the transactions which have been posted in the system. The IFMIS procedures shall therefore be followed to generate and maintain the TB.

The columns of the TB shall be completed as follows:

(a) **Statement of financial position and nominal account item particulars**

Statement of financial position items as extracted from the statement of financial position as at 30th June of the preceding year shall be entered in the first part of the column. Nominal account revenue and expenses items, at departmental/cost centre level shall be entered in the second part of the column.

(b) **Item account code**

The account code of the item shall be entered

(c) **Item classification**

This will be the corresponding item classification as it appears in the detailed statement of financial performance or the itemised budget.

The individual items shall be linked to the appropriate item categories as they appear in the Statement of financial performance.

(d) **Opening balances**

The opening balances at the start of the month shall be entered. For the month of July, the opening balances for the Statement of financial position items shall be extracted from the preceding year's statement of financial position. In subsequent months, the opening balances shall be the closing balances from the preceding month entered as a separate work sheet in the same Excel file.

(e) **Particulars of Books of Prime Entry**

The ETB shall be drawn from the balanced balances from the books of prime entry. These will be all cash books in respect of all bank accounts maintained by the LA and will among others include:

- Local Authority operational cash book.
- ORT cash book (headquarters).
- Petty cash book.
- Sector funds ORT cash books.
- DDF cash book.
- Donor Funds cash books; etc.

In entering the figures from the respective cash books, debit entries shall be entered as positive figures while credit entries shall be preceded by a **negative**.

(f) **Journal postings**

This shall be used for effecting end of period adjustments through Journal entries.

(g) **Closing Balance**

The closing balance column shall have formulas that add up the entries in the TB. If the double entry principles have been correctly followed, the end of month closing balance must add up to **Zero.**

PART G
BALANCE SHEET ITEMS

CHAPTER 8: NON CURRENT ASSETS AND INVENTORY MANAGEMENT

INTRODUCTION

Local Authorities have the mandate to acquire and own non-current assets. The noncurrent assets shall be reflected in their statement of financial position. This Chapter provides the accounting principles relating to non-current assets.

The Chapter also accounting procedures for inventory procured by local authorities and retained for use in project implementation and other local authority operations.

8.1 NON CURRENT ASSETS

8.1.1 Definition

Non-current assets are capital items owned by the Local Authority and having an economic useful life of more than one year. Non-current assets can be sub divided into tangible and intangible assets.

Categories of tangible non current assets include:

(a) Land and buildings
(b) Plant, machinery and equipment
(c) Motor vehicles
(d) Furniture and fittings

Categories of intangible non current assets (which are not common) in Local Authorities include:

(a) Royalties
(b) Goodwill
(c) Patent rights
(d) Trademarks

Investments of the Local Authority spanning for a period exceeding one year also qualify as non current assets.

8.1.2 Acquisition of Non Current Asset

Acquisition of Non current assets by the Local Authority may be by donation, cash or credit purchase. Non current assets will be purchased only where they were included in the approved budget for the year and where the need for acquisition still exists. Local Authorities shall ensure that all non current assets are insured at all times against any risk.

Purchase Procedures

The Local Authority shall follow the following procedures in the purchase of non current asset

(a) Management of the Local Authority shall propose the purchase of the Non current assets in line with the approved budget and cash flow position. A submission shall be made to the NLGFC for technical evaluation of the proposed Non current assets purchase relative to the financial position of the Local Authority.
(b) Management shall make a submission to the Finance and Audit Committee of the Local Authority for its consideration.
(c) The Finance Committee shall submit its recommendation to the Local Authority for approval.

Once approval is granted, the Local Authority shall proceed with the purchase through its Internal Procurement and Disposal Committee (IPDC). Procurement shall follow the recommended procurement procedures of the PPDA, 2017 and in line with procurement instructions of the PPDA.

8.1.3 Accounting for Non Current Assets Acquisition

The accounting treatment, timing of recognition, determination of carrying amounts and the depreciation charges for property plant and equipment will be made in reference to IPSAS 17 as adopted by Government.

Recognition

An asset is initially recognised at cost in accordance with IPSAS 17 and an accumulated depreciation account is maintained to show the usage and wearing out of an asset.

Accounting treatment for Assets purchased by the Local Authority

Where the purchase of the non current assets is financed by cash, the following entries shall be made:

DR Non current asset account

CR Bank

Where the purchase is through a loan, a journal shall be raised as follows:

Dr Non current asset account

Cr Loan account

Being Acquisition of non current asset

On repayment of the loan, the book entries shall be as follows:

Dr Loan Account

Cr Bank Account

The interest component for the loan shall be debited to the interest expense account.

Where the non current asset acquisition is by Donation, the Local Authority shall get all necessary documentation relating to the donated non current asset including cost of the non current asset. The entries shall be as follows:

Dr Non current asset account

Cr Capital Donations account

Being acquisition of non current asset by donation

Where the value of the donated non current asset is not readily available, the asset shall be valued at market value through registered valuers.

8.1.4 Provision for Depreciation

8.1.4.1 Definition

Depreciation is the measure of wearing out, consumption or other reduction in the useful economic life of a non current asset. This may arise from usage, passage of time, obsolescence or depletion.

The provision for depreciation is not intended to provide for funds for the replacement of the asset. It is simply a method of allocating the cost of the non current asset over the periods estimated to benefit from its use.

In line with Generally Accepted Accounting Practice (GAAP), as provided for under Section 13 of the PFMA 2003, Local Authorities shall provide for depreciation of non current assets in their books of accounts.

8.1.4.2 Local Authority Depreciation Policy

Local Authorities shall adopt the straight line method of depreciation. This method allocates the depreciation charge over the useful economic life of the asset after taking into account the expected residual value.

The depreciation computation shall be as follows:

Annual depreciation charge = original cost (acquisition value) – residual value

Estimated useful life

The recommended depreciation rates for Local Authority non current assets are as follows:

Non current asset category	Depreciation Period (Years)
Land	Nil
Buildings	20
Plant and machinery (e.g. fire engines, tractors, water bowsers)	7
Motor vehicles	5
Office equipment (e.g. printers)	4
Computers	3
Furniture and fittings	4

Note that leased assets are depreciated over the period of the lease

8.1.4.3 Accounting for Depreciation

At the end of the financial year, the accounting entries in respect of the computed annual depreciation charge shall be as follows:

DR Depreciation expense account

CR Provision for depreciation (accumulated depreciation) account

Note that the depreciation charge is not recorded by an entry in the non current asset account. The non current asset account is retained at cost and the depreciation charge is credited to a separate account. The reason for this is that the net book value in the statement of financial position is shown by disclosing cost minus the accumulated depreciation over the years since the asset was acquired.

A schedule shall be maintained showing depreciation amount for each asset.

8.1.4.4 Review of Useful Economic Life

The useful economic life of non current assets shall be reviewed by qualified valuers after expiry of the depreciation periods as stipulated in Section 8.1.4.2 above. Subsequent depreciation calculations shall be based on the revised useful economic life.

8.1.5 Revaluation of Non Current Asset

To ensure that non current assets are reflected at their fair values in the statement of financial position, Local Authorities shall periodically revalue their assets. All categories of non current assets shall be revalued at five-year intervals with the exception of computers which shall be revalued after two years.

An appraisal of the value of an asset shall be undertaken by qualified valuers. The difference between the revalued amount and the previous net book value of the asset shall be transferred to the Revaluation Reserve account.

8.1.6 Disposal of Non Current Asset

Circumstances That May Lead to Asset Disposal

It may become necessary to dispose of an asset where the useful life of the asset has expired or the asset has become expensive to run or maintain.

The asset may be disposed under the following circumstances:

(a) The asset is extensively damaged that it can no longer be used.
(b) The asset has become expensive to run due to high maintenance costs.
(c) The asset has become obsolete due to technology change and can no longer be useful.

Where the asset was insured and has been damaged through accident, the Local Authority shall claim from the insurance company where the asset was insured.

Procedure for Disposal

Disposal procedures shall be as follows:

(a) Management shall pass a resolution at its meeting approving the sale of the asset in question. A Board of Survey (that shall include an independent member such as PVHO for motor vehicle disposal) shall be commissioned to inspect the assets to be disposed of. The Board of Survey will come up with their certification of the assets to be disposed.
(b) The Local Authority shall write NLGFC for consideration of the proposed board off.
(c) The Finance Committee of the Local Authority shall approve the asset disposal proposal with the exception of land which will have to be approved by the elected members of the Local Authority.
(d) The assets shall be disposed of by competitive bidding through independent Auctioneers.

Accounting for Non Current Asset Disposal

A non current asset disposal account shall be opened to account for the disposed f non current. The accounting entries shall be as follows:

Clearing the non current asset from the accounting books:

DR Asset Disposal Account (with the original cost of the asset)

CR Non current asset Account (with the original cost of the asset)

Being disposal of non current asset

Clearing the accumulated depreciation on the non current asset:

DR Provision for depreciation account (with accumulated depreciation)

CR Asset disposal account (with accumulated depreciation)

Being clearance of accumulated depreciation

Recognition of disposal proceeds

DR Bank (with proceeds from the sale)

CR Asset disposals account (with proceeds from the sale)

Being proceeds received from disposal of non current asset

Where the disposal has made a profit (Sales proceeds less net book value)

DR Asset disposal account (with the profit)

CR Income and Expenditure account (with the profit)

Being profit on disposal of non current asset

Where the disposal has made a Loss

DR Income and Expenditure (with the loss)

CR Asset disposals Account (with the loss)

Being loss on disposal of non current asset

8.1.7 Non Current Asset Register

The Director of Finance shall maintain a non current asset Register that will record details of all non current assets owned by the Local Authority. The non current asset register shall provide particulars of the different non current assets of the Local Authority across all sectors.

A specimen format of the non current Asset register is shown in Appendix 8.1

8.1.8 Annual Statement of Movement in Values of Non Current Assets

At the end of the financial year, the Director of Finance shall prepare an annual statement of non current assets values movement that shall support the non current assets figures in the Statement of financial position. The statement shall be as illustrated in Appendix 8.2.

8.1.9 Work in Progress

Work in progress refers to all materials and partly finished products that are at various stages of the production process.

Local Authority normally builds structures which sometimes are still constructed during year end when that is the case; Local Local Authorities shall at the end of the reporting period record all the unfinished works by costing all the materials and time consumed in terms of labour and all the expenses in the production process. Work in progress shall be costed in line with IPSAS 12 which includes historic cost of direct materials costs, direct labour cost, and variables expenses.

8.2 INVENTORY ACCOUNTING PROCEDURES

8.2.1 Objectives

The main objectives of accounting for inventory are:

(a) To reflect the movements of stores receipts, issues, and balances.
(b) To achieve rational and economic use of the funds provided for stores.
(c) To ensure effective monitoring and control of materials.
(d) To ensure that stock is properly allocated to planned activities.

8.2.2 Accounting for Receipt of Inventory

All stores ordered by the Local Authority shall be received by the Storekeeper. A Stores Received Note (SRN), as presented in Appendix 8.3, must be prepared in quadruplicate for all stores materials or goods received. This should be done after thoroughly checking the goods against the Local Purchase Order (LPO) with due regard to quality, quantity, specification and condition.

A payment voucher shall be raised in the normal way with the following supporting documents:

(a) LPO
(b) Stores Received Note (SRN)
(c) Delivery note
(d) Supplier's invoice

8.2.3 The Inventory Ledger

Local Authorities shall maintain a stores ledger that shall record all stores movements and values. Stores shall be valued on the basis of the First – In – First – Out (FIFO) method of stock valuation.

The stores ledger shall be maintained as illustrated in Appendix 8.4

8.2.4 Stores Return Out-Ward

Stores may be returned to the supplier for various reasons. For example, stores previously delivered by the supplier may have been of incorrect specification and or quality.

The stores return outwards shall be recorded as follows:

(a) The Stores Return Out-Ward Note (Appendix 8.5) must be completed.
(b) Record the quantity and value of stores returned to the supplier in the stores ledger with reference to the Stores Return Out-Ward Note.

8.2.5 Issue of Stores

The procedures for requisitioning and issue of stores shall be as follows:

(a) The user departments shall request for stores using a Stores Requisition form (Appendix 8.6) which shall be approved by the Director of Administration (DOA).
(b) Storekeepers shall issue stores using the Stores Issue Note (Appendix 8.7) upon receipt of authorization from the Director of Administration.
(c) A Stores Issue Note (SIN) shall be prepared by the Storekeeper in quadruplicate for all stores or goods issued.
(d) All unused SIN pads shall be kept under the safe custody of the DOA.

8.2.6 Stores Returns Inwards

Stores may be returned inwards from the user Departments to the Local Authority warehouse for the following reasons.

(a) Stores previously delivered may have been over supplied, of different quality and/or specifications.
(b) Issued stores is considered damaged or obsolete
(c) Where such stores are received by the Store Keeper the transaction shall be recorded as follows:
(d) Prepare Stores Return In-ward Note as per (Appendix 8.8).
(e) Record the stores return inward in the ledger as received with reference to the Stores Returned In-Ward Note.

The IFMIS shall be used in processing transactions relating to inventory and hence reference shall be made to the IFMIS Manual for guidance.

8.2.7 Quarterly Stock Take

The Local Authority shall conduct a stock take of its stores on a quarterly basis. The stock take shall be initiated by the DOF, who will be independent of the stores management function. The stock count will enable the Local Authority to compare the balance of stores on record against the physical balance.

Any variances between the balances shall be investigated and reconciled. A Quarterly Stock Balance Report (Appendix 8.9) shall be discussed by management and submitted to the Finance Committee.

8.2.8 Obsolete Stores

The following procedures shall be used in the disposal of obsolete stores:

(a) The DOA shall initiate the inspection of stock which may be obsolete.
(b) The DOA shall issue a report to the Chief Executive or District Commissioner, recommending appropriate action.
(c) The DC/CE shall submit a request for disposal of obsolete stores to the NLGFC for technical consideration.
(d) Write-off of obsolete stores shall be submitted to the Finance Committee of the Local Authority for approval.

Appendix 8.1: Non Current Asset Register

ACQUISITION									DISPOSAL			
DATE	FIXED ASSET DESCRIPTION	NAME OF SUPPLIER	PMT. VR. NO	AMT IN MWK	CURRENT VALUE	ID/SERIAL NO.	LOCATION	RESPONSIBLE OFFICER	DATE	VALUE	REF.	METHOD

Statement of Non Current Asset Value Movement

NO.	Description	Location	Land & Buildings	Work in Progress	Motor Vehicles	Plant & Machinery	Office Equipment	Fixtures & Fittings	TOTAL
			MK	MK	MK	MK		MK	MK
	Balance b/f								
	Acquisitions								
1									
2									
3									
4									
	Sub Total								
	Less: Accumulated Depreciation								
	Less: Disposals								
1									
2									
3									
4									
5									
6									
	Sub Total								
	Balance c/f								

Stores Receipt Note

Local Authority

Stores Receipt Note (SRN) No.....

Received From..... Date.....

.....

..... LPO No.....

..... Delivery Note No.....

Serial No.	Description of Stores	Unit	Qty Received	Unit Price	Total Amount	Ledger Folio
				MWK	**MWK**	
Total						

I Mrs/Mr.....Working as Warehouse StoreKeeper have received the

above listed Stores on behalf of .....District Assembly.

Signature:..... Date:.....

Technician

Name:..... Signature:..... Date:.....

Distribution: Original - Supplier; Duplicate - Accounts; Triplicate - Storekeeper; Quadruplicate - Book Copy

Appendix 8.2: Stores Ledger

Local Authority							
Stores Ledger							
Item	**.....**			**Unit of Measure.....**			
Date	**Purchased From Or Issued To**	**Received**		**Issued**		**Balance**	**Remarks**
		GRN	**Qty**	**SIN**	**Qty**		
Total							

Appendix 8.3: Stores Return Outward Note

Local Authority

Stores Return Out – Wards No.....

Issued to:..... Date.....

.....

.....

SRN No (s):.....

No.	Description of Stores Returned	Unit	Qty	Rate	Amount	Supplier DN	Remarks
					MWK	& Date	(Reason for Return)
Total							

Prepared By Storekeeper	Authorised By	Received By Supplier
Signature:.....	.....	.....
Name:.....	.....	.....
Designation:.....	.....	.....

Distribution: Original - Storekeeper; Duplicate - Supplier; Triplicate - Accounts; Quadruplicate - Book Copy

Appendix 8.4: Stores Requisition Note

Local Authority				
Stores Requisition				No.....
To:.....				Date.....
From:.....				
We would like to request the issuance/purchase of the following stores for our department.				
Issue the stores to Mr/Mrs.....of .....Section/Location.....				
No.	Description of Stores	Unit of Measure	Quantity	Activity
Total				
	Requesting Department			Authorised By
Signature:.....			Signature	.....
Name:.....			Name	.....
Designation:.....			Designation	.....
Date:.....			Date	.....
Distribution: Original - Storekeeper; Duplicate - Requesting Department				

Appendix 8.5: Stores Issue Note

Local Authority				
Stores Issue Note (SIN)				No.....
Issued to:.....				Date.....
No.	Description of Stores	Unit of Measure	Quantity	Activity
Total				
	Authorised By			Received in Good Condition By
Signature:.....			Signature	.....
Name:.....			Name	.....
Designation:.....			Designation	.....
Date:.....			Date	.....
Distribution: Original - Accounts, Duplicate - Requesting Department; Triplicate - Storekeeper; Quadruplicate - Book Copy				

Appendix 8.6: Stores Return Inward Note

Local Authority

Stores Return In – Ward Note No.....

Returned from:..... Date.....

.....

SRN No (s):.....

No.	**Description of Stores Returned**	**Unit of Measure**	**Quantity**	**Remarks**
				(Reason for Return)
Total				

Prepared By Storekeeper	Authorised By	Returned By Supplier
Signature:.....	.....	.....
Name:.....	.....	.....
Designation:.....	.....	.....

Distribution: Original - Department Returning; Duplicate - Storekeeper; Triplicate - Accounts; Quadruplicate - Book Copy

Appendix 8.7: Quarterly Stock Balance Report

Local Authority

Quarterly Stock Balance Report

Ware House & Location..... **Date of .....**

No.	Description of Stores	Book Balance	Physical Count	Variance	Reason for Variance
Total					

	Counted By	Checked By	Counted in the Presence of Storekeeper
Signature:.....		.....	.....
Name:.....		.....	.....
Designation:.....		.....	.....
Date:.....			

Distribution: Original - Director of Finance; Duplicate - FC Chairperson; Triplicate - Storekeeper

CHAPTER 9: RECEIVABLES AND PREPAYMENTS

INTRODUCTION

Local Authorities will normally provide chargeable services to the general public on cash basis. However, there are instances where services will be provided with invoices being subsequently sent to clients. In the case of property rates invoices, these are normally sent out to clients in advance of the actual cash receipt just as is typical of any utility providing entity. This Chapter looks at the accounting principles for receivables.

9.1 DEFINITION

9.1.1 Receivables

Receivables refer to persons and institutions that owe money to the Local Authority. Local Authorities render services and charge on cash basis. However, they will accrue receivables when payment for services rendered has been deferred. The following will be some of the circumstances under which revenue due to the LA will accrue:

(a) Property rates receivables: arising from billed but not paid property rates invoices.
(b) Trade receivables: arising from trading activities from commercial undertakings and billed but not paid for trading services.
(c) Sundry receivables: all receivables who do not fall under the above specified categories.

In all cases, Local Authorities must put in place mechanisms that would ensure that receivables are recovered within 60 days for property rates and 30 days for Trade and Sundry Receivables and within set repayment periods.

9.1.2 Prepayments

Prepayments refer to expense items that have been paid for in advance of a service received by the Local authority and relate to the subsequent reporting period(s). Examples would include annual insurance payments made at the start of the financial year, advance rental payments for premises, etc.

9.2 ACCOUNTING TREATMENT

Local Authorities should recognise credit transactions in the books of accounts at the time the transaction occurs. This will be at the time an invoice is raised for the service rendered.

For prepayments, the total amount paid shall be debited to the prepayment account and credited to the bank account. The prepayment account shall then be reduced (credited) by the monthly consumption and transferred (debited) to the relevant expense account.

For example, where a Local Authority pays rental fees in respect of office premises or accommodation of MK60, 000 representing six months' advance payment for the period 1st July – 31st December, 20X1, on 25th June, 20X1, the accounting entries would be as follows:

On payment of the rental (25th June, 20X1):

DR	Prepayments: MK60, 000	
CR	Bank:	MK60, 000

On reporting for July, 2007 (31st July, 20X1)

DR	Rental expense: MK10, 000
CR	Prepayment: MK10, 000

The prepayment would be reducing at the rate of MK10, 000 per month for the six-month period to 31st December, 20X1.

The amount of receivables and prepayments outstanding at a particular reporting period shall be recognized in the Statement of financial position.

In the case of property rates, while the total amount billed would be recognized in the books of accounts, the Local Authority should separately disclose the amount actually collected and the balance due analysed by month.

The IFMIS shall be used in processing transactions relating to receivables and prepayments, and hence reference shall be made to the IFMIS Manual for guidance.

9.3 ACCRUAL ACCOUNTING

The accrual concept requires that income earned by the Local Authority is credited in the accounting period in which it is due even though cash is not received. Expenditure incurred in earning that income, even if not paid, is included in the same accounting period. Local Authority income due but not received e.g. rest house accommodation fees, rents and rates etc. shall be accrued using a Journal as follows:

Debit	Sundry Receivables
Credit	Revenue Account

Being accrued income for the period 20XX to 20XX

9.4 REVENUES AND RECEIVABLES

Revenues shall be accounted on Cash basis of accounting unless otherwise they arise from a source other than cash. Sources that do not include collection on cash basis shall include property rates (city, municipal and town rates), and business licenses where detailed licensing database are managed. All other sources of revenues other than property rates shall be accounted for on cash basis.

(a) The DOF shall ensure that the accounts Department is demarcated between Revenues and Payables Sections
(b) The DOF shall delegate supervisory powers of the sections with written instructions to nominated supervisors who shall be approved by management to head either section.

The Revenue Management Section

This is a crucial section that is responsible for management of resources received by the Local Authorities. It is therefore important that this critical section is fully functional at any time. However, with adoption of accruals system of accounting by urban Local Authorities it means that there is need to define roles between collecting on cash basis and collecting in arrears which both require different strategies of execution in order to enhance transparency and accountability.

Cash basis

Most urban Local Authorities have now devised collection through banks that are operating sub branches in their respective revenue management departments. This means that collections that are done on cash basis are directly deposited with the cashier into the designated bank accounts with appropriate summary returns prepared.

These summary returns which contain all accounting details on revenue provide information required for reconciliation of collections against deposits made.

Operationalizing Accruals basis

Collections in arrears constitute rates and business licenses where registers are maintained to track invoices billed and payments made by rate payers and licensees. This means that Local Authorities shall maintain fully fledged debtors' reconciliations which shall analyse debtors aged listings versus total debtors' control balances in the General Ledger on monthly basis. This requires verification that invoices billed are correctly captured with corresponding payments made or posted to the accounts hence need for this constant periodic reconciliation to check for possible errors. Staff debtors shall also be maintained on this basis with an officer nominated to track payroll records to offset staff advances.

The Local Authorities shall ensure that a section should be set up and managed by an appointed supervisor who shall follow up revenue arrears, monitor and evaluate settlement of debtors account balances. This section shall also have a clerk responsible for invoicing.

There shall also be a clerk who shall ensure that all receipts are dully coded, and posted to the correct account in the cashbook and debtors card/module in IFMIS.

In order to improve collection efficiency, Local Authorities shall ensure that monthly statements are printed and sent to debtors on monthly basis.

Debtors Reconciliation

The reconciliation of accounts receivable is the process of matching the detailed amounts of unpaid customer billings to the accounts receivable total stated in the general ledger. This matching process is important, because it proves that the general ledger figure for receivables is justified. To reconcile your Debtors Control account, you check that the balance of this account matches the total outstanding value on your customer accounts, as shown on the Aged Debtors Report.

IFMIS provides interactive statement printing facility which enhances management of debtors. There is need to ensure that these statements are timely issued out with queries from customers attended to urgently. This therefore calls for standard practice by the Debtors Reconciliation Section to be proactive by providing reconciled information to customers on monthly basis. This information forms the basis of inclu-

sion of the final reconciled periodic Total Debtors control account in the G/L which matches the figure on the aged debtors' listings.

9.5 MAINTENANCE OF RECEIVABLES RECORDS

LAs shall maintain a Accounts Receivables' ledger in respect of each individual debtor of the Local Authority as in Appendix 9.1.

The Director of Finance shall send debtor's statements to its receivables on a monthly basis. The statements shall take the format of the debtor's ledger in Appendix 9.1. At the end of the month the Director of Finance, shall post the total invoices and total receipts to the Receivables Control account for inclusion in the statement of financial position.

The debtor's records maintenance procedure by the Local Authority shall be as follows:

(a) Raise an invoice to a customer for the services rendered or goods supplied on credit.
(b) Record the invoice in the debtor's register on the date issued.
(c) Record the individual invoices in the debtor's ledger.
(d) Raise a monthly Journal to post the total amounts from the sales journal/debtor's register to the Debtor's control account.
(e) Upon receipts of payments from receivables, the following procedure shall be followed:
(f) Raise a receipt acknowledging the payment.
(g) Update the revenue cashbook accordingly (with a corresponding entry in the debtor's analysis column).
(h) Update the debtor's ledger with the receipt.
(i) Raise a monthly Journal to post the total amounts from the revenue cashbook (debtor's analysis column) to the debtor's control account.

The receivables' control account shall be supported by a reconciliation schedule of debtor's balances as extracted from the receivables' ledger.

9.6 BAD DEBTS

9.6.1 Definition

A bad debt is an amount which is or is considered to be un-collectible. LAs shall write off a debt under the following circumstances:

(a) The receivable is declared legally bankrupt.
(b) When a receivable's deceased estate value does not suffice to pay off the amount of debt.
(c) When a receivable is medically proven insane.
(d) When a receivable is incapacitated.
(e) Where the Court rules that the receivable is not indebted.
(f) Where the debt has become statute barred.
(g) Where the receivable cannot be traced.
(h) When it is not cost effective to recover the debt.

9.6.2 Procedures for Writing Off a Bad Debt

The procedures for writing off a bad debt shall be as follows:

(a) Management shall resolve that the debt is uncollectible.
(b) Management shall seek technical advice from the NLGFC on the qualification of the debt for write off.
(c) Management shall refer its recommendation to the Finance Committee for its consideration.
(d) The Finance Committee shall refer its decision for writing off the debt to the Local Authority for ratification.

Once approval for writing off a debt has been granted, a Journal shall be raised writing off the receivable as follows:

DR	Bad debts account
CR	Receivables control account and corresponding subsidiary ledgers

Being bad debts written off

At the end of the financial year, the Local Authority shall write off the bad debt account through the General Rate Fund or directly through the Statement of financial performance.

9.7 PROVISION FOR DOUBTFUL DEBTS

A doubtful debt is an amount owing to the Local Authority concerning which there is some doubt as to its collectability. It represents a debt about which there is some cause for concern but which is not yet definitely irrecoverable and cannot therefore, out of prudence, be immediately expensed out in the Statement of financial performance.

The commonest instance where provision for doubtful debts will be applicable for Local Authorities is on property rates. The accounting entry for providing for doubtful debts shall be as follows:

DR	Bad debt expense account
CR	Provision for doubtful debts account

The net effect of providing for a provision for bad debt is that the bad debt expense is written off in the bad debt expense account but the debt is not removed from receivable. Instead, a provision is set up which is a credit balance. This is netted off against receivable in the statement of financial position to give a net figure for receivable that are probably recoverable. In subsequent years, only an increase or decrease in provision for doubtful debts shall be posted to the original provision established in the previous year.

Local Authorities shall use past experience and history of the customer and age of the debt to determine the size of provision to be made against the bad debt outstanding.

Appendix 9.1: Accounts Receivables Ledger

Debtors Name.....					
Date	**Details**	**Ref No (Invoice/GR No.)**	**Amount**		
			Debit	**Credit**	**Balance**
			MWK	**MWK**	**MWK**

CHAPTER 10: PAYABLES, ACCRUALS AND COMMITMENTS

INTRODUCTION

Local Authorities are required to procure goods and services on cash basis. However, where debts are incurred, they must be restricted to the level of the available budget. Payables will therefore be committed only to the level of the available funding.

10.1 PAYABLES

Payables are all persons or institutions to whom the Local Authority owes money for goods and services. Local Authorities shall procure goods and services on cash basis. However Local Authorities may procure goods and services on credit when the cash flow is not favourable to meet the immediate requirements but there is reasonable certainty to receive revenue in the near future. Local Authorities shall ensure that all payables' provisions are within the approved budget for the period.

Local Authorities payables shall be categorized into trade and sundry payables. Trade payables shall relate to credit purchases for commercial undertakings e.g. bar restaurant, etc. Sundry payables shall relate to all payables other than trade payables.

Local Authorities shall ensure that all payables are paid in accordance with agreed credit terms. **The IFMIS shall be used in processing transactions relating to payables and hence reference shall be made to the IFMIS Manual for guidance.**

Local Authorities shall use accruals concept in recording payables.

10.2 ACCOUNTING FOR PAYABLES

Payables shall be recognised in the accounting books at the time the Local Authority receives the invoice from the supplier. The following are the accounting procedures for payables.

(a) Upon receipt of the invoice, the invoice shall be recorded in the Invoices Register (Appendix 10.1). The following entry shall be made:

Dr Expense Account

Cr Payables control account

(b) An Accounts payables' ledger containing individual accounts payables shall be maintained as illustrated in Appendix 10.2.

(c) Upon payments of payables, the following accounting entries shall be made:

Dr Payables Control

Cr Bank Account

At the same time the payables' account in the payables ledger shall be updated.

10.3 ACCRUALS ACCOUNTING

Local Authorities process payments to settle commitments. Due to nature of contractual obligations entered into by the Local Authorities there is need that these are fully disclosed in order to be transparent.

Local Authority expenditure not paid, for example, rented property, utility bills, salaries; etc. shall be accrued using a Journal as follows:

Debit: Expense Account

Credit: Accruals

Bringing into account last period's expenses.

The Payables section shall be led by a supervisor appointed as Director of Finance. The following procedures shall be adhered to:

(a) Vendors shall be created according to procurement policies approved by the IPDC of the Local Authority.
(b) Vendors shall be created in the maintenance file with appropriate coding, postal addresses including their physical address.
(c) All Vendors to be created shall finally be authorized by DOF.
(d) Invoices shall be checked and approved for posting by DOF to ensure that they are valid, correct, accurate and are not overstated or understated.
(e) All Creditors' accounts shall be reconciled on monthly basis against supplier's monthly statement.
(f) The reconciliation shall be checked by the supervisor and submitted to the DOF or ADOF for authorization for payment.
(g) Payment voucher shall be raised in respect of any outstanding invoices that are due for payment in full or part-payment arrangement by management in line with cash flow.
(h) No payment shall be made before reconciliation which must be authorized by DOF/ADOF.
(i) The monthly reconciliation shall take into account any outstanding payment, or invoices which shall be adjusted according to period end to reflect the exact position of commitments and liabilities.
(j) The DOF shall ensure that once all monthly individual creditors accounts have been reconciled, the creditors aged listings be printed and its list-total reconciled to the General Ledger Creditors Control account.
(k) The DOF shall sign off and submit to the DC/CEO for final approval the total amount of payables on monthly basis.
(l) All paid invoices and supporting documents shall be stamped "PAID" with date of payment and space for endorsement filled by the one who issued a cheque.
(m) After reconciliations, all adjustments to be made shall be authorized by DOF.

The above process shall also be followed in the IFMIS.

10.4 COMMITMENT ACCOUNTING

Commitment accounting takes accrual accounting one stage further. Instead of waiting for the invoice to be received, the LA brings into its financial reporting procedures the value of orders placed for goods and ser-

vices. LAs shall maintain vote registers in each department, as a means of controlling commitments against individual budget votes.

Commitment accounting brings the equivalent of these registers into the accounting and reporting process, normally where there is a computer facility to deal with the many parallel transactions that arise. The source document shall be the Local Purchase Order (LPO) which shall be recorded in the Commitments Register as illustrated in Appendix 10.3.

When an LPO for goods or services is placed, a copy of the order is used to determine the value against the available budget line item provision. A contra entry (usually a collective total for the many orders issued in a period) is made in a Commitments Control Account. When payment is made, against an invoice, the entry in the commitments control account is eliminated. Any difference between the estimated value of the order and the actual amount paid will need to be adjusted by a Journal subsequent to payment.

All commitments shall be disclosed in the monthly financial reports.

Appendix 10.1: Invoices Register

Date	Name of Supplier	Invoice No.	Item Description	Amount	Entered By

Appendix 10.2: Accounts Payables Ledger

Creditors Name.....					
Date	Details	Ref No (Invoice/LPO/Cheque No.)	Amount		
			Debit	Credit	Balance
			MWK	MWK	MWK

Commitment Register

Date	Ref No.(Invoice/LPO No.)	Details	Supplier	Amount

CHAPTER 11: ACCOUNTING FOR INVESTMENTS AND BORROWINGS

INTRODUCTION

Local Authorities have the mandate to invest or borrow provided this is done within the legally stipulated provisions of the PFMA, 2003 and the LGA, 1998. This Chapter looks at the accounting principles governing Local Authority investments and borrowings.

11.1 INVESTMENTS

11.1.1 Definition

An investment is an asset held to generate income or capital appreciation for a Local Authority largely held independently of other assets. Section 50 of the LGA 1998 allows a Local Authority to invest any portion of its moneys Government Treasury Bills or other investments as may be approved by the elected members of the Local Authority

11.1.2 Types of Investments

Investments by Local Authorities shall be categorized into short and long term investments. Short term investments are investments with a maturity period of not more than one year while long term investments are those with a maturity period of more than one year. Examples of investments by Local Authorities shall include: fixed deposit accounts, treasury bills, property for rentals, shares and other quoted investments etc.

11.1.3 Accounting Procedures

Local Authorities shall initially recognise investments in the books of accounts where the future economic benefits or service potential that are associated with the investment will flow to the Local Authority.

The investment shall be measured initially at its cost and the accounting entries shall be as follows:

Dr Investment

Cr Bank Account

Subsequent expenditure relating to investment that has already been recognised shall be added to the carrying amount of the investment. After initial recognition the Local Authority shall recognise the investment at its market value.

A gain or loss arising from a change in market value of the investment shall be included in the net surplus/deficit for the period in which it arises.

The DOF shall ensure that an investment certificate or such relevant documentation is issued to the Local Authority for every investment.

Short term investments shall be recognised as current assets while long term investments shall be recognised as non current assets.

Any income earned on the investment e.g. interest, dividend, rental income, etc. shall be credited to the Income & Expenditure account in the period it relates.

11.1.4 Disposal of an Investment

Disposal of investment shall be approved by the elected members of Local Authority. The Local Authority may dispose of its investment upon its maturity or where the Local Authority decides that the investment is no longer profitable.

The DOF will prepare a performance appraisal report for the investment for presentation to the Finance Committee which shall present its recommendations to the Local Authority. When a decision has been made to dispose the investment the following accounting entry shall be made:

Dr Bank Account (with the disposal proceeds)

Cr Investment account

Being disposal of the investment

Gains or losses arising from the disposal of the investment shall be determined as the difference between the net disposal proceeds and the carrying amount of the investment. The gain or loss shall be credited/ debited to the income and expenditure account as appropriate.

11.2 BORROWINGS

Section 72 of the PFMA 2003 allows statutory bodies, including Local Authorities, to borrow money with prior approval of the Minister of Finance. All proposals to borrow shall be recommended by the Local Authority and submitted to NLGFC for technical analysis and presentation to the Minister of Local Government who shall consult with the Minister of Finance as per Section 49 of the Local Government Act 1998.

Traditionally Local Authorities have access to loans from Development Funds For Local Authorities (DFLA). The DFLA is a revolving fund for Local Authorities and is under the responsibility of the Ministry of Local Government (MLG). Upon approval of the loan, funds are directly paid to contractors or consultants upon approval of the invoices by the Local Authority. A payable account will be created int he books of the Local Authority upon signing of the contract with the contractor or consultant in order to recognize a commitment. Direct payments made to the contractor or consultants by DFLA on behalf of he Local Authority shall be recorded as follows:

- Debit account payable (contractor or consultant)
- Credit DFLA (to recognize a loan)

Upon repayment of the loan by the Local Authority, the following entries shall be made:

- Debit DFLA
- Credit Bank

Interest on a DFLA loan shall be capitalised as part of the assets funded by DFLA.

In the case of bank overdraft, prior approval of the Local Authority shall be obtained in any case where:

(a) The amount of the overdraft required will exceed one sixth of the previous year recurrent revenues of the Local Authority;
(b) The overdraft is required for longer than six months.

11.2.1 Types of Borrowings

Local Authority borrowings shall be in the form of short and long term loans. Short term loans are those whose repayment period is within one year while long term loans have a repayment period of more than one year.

Short term loans shall be classified as current liabilities while as long term loans shall be classified as long term liabilities.

11.2.2 Accounting Treatment

The DOF shall maintain a loans ledger for all borrowings as in Appendix 11.1. Upon receipt of the loan the following entries shall be made:

Dr Bank Account

Cr Loans Account

On repayment of the loan the DOF shall determine the principal and interest component of the repayment. This shall be captured by the following entries:

Dr Loans Account (with the principal amount)

Dr Interest Expense Account (with interest amount)

Cr Bank Account (total amount)

At the end of the financial year the amount outstanding on the loans account shall be reported in the statement of financial position as a liability. The interest paid shall be debited to the income and expenditure account.

Appendix 11.1: Loans Ledger

Loan Provider.....			**Type of Loan.....**		
Date	**Details**	**Ref No(Loan Account/cheque No.)**	**Amount**		
			Debit	**Credit**	**Balance**
			MWK	**MWK**	**MWK**

CHAPTER 12: ACCOUNTING FOR LOSSES

INTRODUCTION

Losses incurred by Local Authorities are supposed to be thoroughly investigated and reported on by the LA. This Chapter considers the accounting and reporting procedures to be adopted over losses incurred by the LA.

12.1 REPORTING A LOS

It is the duty of every officer to immediately bring to the attention of his or her Senior Officer any circumstances, which cause him or her to believe that there is suspected loss, shortage, irregularity, fraud or theft of any public money.

Loss of Public Funds includes:

(a) Loss of Cash
(b) Loss due to misappropriation or wrong payments
(c) Loss due to abandonment of claims and remission of revenue
(d) Irrecoverable advances.
(e) Loss of Inventory and public property

The processing of losses involves four stages:

(a) Reporting of the loss to the Controlling Officer
(b) Recording the loss in the accounts
(c) Recovery or write-off of the amount of the loss
(d) Submission of Annual Statement of Losses to the Accountant General

12.2 ACCOUNTING OBJECTIVES

(a) To ensure that losses detected are recorded and reported in the accounts immediately.
(b) To ensure that amounts recoverable from the officer held responsible for the loss, are recovered without delay.
(c) To ensure that irrecoverable losses are written-off under orders of competent authority.
(d) To compile an Annual Statement of Losses for submission to the Accountant General.

12.3 LOSSES OF CASH VOTED EXPENDITURE

12.3.1 Cash Gains and Losses at the Station

The Cash Gains and Losses Account is required to be operated at the station for recording cash gains or losses detected at the time of balancing cash. For example, the cash gains and losses account for Treasury Cashiers is as follows:

Head	Item	Description Account	Responsible Officer

405	102	Cash Gains & Losses-Treasury Cashiers	DC/CEO

12.3.2 Losses not Exceeding K1, 000 at Cash Offices

The procedure for reporting and accounting shall be as follows:

(a) If a loss or surplus of cash discovered at the time of balancing cash does not exceed K1,000 the cashier shall submit a report to the DOF.
(b) When the loss is discovered, a payment voucher shall be prepared debiting account head 405 – Cash Gains and Losses – relevant Item for Cash Office.
(c) When a surplus of cash is discovered, a General Receipt and Paying-In-Voucher shall be issued crediting the same Head.
(d) Enter the payment voucher or General receipt in the Cashbook and balance the cash.
(e) Record the loss or surplus in the Register of Cash Gains and Losses, indicating the name of the officer responsible.
(f) Forward weekly original copy of the Register to the responsible officer controlling the Cash Gains and Losses Account.
(g) The responsible officer for the Cash Gains and Losses Account maintains a separate Register of Cash Gains and Losses reported by each cash office. This account shall be reviewed every three months and appropriate action shall be taken to recover any loss discovered within one month.

12.3.3 Losses of Cash Exceeding K1, 000

(a) Submit a preliminary report immediately to the Controlling Officer with copies to the Accountant General, NLGFC and the Auditor General
(b) If the loss is due to a human error and is immediately made good of, report full facts to the Controlling Officer who may, if he is satisfied, close the case.
(c) If theft or fraud is suspected a report shall also be made to the police for investigation with a copy to the Controlling Officer.
(d) Immediately the loss is discovered prepare a payment voucher charging the advance account and crediting – Losses of Cash – Relevant item for the LA. Indicate the name and post of the officer responsible for the loss.
(e) Enter the payment voucher in the Cashbook.

12.4 ACTION BY CONTROLLING OFFICER

Losses not exceeding K10, 000 shall be investigated by the Controlling Officer through a departmental enquiry to ascertain the persons responsible for the loss.

On receipt of the enquiry report the Controlling Officer shall:

(a) Decide if surcharge shall be imposed and/or disciplinary action taken against the officer held responsible.
(b) Advise details of amount recovered to the NLGFC, Accountant General and Auditor General

If the amount proposed for surcharge exceeds K10, 000, authority of Treasury through the NLGFC shall be obtained. Losses exceeding K10, 000 shall normally be investigated by a Board of Enquiry.

The Controlling Officer shall forward the report of enquiry together with his recommendations to the Finance Committee of the Local Authority, Accountant General, NLGFC and the Auditor General.

When a loss case has been reported to the police for investigation, Controlling Officer shall not:

(c) Recover the amount of the loss from the culprit
(d) Request the responsible office to remove the officer

Such actions may prejudice the Police investigations and prosecution of the culprit in the court.

The Controlling Officer shall also ensure that when the loss' cases are reported to Police, the Ministry of Local Government and Rural Development (MLGRD), the Finance Committee of the Local Authority, the NLGFC and the Secretary for Justice are kept informed of all material development so that all avenues for recovery of the amount are explored.

12.5 AUTHORITY TO WRITE-OFF

Section 90 of the PFMA outlines provisions for writing off losses. Where the Controlling Officer considers that all possible steps have been taken and recovery of the loss or part thereof, is not possible, approval for write off of the loss shall be submitted to the Secretary to the Treasury through NLGFC. The request for write off of the loss shall be first be discussed by the Finance Committee before a request shall be submitted to Treasury.

A copy shall be sent to the Auditor General explaining why recovery of the amount is not possible

The Secretary to the Treasury, MLGRD and NLGFC may take disciplinary actions as provided for under the PFMA, 2003 and LGA, Chapter 22:01 of the laws of Malawi.

12.6 ACCOUNTING ENTRIES

When the loss is detected

Prepare a payment voucher debiting the Advance Account and crediting the Losses of Cash (relevant Item for the Local Authorities) and indicate name of officer responsible for the loss.

When a decision is taken to recover the loss from the officer's salary

Raise a Journal Transfer Voucher transferring the amount to the Personal Advance Account of the officer concerned.

(a) A copy of the Journal Transfer Voucher shall be sent promptly to the Salaries Section, indicating the employee's man number, number of installments in which recovery is to be effected.
(b) The salaries section shall record details of the amount to be recovered in the Advances Register or Card in the name of the officer.
(c) Recoveries shall be effected through Salary Change Sheets using the Computer code allotted for 'Recoveries – Losses of Cash'. The amount recovered shall appear as a deduction on Deduction Analysis and as a credit against head 405 on GAO 1 thus clearing the initial debit.
(d) Salaries Section shall furnish a copy of the deduction analysis to Losses Section in evidence of the amount recovered.

12.7 LOSS OF INVENTORY

In general, the procedure for reporting and investigations of losses of Inventory is similar to that applicable to losses of cash. Where recovery of the loss is not possible, the loss may be written-off in the same manner as losses of Cash.

12.8 LOSS OF THIRD PARTY/TRUST FUNDS AND APPLICATION FOR REFUNDS

When a loss of third or trust funds has been detected the Controlling Officer shall take the following steps:

(a) Report immediately to police of the loss
(b) Complete a loss report
(c) Submit the report together with a police report and a covering letter to the Accountant General with copies to NLGFC, MLGRD, and Auditor General.
(d) The DOF shall record the loss in the books of accounts as follows:

Dr **Cash Gains and Losses**

Cr **Bank**

Immediately the loss is discovered.

(e) When Treasury has effected the refund, the following accounting treatment shall be made

Dr **Bank**

Cr **Cash Gains and Losses**

The Controlling Officer shall take this as a matter of urgency so that the beneficiaries of the Third/Trust funds are compensated as soon as possible. The Controlling Officer is therefore required to make follow ups with the Treasury and Accountant General

12.9 PREPARATION OF THE ANNUAL STATEMENT OF LOSSES

Local Authorities shall prepare in quadruplicate an annual statement of losses (Appendix 12.1). Two copies of the Statement shall be submitted to the Accountant General through the NLGFC by the 31st August of the following financial year. One copy of the Statement shall be submitted to the Auditor General. The fourth copy is retained by the LA concerned.

Appendix 12.1: Annual Statement of Losses Cash

Local Authority:						
Annual Statement of Losses as at.....						
Losses of Cash and Irrecoverable Advance						
Part A: Reported and Settled in Current Year						
Cost Centre	**Date of Loss**	**Amount of Loss**	**Amount Recovered**	**Amount Written Off**	**File Reference**	**Remarks**
Sub Total						
Part B: Reported in Previous Year and Settled in Current Year						
Cost Centre	**Date of Loss**	**Amount of Loss**	**Amount Recovered**	**Amount Written Off**	**File Reference**	**Remarks**
Sub Total						
Total A+B						
Part C: Reported in Previous Year and Not Settled						
Cost Centre	**Date of Loss**	**Amount of Loss**	**Amount Recovered**	**Amount Written Off**	**File Reference**	**Remarks**
Sub Total						
Part D: Reported in Current Year and Not Settled						
Cost Centre	**Date of Loss**	**Amount of Loss**	**Amount Recovered**	**Amount Written Off**	**File Reference**	**Remarks**
Sub Total						
Total C+D						

Appendix 12.2: Annual Statement of Losses Inventory

Local Authority:						
Annual Statement of Losses as at						
Losses of Stores						
	File No.	**Date Reported**	**Amount of Loss**	**Amount Recorded**	**Amount Written Off**	**Balance**
Part A: Settled						
(i) Losses From Theft						
Sub - Total						
(ii) Loss From Disposal of Obsolete/ Surplus Stores						
Sub - Total						
(iii) Losses From Damaged Property						
Sub - Total						
Part B: Not Settled						
(i) Losses From Theft						
Sub - Total						
(ii) Loss From Disposal of Obsolete/ Surplus Stores						
Sub - Total						
(iii) Losses From Damaged Property						
Sub - Total						

PART H
FINANCIAL REPORTING AND AUDITING

CHAPTER 13: FINANCIAL REPORTING

INTRODUCTION

Financial reporting is an integral part of enhancing stakeholder confidence in the management of public finances by Local Authorities. Local Authorities are legally mandated to prepare financial statements at the end of the financial year. With the advent of Fiscal Decentralisation and increased transfers from Development Partners, LA financial statements are expected to be all encompassing and should take into account all financial transactions of the LA from all funding sources in a particular financial year. This will ensure that a single set of audited financial statements satisfy the financial reporting and audit requirements of all stakeholders transferring financial resources to the LAs. This Chapter provides procedures and framework governing the preparation of monthly and annual financial reports of the Local Authority.

13.1 REGULATORY FRAMEWORK

Local Authorities shall prepare final accounts within four (4) months of the end of the financial year in line with the provisions of Section 83(1) of the Public Finance Management Act, 2003. It is the responsibility of the District Commissioner/Chief Executive to ensure that this legal requirement is adhered to.

The LA final accounts shall be audited within (6) months of the end of the financial year.

13.2 IFMIS REPORTS

IFMIS contains inbuilt reports and customized reports to aid LAs in reporting. The IFMIS shall therefore be used to generate all the required reports covering monthly, quarterly and annual. These reports shall be produces in accordance with the procedures outlined in the IFMIS Manual.

13.3 MONTHLY FINANCIAL REPORTING

The month end report shall be a management report that captures key data that will be used to make decisions and drive the business of the LA. This report is produced within IFMIS based on the transactions processed during the month.

Local Authority Stakeholders

Stakeholders that have an interest in the financial reports produced by Local Authorities include the following:

(a) Management of the Local Authority
(b) The Local Authority and its Service Committees
(c) NLGFC
(d) Government Ministries, Departments and Agencies
(e) Donor funding agencies
(f) The general public

While it may be easy to circulate copies of the various financial reports/ statements to the other stakeholders, it may be problematic for the general public to access the same. **Local Authorities shall therefore post summarized financial reports on their notice boards for each reporting month for public consumption in line with Section 94 of LGA.**

13.3.1 Outline of the Consolidated LA Monthly Financial Reports

The monthly consolidated financial report of Local Authorities shall be extracted from the General Ledger or the Extended Trial Balance which shall be drawn and balanced on a monthly basis. The consolidated monthly financial report shall report on all financial transactions of the LA from all available financing sources that include locally generated revenues, Central Government transfers, Donor Funds and other such designated funds.

The monthly consolidated financial report of the LA shall be submitted along with Treasury Expenditure returns and Accountant General's cash controls to the NLGFC by the 10th of each ensuing month.

These reports shall be compiled and submitted in **both SOFT and HARD copies**.

The consolidated financial report shall be comprised of the following:

(a) District Commissioner's/Chief Executive's statement
(b) The consolidated monthly financial report summary
(c) The detailed financial report
(d) Output/Programme based report
(e) Notes to the financial report
(f) Supporting schedules:

- Central Government Transfers summary return
- Donor/Designated funds reports
- Bank reconciliation statements
- Constituency Development Fund return
- Net current asset statement

The District Commissioner/Chief Executive Statement

This will be a general statement of the reporting month's performance. It will highlight the main activities undertaken in the reporting period as well as the corresponding sources of funds. It will also highlight the general financial position of the Local Authority and planned activities for the ensuing month as well as variations from planned activities.

The statement shall precede all components of the financial report and shall be signed by the DC/CEO.

The Consolidated Financial Report Summary

The consolidated financial report summary shall categorise the income and expense items from the detailed financial report at item level of coding. The consolidated financial report summary shall summarise all revenue and expense items across all sectors of the Local Authority. A specimen template of the summary statement is included in Appendix 13.1.

Detailed Financial Report

The detailed financial report shall carry specific revenue and expense details on departmental/cost centre basis. The detailed financial report shall be drawn from the General Ledger or the Trial Balance and shall reconcile with the consolidated financial report summary

A specimen format of the detailed financial report is included in Appendix 13.2.

Notes to the Financial Report

The notes to the financial report shall summarise and comment on the figures contained in the consolidated financial report summary and significant matters affecting them. They shall explain the Local Authorities' overall financial position and draw attention to any key matters affecting financial performance.

The notes shall be presented in a systematic manner and each category item on the face of the consolidated financial report summary shall be cross-referenced to any related information in the notes.

Supporting Schedules

Central Government Transfers Summary Return

The Central Government Transfers summary return shall summarise the funding and expenditure in respect of the Central Government Transfers. The return shall be summarised both at item (memorandum items only) and programme levels. Specimen formats are included in Appendices 13.3.

Donor funds Reports

These shall be made up of the Donor/Designated Funds receipts and payments statement (Chapter 4: Appendix 4.7), statement of monthly reconciled Bank - Donor Fund balances (Chapter: Appendix 4.5) and the bank reconciliation statement (with an attached copy of the bank statement). These reports shall further be complemented by a projects financial and physical progress report (Appendix 13.4) as produced under the LDF accounting and financial management guidelines.

Detailed Performance Report

Local Authorities shall prepare a detailed revenue performance report on monthly basis which shows performance for each particular revenue centre. This report shall compare budget against actual revenue collected.

Bank Reconciliation Statements

Local Authorities shall submit copies of bank reconciliation statements. These will include bank accounts maintained in respect of the locally generated revenues, Central Government transfers and the Donor bank account.

Constituency Development Fund Return

The Constituency Development Fund (CDF) return shall analyse the CDF expenditure per Constituency.

A specimen format is presented in Appendix 13.5

Net Current Asset Statement

This shall outline the financial position of the Local Authority in terms of the current asset and liability position on a monthly basis as extracted from the General Ledger.

A specimen format is presented in Appendix 13.6.

13.3.2 Financial Reports Submission Procedures

The submission procedures for the monthly consolidated financial reports shall be as follows:

(a) The Director of Finance shall compile the financial reports;
(b) The reports shall be presented to management for discussion;
(c) The DC/CEO shall submit the reports to NLGFC by the 10th of the ensuing month.

13.3.3 Review Meetings on Financial Reports

All DCs/CEOs as Controlling Officers shall hold periodical expenditure review meetings with the Sector/ Departmental Heads to review:

(a) Trends of expenditure and collection of departmental revenue
(b) Delay in submission of expenditure returns by Cost Centers
(c) Position of reconciliation of vote books with Accountant General's tabulation
(d) Position of reconciliation of Bank Account reconciliation;
(e) Position on receivables, payables and commitments, loan repayment and other obligations;
(f) Corrective measures required to control expenditure and collection of departmental revenue.

Minutes of financial management review meetings shall be prepared and circulated to all heads of departments and sectors concerned. The Director of Finance shall follow up the decisions taken at review meetings to ensure that corrective action is taken.

13.4 MONTHLY AND QUARTERLY REPORTS

Local Authorities shall prepare and submit the following reports on a monthly and quarterly basis using the same template as per Appendix 13.8. In addition, LAs shall prepare and submit Output/Programme Based Progress Report per Appendix 13.7 on quarterly basis.

13.4.1 Submission Procedures of Quarterly Report

The office of the Director of Planning and Development shall coordinate the production of Output/Activity Based Progress reports that shall be submitted to the MLGRD and NLGFC.

The quarterly reports shall be submitted within one month of the end of each quarter, except the last quarter of every financial year.

The quarterly reports shall be submitted to the Local Authority with copies to the Accountant General, and Ministry of Local Government and Rural Development through the National Local Government Finance Committee.

13.5 FINAL ACCOUNTS

Local Authority final accounts will provide its users with the following information:

(a) How much resources were locally collected, received from Central Government and Donors.
(b) Whether resources were used in accordance with legal and contractual requirements.
(c) The sources, allocation and uses of financial resources.
(d) How the Local authority financed its activities and met its cash requirements.
(e) An evaluation of the Local Authorities' ability to finance its activities and to meet its liabilities and commitments.
(f) An evaluation of the Local Authorities' performance in terms of service delivery, efficiency and accomplishments.

The Local Authority financial year shall be commensurate with that of the Central Government.

The annual reports shall be submitted as soon as practicable but not later than 30th September after each financial year.

13.5.1 Year End Adjustments

The General Ledger and the Trial balance shall be maintained and updated on a monthly basis. At the end of the financial year, the Director of Finance shall pass end of year adjustments and extract the final year end Trial Balance which will give the final position of all income and expenditure accounts as well statement of financial position items.

Where necessary Local Authorities shall make the following adjustments at the end of the financial year:

(a) Bad debts provision
(b) Provision for Depreciation
(c) Adjustment for disposal, improvements and additions for non current asset
(d) Accruals
(e) Writing off obsolete inventory
(f) Prepayments
(g) Errors etc.

13.5.2 Closing of Accounts

The accounts shall be closed after the debit and credit totals of the Trial Balance have agreed.

Income and Expense Accounts for Trading Undertakings

All revenues due but not received and expenditure incurred but not paid at the end of the financial year shall be accrued. All income and expense accounts of Trading Undertakings shall be closed and transferred to the Trading and Profit and Loss account of the Trading Undertaking as follows:

Revenue accounts

Dr The revenue account

Cr Profit and loss account

Being closure of revenue accounts for the year ending.....

Expense accounts

Dr Profit and loss account

Cr The expense account

Being closure of expense accounts for the year ending.....

Unpaid utility bills not yet brought on charge

Dr Appropriate Expense Item

Cr Payables Control Account (with corresponding entries in the subsidiary ledger)

Bills owing from clients not brought on charge

Dr Receivables Control Account (with corresponding entries in the subsidiary ledger)

Cr Appropriate Revenue Account

The net profit/loss from Trading Undertakings shall be transferred to the Statement of financial performance.

Statement of Cash Receipts and Payments

All revenue and expense accounts in the general ledger shall be closed and transferred to the Income and Expenditure account by a Journal as follows:

Revenue accounts

DR The revenue account

CR Income and Expenditure account

Being closure of revenue accounts for the year ending.....

Expense accounts

DR Income and Expenditure account

CR The expense account

Being closure of expense accounts for the year ending.....

Control accounts

Control accounts shall be closed in the normal accounting procedures to provide closing balances, which shall be transferred to the Statement of financial position and shall provide opening balances for the ensuing financial year.

A final trial balance shall be extracted which will form the basis for the preparation of the Statement of financial position, Income & Expenditure Statement and Statement of cash flow.

Development Accounts

Each project under construction shall have a Work In Progress (WIP) account where all expenses relating to the project shall be charged. If at the end of the financial year the construction is still in progress, the account shall be balanced and posted to the statement of financial position as work in progress. However, in case of community projects, all expenditure relating to community projects shall be expensed in the year in which such expenditure is incurred.

If the project is completed by the end of the financial year, the work in progress account shall be closed as follows:

Dr	Non current asset Account
Cr	Work in Progress Account

Being capitalization of completed project

13.5.3 The General Rate Fund

The General Rate Fund – Net Surplus/(Deficit) Computation

The General Rate Fund shall be used for calculating the net surplus/(deficit) retained and transferred to the Statement of financial position for the reporting period. The retained surplus shall be computed after posting the net surplus/(deficit) from the Income and Expenditure account after taking into account adjustments that may be necessary as well as approved appropriations by the Local Authority.

The net surplus/(deficit) from the Income and Expenditure account shall be transferred to the General Rate Fund as follows:

Income and Expenditure account – Net Surplus

Dr	Income and Expenditure account
Cr	General Rate Fund

Income and Expenditure account – Net Deficit

DR	General Rate Fund
CR	Income and Expenditure account

The General Rate Fund - Prior Period Adjustments

Prior period adjustments to the extent that they have an effect on earlier reported surpluses/deficits shall be written as follows:

(a) Write off of bad debts (debit General Rate Fund credit receivables)
(b) Write off of payables (credit general rate fund debit payables)
(c) Write off of receivable (debit general rate fund credit receivables)
(d) Write off of losses on stock (debit general rate fund credit inventory)

Post statement of financial position events

Post statement of financial position events noted before final adoption of the final accounts shall be adjusted for in the current year's accounts.

13.5.4 Closing Central Government Cash Accounts

Central Government cash control accounts close on 30th June each year. The Accountant General shall issue instructions on the closure of each financial year's accounts. Money received or payments made after that date shall be adjusted for by a Journal Transfer Voucher (JTV).

Closing Procedures

(a) On receipt of the bank statement for June prepare a preliminary reconciliation statement and post in the combined cashbooks credits/debits in bank statement not in combined cashbook. All adjustment entries shall be dated 30th June.
(b) Close the Combined Cashbook and prepare the final Daily Cash Statement of financial position as at 30th June.
(c) Deposit the cash at the end of the year in the bank account and make the usual contra entries in the cashbook. Note that cash received after closure of a financial year shall not be included in the amount deposited in the bank at this stage.
(d) Raise a payment voucher (GP 10) for the amount of the closing balance at bank. The voucher shall be made payable to the Accountant General and allocated to Below-the-Line Account 306 – Cash Remittances – Relevant Item for the Cash Office.
(e) Prepare a cheque for the amount in favour of the Accountant General. Both the payment voucher and cheque shall be dated 30th June of the relevant year.
(f) Enter the payment voucher and cheque number in the combined cashbook.
(g) Prepare a revised Bank Reconciliation Statement with a nil balance for submission to the Accountant General.
(h) Forward the cheque together with the Bank Reconciliation Statement to the Accountant General. The Local Authority shall ensure that a general receipt is issued by the Accountant General acknowledging receipt of the cheque.

13.6 COMPONENTS OF LOCAL AUTHORITY FINAL ACCOUNTS

The components of the Local Authority final accounts are as follows:

(a) Chairperson's/Mayor's statement
(b) District Commissioner's/Chief Executive's statement
(c) statement of financial position
(d) Statement of financial performance
(e) Statement of cash flow of cash flow
(f) General Rate Fund
(g) Notes and supporting schedules
(h) Auditors report

Each component of the final accounts shall be clearly identified. In addition, the following information shall prominently be displayed:

(i) The name of the reporting Local Authority

(j) The reporting date or the period covered by the financial statements (e.g. as at 30th June, 20X1)
(k) The reporting currency (Malawi Kwacha)
(l) The level of precision used in the presentation of figures in the financial statements (to the nearest Kwacha)

A complete set of the annual reporting template is appended to this Manual as Appendix A.

The components of the LA final accounts are discussed below:

Chairperson's/Mayor's Statement

The Chairperson's/Mayor's statement shall provide a general summary on governance and performance of the Local Authority in the financial year. It shall, among other issues provide information on:

(m) The composition and mandate of the Local Authority and the jurisdiction within which it operates;
(n) Description of the nature of the Local Authority's operations and principal activities;
(o) A reference to the relevant legislation governing the Local Authority's operations

District Commissioner's/Chief Executive's Statement

The purpose of the DC/CE statement is to offer interested parties an easily understandable guide to the most significant matters reported in the accounts. It shall provide an explanation in overall terms of the Local Authorities' financial position and assist in the interpretation of the accounting statements. It shall also comment on strategic issues and all major influences affecting the Local Authority's income and expenditure and cash flow, and information on the financial needs and resources of the Local Authority.

Statement of Financial Position

The Statement of financial position is fundamental to the understanding of the Local Authority's year-end financial position. It shows the assets, liabilities and the capital position of the Local Authority.

The Statement of financial position shall be presented in the vertical format and supported by adequate schedules.

A specimen format of the Statement of Financial Position is included as Appendix 13.9

Statement of Financial Performance

The Statement of financial performance shall present performance of the Local authority relative to the approved budget as well as performance of the prior financial year. The Statement of financial performance shall be supported by the detailed Statement of financial performance, which shall be presented at item level by revenue/cost center.

A format of the Statement of Financial Performance is presented in Appendix 13.10.

Statement of Cash Flow

The statement of cash flow shall provide users of the financial statements with a basis of assessing the ability of the Local Authority to generate cash and cash equivalents and the needs of the Local Authority to utilize those cash flows. The statement of cash flow shall depict the actual cash position of the Local authority at the end of the financial year.

A specimen format of the statement of cash flow is included in Appendix 13.11.

The General Rate Fund

The General Rate Fund will provide readers of the financial statements with information on the retained surplus of the Local Authority. It shall also provide an insight into any appropriations that have been made by the Local Authority.

A format is presented in Appendix 13.12.

Notes and Supporting Schedules

The notes to the financial statements of the Local Authority shall include both narrative descriptions and more detailed schedules or analyses of amounts shown on the face of the Statement of financial position, Statement of financial performance, the statement of cash flow and the General Rate Fund. The notes shall be presented in a systematic manner and each item on the face of the financial statements shall be cross-referenced to any related information in the notes.

The notes to the financial statements shall:

(p) Present information about the basis of preparation of the financial statements and the specific accounting policies applied by the Local Authority.
(q) Provide details about the make up of the aggregate figures included in the financial statements.
(r) Disclose additional material information not presented elsewhere in the financial statements but that is necessary for a fair presentation.

Supporting schedules to be presented include the following:

(s) Detailed Statement of financial performance;
(t) Central Government Transfers year end statement
(u) Trading and profit and loss accounts for Commercial undertakings
(v) Bank reconciliation statements
(w) Capital outlay/non current assets schedule
(x) Investments schedule (long term and short term)
(y) Payables schedule: Deposits
(z) Sundry payables
(aa) Trust Funds schedules (e.g. Deceased Estate Funds, Chiefs Honoraria Funds)
(ab) Donor Funds schedule
(ac) Completed projects and Work In Progress schedules;
(ad) Receivables schedules:

- Overdrawn deposits
- General receivables
- Rates receivables
- Advances and loans

Auditor's Report

LA financial statements shall be audited by the Auditor General or his Appointee within six (6) months of the financial year end.

13.7 APPROVAL PROCEDURES OF FINAL ACCOUNTS

The following approval procedures shall be adopted:

(a) The Director of Finance shall present the draft final accounts to management;
(b) The District Commissioner / Chief Executive shall present the final accounts to NLGFC for technical review;
(c) NLGFC shall forward the final accounts to the Auditor General;
(d) The DC/CE shall present the audited final accounts to the Finance Committee of the Local Authority;
(e) The Chairperson of the Finance committee shall present the audited final accounts to the Local Authority;
(f) The Local Authority shall adopt the audited final accounts.

Appendix 13.1: Monthly Statement of Consolidated Financial Report Summary

		Notes	1	2	3	4	5	6	7	8
	Revenue / Expenditure Detail		Budget Provision	Monthly Revenue/ Expenditure	Revenue/ Expenditure to Date	Undischarged Commitments	Total Revenue/ Expenditure (3+4)	Comparative Prior Period Revenue/ Expenditure	Balance on Budget (1-5)	Budget Utilisation (5/1) *100
Code	REVENUE		MWK	MWK	MWK	MWK	MWK	MWK	MWK	%ge
	Government Transfers									
	Assembly voted transfers									
60	General resource fund									
61	Sector funds									
64	Constituency Development Fund									
65	Infrastructure Development Fund									
66	Salary subsidy									
	Sub total									
	Other transfers									
62	Chiefs honorarium fund									
63	Chiefs operations									
	Sub total									
	Total Government transfers									

		Notes	1	2	3	4	5	6	7	8
	Revenue / Expenditure Detail		Budget Provision	Monthly Revenue/ Expenditure	Revenue/ Expenditure to Date	Undischarged Commitments	Total Revenue/ Expenditure (3+4)	Comparative Prior Period Revenue/ Expenditure	Balance on Budget (1-5)	Budget Utilisation (5/1) *100
Code	REVENUE		MWK	MWK	MWK	MWK	MWK	MWK	MWK	%ge
	Locally Generated Revenue									
67	Central Government Property Rates									
68	Other Property Rates									
69	Income from Market Establishments									
71	Fees and Service Charges									
72	Licenses and Permits									
	Total Locally Generated Revenues									
	Add: Profit from Commercial Undertakings									
	Sub total									
	TOTAL REVENUE									
	EXPENDITURE									
	Personal Emoluments									
10	Government Paid Staff									
46	Direct Staff (other departments)									
	Sub total									
	Other Recurrent Transactions									

		Notes	1	2	3	4	5	6	7	8
	Revenue / Expenditure Detail		Budget Provision	Monthly Revenue/ Expenditure	Revenue/ Expenditure to Date	Undischarged Commitments	Total Revenue/ Expenditure (3+4)	Comparative Prior Period Revenue/ Expenditure	Balance on Budget (1-5)	Budget Utilisation (5/1) *100
Code	REVENUE		MWK	MWK	MWK	MWK	MWK	MWK	MWK	%ge
21	Internal travel									
22	External travel									
23	Public utilities									
24	Office supplies & Services									
25	Medical supplies									
26	Rent expenses									
27	Education supplies									
28	Training expenses									
29	Acquisition of Technical Services									
30	Insurance expenses									
31	Agriculture inputs									
32	Food and rations									
33	Other goods and services									
34	Motor Vehicle Running Expenses									
40	Grants & Subvention									
41	Formation and maintenance of capital assets									
47	Chiefs emoluments									
48	Chiefs expenses									
49	Assembly & functions									
50	HIV/AIDS Intervention									
51	Debt Servicing									
	Sub total									

		Notes	1	2	3	4	5	6	7	8
	Revenue / Expenditure Detail		Budget Provision	Monthly Revenue/ Expenditure	Revenue/ Expenditure to Date	Undischarged Commitments	Total Revenue/ Expenditure (3+4)	Comparative Prior Period Revenue/ Expenditure	Balance on Budget (1-5)	Budget Utilisation (5/1) *100
Code	REVENUE		MWK	MWK	MWK	MWK	MWK	MWK	MWK	%ge
	Capital Outlay									
54	Own capital contribution									
55	Constituency Development Fund									
56	Infrastructure Development Fund									
	Sub total									
	Total Expenditure									
	Surplus/Deficit									
	Donor Funds									
	Balance b/f									
73	Add: Donor Funds Receipts									
57	Less: Donor Funds Payments									
	Unutilised Donor Funds									

Detailed Financial Report

ACC Code	Revenue /Expenditure Detail	Budget Provision	Monthly Revenue/ Expenditure	Revenue/ Expenditure to Date	Undischarged Commitments	Total Revenue/ Expenditure (3+4)	Balance on Budget (1-5)	Budget Utilisation (5/1) *100
		MWK	MWK	MWK	MWK	MWK	MWK	%ge
	District Summary							
	Total Revenue							
	Total Expenditure							
	Net Revenue/Expenditure							
Cost Centre 1	**Programme 1**							
	Subprogramme 1							
	Item 1							
	Item 2							
	Subprogramme1 Total							
	Subrogramme 2							
	Item 1							
	Item 2							
	Subprogramme2 Total							
	Programme 1 Total							
Cost Centre 2	**Programme 2**							
	Subprogramme 1							
	Item 1							
	Item 2							
	Subprogramme1 Total							
	Programme 2 Total							
	Total Revenue							
	Total Expenditure							
	Net Revenue/Expenditure							

Central Government Transfers Summary Return

		Sectors									Headquarters						Local Authority Totals		
		Sector A			Sector B			Sector Fund Subtotal			CDF			GRF					
Code	SUB ITEMS	Annual Budget	Total to Date	Budget Utilisation	Annual Budget	Total to Date	Budget Utilisation	Annual Budget	Total to Date	Budget Utilisation	Annual Budget	Total to Date	Budget Utilisation	Annual Budget	Total to Date	Budget Utilisation	Annual Budget	Total to Date	Budget Utilisation
		MWK	MWK	%	MWK	MWK	%	MWK	MWK	%	MWK	MWK	%	MWK	MWK	%	MWK	MWK	%
	Revenue																		
00	Cash Funding																		
	Total Funding																		
	Expenditure																		
	Personal Emoluments																		
10	Government Paid Staff																		
46	Direct Staff (other departments)																		
	Subtotal																		
	Other Recurrent Transactions																		
21	Internal travel																		
22	External travel																		
23	Public utilities																		
24	Office supplies & Services																		
25	Medical supplies																		
26	Rent expenses																		

		Sectors									Headquarters						Local Authority Totals		
		Sector A			Sector B			Sector Fund Subtotal			CDF			GRF					
Code	SUB ITEMS	Annual Budget	Total to Date	Budget Utilisation	Annual Budget	Total to Date	Budget Utilisation	Annual Budget	Total to Date	Budget Utilisation	Annual Budget	Total to Date	Budget Utilisation	Annual Budget	Total to Date	Budget Utilisation	Annual Budget	Total to Date	Budget Utilisation
		MWK	MWK	%	MWK	MWK	%	MWK	MWK	%	MWK	MWK	%	MWK	MWK	%	MWK	MWK	%
27	Education supplies																		
28	Training expenses																		
29	Acquisition of Technical Services																		
30	Insurance expenses																		
31	Agriculture inputs																		
32	Food and rations																		
33	Other goods and services																		
34	Motor Vehicle Running Expenses																		
40	Grants & Subvention																		
41	Formation and maintenance of capital assets																		
47	Chiefs emoluments																		
48	Chiefs expenses																		

		Sectors									Headquarters						Local Authority Totals		
		Sector A			Sector B			Sector Fund Subtotal			CDF			GRF					
Code	SUB ITEMS	Annual Budget	Total to Date	Budget Utilisation	Annual Budget	Total to Date	Budget Utilisation	Annual Budget	Total to Date	Budget Utilisation	Annual Budget	Total to Date	Budget Utilisation	Annual Budget	Total to Date	Budget Utilisation	Annual Budget	Total to Date	Budget Utilisation
		MWK	MWK	%	MWK	MWK	%	MWK	MWK	%	MWK	MWK	%	MWK	MWK	%	MWK	MWK	%
49	Assembly & functions																		
50	HIV/AIDS Intervention																		
51	Debt Servicing																		
	Sub total																		
	3.0 Capital Outlay																		
54	Own capital contribution																		
55	Constituency Development Fund																		
56	Infrastructure Development Fund																		
	Sub total																		
	Total Expenditure																		
	Balance c/f																		

Project Financial and Physical Progress Report

Source of Funds	No.	Project Name	Physical project implementation status (completed or in progress)	Total amount spent (MWK)	Comments
Donor A	1				
	2				
	3				
	4				
	5				
		Total payments			
Donor B					
	1				
	2				
	3				
	4				
	5				
		Total payments			
Donor C					
	1				
	2				
	3				
	4				
	5				
		Total payments			
Total					

Appendix 13.2: CDF Financial Return

Local Authority				
CDF Financial Return for the period.....				
	Constituency A	**Constituency B**	**Constituency C**	**Total**
Receipts	**MWK**	**MWK**	**MWK**	**MWK**
Total funding to date	x	x	x	x
Sub total	**x**	**x**	**x**	**x**
Payments				
Total payments to date	x	x	x	x
Sub total	**x**	**x**	**x**	**x**
Unutilised balance on total funding	**x**	**x**	**x**	**x**
Current reconciled ORT bank balance				**x**

Appendix 13.3: Net Current Asset Statement

	NOTES	**MWK**	**MWK**
Current Assets			
Debtors			
General debtors		X	
Property rates debtors		X	
Total Debtors			**X**
Bank			
Deposit bank accounts			
7 day call accounts		X	
30 day call account		X	
Subtotal			**X**
Current accounts			
Development accounts		X	
Salaries account		X	
Operations account		X	
Subtotal			**X**
Total current assets			**X**

Current Liabilities			
Creditors		X	
Short term loans		X	
Bank overdraft		X	
Total Current Liabilities			**X**
Net Current Assets/Liabilities			**X**
NOTE			
Notes should be appropriately provided in support of the figures in the statement			

Appendix 13.4: Output/Programme Based Progress Report

Local Authority											
Output and Activity Based Progress Report for											
Program	**Objective**	**Output**	**Activity**	**Monitoring Indicator**	**Planned Target**	**Target Achieved This Period**	**Target Achieved To Date**	**Budget**	**Actual**	**Budget Utilisation**	**Comments**

Appendix 13.5: Monthly/Quarterly Financial Report

Local Authority.....							
CODE	**ITEMS**	**Approved Budget 2019/20**	**Third Quarter Actuals 2019/2020**	**Utilisation(%)**	**Approved Budget 2018/19**	**Comparative Third Quarter Actuals 2018/19**	**Utilisation(%)**
		MK	**MK**		**MK**	**MK**	
Code	**Revenue /Expenditure Detail**						
REVENUE							
1.0	**Government Transfers**						
1.1	**Local Authority voted transfers**						
60	General resource fund						
60	Development Fund						
61	Sector funds						
64	Constituency Development Fund						
65	Infrastructure Development Fund						
Sub total							
Total Government transfers							
1.2	**Locally Generated Revenue**						
67	Central Government Property Rates						
68	Other Property Rates						
69	Income from Market Establishments						
71	Fees and Service Charges						
72	Licenses and Permits						
74	Other Income						
Total Locally Generated Revenues							
TOTAL REVENUE							
EXPENDITURE							
1.0	**Personal Emoluments**						
11	Leave Grants/Disturbance Allowance						
46	Direct Staff (other departments)						
Sub total							
2.0	**Other Recurrent Transactions**						

Local Authority.....							
CODE	**ITEMS**	**Approved Budget 2019/20**	**Third Quarter Actuals 2019/2020**	**Utilisation(%)**	**Approved Budget 2018/19**	**Comparative Third Quarter Actuals 2018/19**	**Utilisation(%)**
		MK	**MK**		**MK**	**MK**	
21	Internal travel						
22	External travel						
23	Public utilities						
24	Office supplies & Services						
25	Medical supplies						
26	Rent expenses						
27	Education supplies						
28	Training expenses						
29	Acquisition of Technical Services						
30	Insurance expenses						
31	Agriculture inputs						
32	Food and rations						
33	Other goods and services						
34	Motor Vehicle Running Expenses						
35	Routine Maintenance of assets						
36	Agriculture Subsidy						
40	Grants & Subvention						
41	Formation and maintenance of capital assets						
48	Chiefs expenses						
49	Local Authority & functions						
50	HIV/AIDS Intervention						
51	Debt Servicing						
39	Subscriptions						
Sub total							
3.0	**Capital Outlay**						
54	Own capital contribution						
55	Constituency Development Fund						
55	Infrastructure Development Fund						
56	Development Fund						
Subtotal							
TOTAL EXPENDITURE							
Surplus/Deficit							
4.0	**Commercial Undertakings**						

Local Authority.....							
CODE	**ITEMS**	**Approved Budget 2019/20**	**Third Quarter Actuals 2019/2020**	**Utilisation(%)**	**Approved Budget 2018/19**	**Comparative Third Quarter Actuals 2018/19**	**Utilisation(%)**
		MK	**MK**		**MK**	**MK**	
70	Income from Commercial Undertakings						
	Less						
45	Direct Staff (commercial Undertakings						
52	Operational Expenses from Commercial Undertakings						
	Contribution from Commercial undertakings						
Operating Surplus/Deficit							

Statement of Financial Position

XXXXXXXXXXX Local Authority			
Statement of Financial Position as at 30th June 20.....			
		20X2	**20X1**
ASSETS	**Notes**	**K'000**	**K'000**
Current Assets			
Cash and cash equivalent	**1**	-	-
Receivables	**2**	-	-
Inventory	**3**	-	-
Prepayments	**4**	-	-
Other Current Assets	**5**	-	-
Total Current Assets		-	-
Non-Current Assets			
Receivables	**6**	-	-
Investments in Associates	**7**	-	-
Property, Plant and Equipment	**8**	-	-
Land and Buildings	**9**	-	-
Intangible Assets	**10**	-	-
Total Non-Current Assets		-	-
Total assets		-	-
LIABILITIES			
Current Liabilities			
Payables	**11**	-	
Short-Term Borrowings	**12**	-	
Current portion of long-term borrowings	**13**	-	
Short-term provisions	**14**	-	
Employee Benefits**	**15**	-	
Superannuation**	**16**	-	
Total Current Liabilities		-	-
Non-Current Liabilities			
Payables	**17**	-	-
Long-term Borrowings	**18**	-	
Long-term Provisions	**19**	-	
Employee Benefits**	**20**	-	
Superannuation**	**21**	-	
Total Non-current Liabilities		-	-
Total Liabilities		-	-
Net assets/ liabilities		-	-
NET ASSETS/ EQUITY			

XXXXXXXXXXX Local Authority			
Statement of Financial Position as at 30th June 20.....			
		20X2	**20X1**
ASSETS	**Notes**	**K'000**	**K'000**
Capital Contributed by Other Government Entities	**22**	-	
Reserves	**23**	-	
Accumulated Surpluses/Deficits	**24**	-	
Non-Controlling Interest	**25**	-	-
Total Equity & Liabilities		-	-

Chief Executive Officer/ District Commissioner **Director of Finance**

Appendix 13.6: Statement of Financial Performance

XXXXXXXXXX Local Authority				
Statement of Financial Performance for the period ending 30th June 20.....				
	Notes	**20X2**		**20X1**
		K'000		**K'000**
REVENUE				
Taxes (Property Rates)	**26**	-		
Fees, Fines, Penalties & Licenses	**27**	-		
Revenue from Exchange Transactions	**28**	-		
Central Government Transfers	**29**	-		
Donor Funds	**30**	-		
Transfers from other government entities	**31**	-		
Other Revenue	**32**	-		-
Total revenue		-		-
EXPENSES				
Operational Expenses(Items 21,22,23,26,28,29,30,34,35,49)	**33**	-		
Wages, Salaries & Employee Benefits(Items 11,45,46,47)	**34**	-		
Grants & Other Transfer Payments (Items 39, 40)	**35**	-		
Donor Expenses (Item 57)	**36**	-		
Supplies & Consumables used(Items 24,25,27,31,32,33,36)	**37**	-		-
Depreciation & amortization expenses (Item 3356)	**38**	-		-
Impairment of Property, Plant & Equipment	**39**	-		-
Other Expenses (Items 33, 48, 50, 52)	**40**	-		-
Finance Costs (Item 51)	**41**	-		-
Capital Outlay(Items 54, 55,56)	**42**	-		-
Expenses Total		-		-
Share of Surplus of Associates		-		-
Surplus/(Deficit) for the period		-		-
Attributable to:				
Owners of the controlling entity	**43**	-		-
Non-controlling interest	**43**			
Surplus/(Deficit) for the period		-		-

Statement of Cash Flow

XXXXXXXXX Local Authority			
Statement of Cash flow for the year ended 30th June 20....			
	20X2		**20x1**
	K'000		**K'000**
Cashflow from operating activities			
Receipts			
Taxes (Property rates)			
Fees, Fines, Penalties & Licenses			
Revenue from Exchange Transactions			
Central Government Transfers			
Donor Funds			
Transfers from other government entities			
Other Revenue			
Total receipts	-		-
Payments			
Operational Expenses(Items 21,22,23,26,28,29,30,34,35,49)			
Wages, Salaries & Employee Benefits(Items 11,45,46,47)			
Grants & Other Transfer Payments (Items 39, 40)			
Donor Expenses (Item 57)			
Supplies & Consumables used(Items 24,25,27,31,32,33,36)			
Depreciation & amortization expenses (Item 41)			
Impairment of Property, Plant & Equipment			
Other Expenses (Items 33, 48, 50, 52)			
Finance Costs (Item 51)			
Capital Outlay(Items 54, 55,56)			
Total Payments	-		-
Net cashflow from Operating activities	-		-
Cashflow from Investing Activities			
Purchase of Plant and Equipment			
Proceeds from Sale of Plant and Equipment			
Proceeds from sale of investments			
Net Cashflow from Investing activities	-		-
Cashflow from Financing activities			
Proceeds from Borrowings			
Repayments of borrowings			
Net Cashflow from Financing activities	-		-
Net Increase/(Decrease) in cash and cash equivalents			
Cash and cash equivalents at the beginning of period	-		
Cash and cash equivalents at the end of period			

Appendix 13.7: General Rate Fund

DATE	DETAILS	MWK	DATE	DETAILS	MWK
	Accumulated deficit b/f			Accumulated surplus b/f	
	Prior Year Adjustments			Prior Year Adjustments	
	Excess expenditure over income for the year			Excess income over expenditure for the year	
	Accumulated surplus transferred to B/S			Accumulated deficittransferred to B/S	
	Total			Total	

CHAPTER 14: RISK MANAGEMENT, INTERNAL CONTROLS AND AUDITING

INTRODUCTION

Local authorities operate in an environment which is subject to risk. In order to counter such risk, LAs are supposed to make sure that they have internal controls that are operating effectively.

Local Authority final accounts shall be audited by the Auditor General or his Appointee as provided for in the PAA, 2003 as amended and LGA, 2003. Local Authority final accounts shall be audited within six (6) months of the end of the financial year. With the financial statements of Local Authorities complied on the basis of all financial resources at the disposal of the Local Authority, it is expected that the audit opinion of the Auditor General should satisfy the external audit requirements of all stakeholders. Further to external audit, the LGA, 1998 provides for the establishment of Internal Audit department in Local Authorities.

Where audit queries arise, the DC/CE shall be expected to respond to the audit reports. Where the audit responses are not satisfactory, the DC/CE shall be called upon to appear before the Public Accounts Committee (PAC) of Parliament in line with the provisions of the Public Audit Act, 2003. This Chapter provides guidelines on how best LAs can respond to audit queries.

It must be pointed out however that the internal audit procedures for Local Authorities are covered in much more detail in the Local Authority Internal Audit Manual.

14.1 RISK MANAGEMENT

14.1.1 Risk Management

The Director of Finance shall be responsible for advising on risk management and effective systems of internal control. This role shall be carried out in collaboration with the Internal Audit function. These arrangements shall ensure compliance with all applicable legislation and regulations, and other relevant statements of best practice, and ensure that public funds are properly safeguarded and used economically, efficiently, and effectively in accordance with the statutory and other provisions that govern their use.

14.1.1.1 Risk Assessment Process

Management of the Local Authority should develop a process for identifying risks affecting the Local Authority achieving its objectives, estimating the significance of the risks, assessing the likelihood of their occurrences and designing their actions to respond to the assessed risks.

LAs Shall maintain a Risk Register to keep track of the identified risks and mitigating measures. A Risk Register is a document used as a risk management tool and to fulfil regulatory compliance acting as a repository for all risks identified and includes additional information about each risk e.g. nature of risk, reference and owner, and mitigating measures.

A sample Risk Register is shown in Appendix 14.1

14.2 INTERNAL CONTROL

Internal controls can be defined as the whole system of controls, financial or otherwise established by LA Management to secure as far as possible the propriety of transactions and accuracy and reliability of a LA's records and security of its assets. It is about separation of duties and responsibilities, such that the works and actions of one person are independently checked by another person. LA structure, management and financial control systems are essential for a sound internal controls system.

14.2.1 Internal Control Objectives

Internal Controls are set up by management to achieve the following objectives:

(a) Physical access to assets and financial records only when authorized.
(b) Authorisation of all transactions.
(c) The prompt and correct recording of transactions/events.
(d) The confirmation of the existence of recorded assets.

The first two objectives are intended to protect the assets of a LA from being misused, lost or stolen. The next two objectives are meant to ensure that the accounting records are accurate and complete and that they tally with the actual existence of the assets. All the four controls above are collectively termed "Accounting Controls" because they deal with the efficiency of the accounting system.

Local Authorities, however, deal in many transactions which involve many employees and politicians as well as taxpayers. Therefore, further controls must be put in place to ensure that management policies and orders are effectively carried out. These other controls, which are called Administrative Controls, have the following objectives:

(e) Promotion of efficient operations by reducing waste and duplication of effort.
(f) Encouraging compliance with LA policies and procedures.

14.2.2 Internal Control Systems

(a) *Organisational Structure*

The LA Organisational structure should be designed in such away that it clearly defines areas of responsibility and reporting channels. The structure should indicate the following:

- Demarcation of LA's responsibilities of Directorates, Sections and sub- sections.
- Appointment of individuals to assume responsibilities.
- Overall co-ordination of LA's responsibilities.

(b) *Financial Control System*

The system shall comply with the procedures outlined in this Manual as supported by the Desk Instructions issued by the Accountant General as well as Treasury Circulars issued by the Secretary to the Treasury. Overall, the system shall comply with the provisions of the PFMA, 2003.

(c) *Management Control System*

This is a system of control over the operations of the LA that includes budgetary controls, performance appraisal and review of the systems including service committee reports and correspondences.

14.2.3 Control Procedures

Within the objectives of internal controls cited above, some specific control procedures will be put in place by a LA to prevent and detect errors and fraud. The following accounting and administrative controls shall be in place at the minimum.

14.2.3.1 Accounting Controls

(a) Approval and control of documents.
(b) Reconciliation Statements.
(c) Checks on arithmetical accuracy of records (e.g. by re-adding).
(d) Comparison of internal with external data.
(e) Maintenance and review of control accounts.
(f) Pre-numbering of vouchers.

14.2.3.2 Administrative Controls

(a) Quality Controls
(b) Personnel procedures for recruiting and retaining employees.
(c) Performance statistics that check to ensure operations are running smoothly.
(d) Stated conflict of interest policy.
(e) Annual leave and job rotation.

14.2.4 Limitations of Internal Controls

Although a strong system of internal control is desirable, it can only provide LA Management with reasonable assurance that the LA objectives are reached rather than complete assurance. This is because there are limitations, which are inherent within internal control system. Management shall guard against the following limitations.

(a) Staff may collude internally or with outsiders to circumvent the controls.
(b) Controls may be abused by those with authority e.g. a manager responsible for authorising a transaction may intentionally authorise a wrong transaction.
(c) It is always a requirement that the cost of internal control is less than the potential loss, which would arise if the control is not in place. Therefore, some controls may not be implemented because they are too costly (e.g. segregation of duties in a small LA).
(d) Controls may fail to work due to human error. For example, where a chairperson of a service committee signs a contract innocently when he/she is not authorised to do so.
(e) Internal controls only cover routine transactions. Non-routine transactions are not normally covered.
(f) Procedures may change over time and this may render internal controls inadequate if they are not updated regularly.

14.3 THE ROLE OF ACCOUNTS STAFF DURING AUDIT, INSPECTIONS AND INVESTIGATIONS

Audits may be internal or external. The Internal Auditors who are part of the LA's Administration carry out the internal Audits.

The External Auditors are independent of the LA's Administration and are governed by auditing standards to be determined by the Auditor General's office from time to time. It is the duty of the Auditor General to carry out such audits, but he/she may appoint any other independent auditor to execute the audit on his/her behalf. This other independent auditor shall report to the Auditor General.

14.3.1 Internal Audits

The Head of Internal Audit shall head the Internal Audit Section. The Head of Internal Audit shall work in harmony and cooperation with the DC/CEO and Director of Finance and shall report to the LA on whether the systems and operations are efficient, effective, economical and free from fraud and other malpractices.

The Finance and Accounts staff are expected to provide the Internal Auditor with relevant information required of them in reasonable time and form.

14.3.2 External Audit

This is intended to provide information that will enable the Auditor General or any other auditor appointed by him/her to form an opinion regarding the truth and fairness of the financial position as presented by the LA.

In this exercise, the duties of the Accounts Staff shall be:

(a) To prepare the accounts, together with all supporting schedules and notes thereto; and submit them to the DC/CEO for onward delivery to the Auditor General;
(b) To arrange and provide all documents in the order in which the Auditor General requires them; and
(c) To expeditiously and truly provide all answers, explanations, and proof that the Auditor General may require for purposes of completing the audit.

14.3.3 Investigation

Special investigations may be ordered by the DC/CEO of the LA following a request by the Chairperson/Mayor of LA, or Standing Committee or Ministry of Finance or the Public Accounts Committee. The minister responsible for local governments or minister responsible for finance may order for special investigations where they deem it necessary. The Auditor General or any other expert shall be requested to carry this audit task depending on the circumstances. An investigation may be ordered into the management of the financial affairs of the LA either to improve perceived areas of weaknesses, or to verify suspected malpractices.

The duties of accounts staff in such an investigation shall be:

(a) To render due and professional cooperation to the Investigator.
(b) To honestly provide documentary evidence and explanations required by the Investigator.
(c) To ensure that all books of account are properly updated.
(d) To prepare schedules, lists, computations and interim financial reports as the Investigator may require.

(e) To ensure that all information given to the Investigator is verified and reliable.
(f) To ensure that records given to the Investigator are returned for safe custody, unless officially directed by the Authority to be surrendered to the Investigator as exhibit.

In such a case, the Investigator acknowledges receipt of each document taken in his custody. The signed evidence must be filed and kept safely for future reference.

14.3.4 Inspections

For purposes of ensuring implementation of national policies and adherence to performance standards on the part of LAs, Ministries and other organs authorised by law are required under the law to inspect, monitor and where necessary, offer technical advice, support supervision and training within their respective sectors.

The duties of accounts staff in such inspections shall be:

(a) To render due and professional cooperation to the Inspector.
(b) To honestly provide documentary evidence and explanations required by the Inspector.
(c) To ensure that all books of account are properly updated and availed to the Inspector when requested.
(d) To prepare schedules, lists, computations and interim financial reports as the Inspector may require.
(e) To ensure that all information given to the Inspector is verified and reliable.
(f) To ensure that records given to the Inspector are returned for safe custody, unless officially directed by the Authority to be surrendered to the Inspector as exhibit.

14.4 AUDITING

14.4.1 Definition

An Audit is an independent examination of the financial statements of the Local Authority with the objective to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement whether due to fraud or error thereby enabling the auditor to express an opinion on whether the financial statements are prepared in all material respects in accordance with applicable financial reporting framework.

14.4.2 Objectives

The objectives of Local Authority audit include the following:

(a) To ensure that internal control systems are adequate.
(b) To ensure that there is compliance with internal control system and the relevant policies and principles.
(c) To ensure economy, efficiency and effectiveness of the Local Authority (value for money audit).
(d) To ensure that there is compliance with applicable laws and regulations.
(e) To recommend areas of improvement.
(f) To express an opinion whether the financial statements give a true and fair view.
(g) Ensure financial statements are prepared in accordance with applicable IPSAS and GAAPs.

14.4.3 Types of Audits

The following types of audits are applicable to LAs:

(a) Internal Audit
(b) External Audit
(c) Forensic Audit
(d) Compliance Audit
(e) Value for Money Audit
(f) Information Systems Audit

14.4.3.1 Internal Audit

Internal Audit is an independent appraisal or monitoring activity established by the Local Authority to provide independent assurance that the LAs risk management, governance and internal control processes are operating effectively.

Internal auditors have a professional duty to provide an unbiased and objective view. They must be independent from operations they evaluate and report. The draft report shall be submitted to the controlling officer for management action. Once the report has been finalized after obtaining management comments or not the Internal Auditor shall submit the report to the finance committee with copies to NLGFC and the National audit Office within 28 days.

Local Authority internal audit function is discussed in detail in the Internal Audit Manual for Local Authorities in Malawi.

14.4.3.2 External Audit

An external audit is a statutory exercise carried out by the Auditor General or his/her appointee on the financial statements prepared by the Local Authority to formulate an opinion thereon. Local Authorities shall be audited within six months of the financial year end.

The report of the Auditor General shall be given to the following parties as stipulated in the LGA, 1998:

(a) Ministry of Local Government and Rural Development
(b) NLGFC
(c) The LA

The external audit report shall be presented to the Local Authority by the Chairperson of the Finance Committee for adoption.

14.4.3.3 Forensic Audit

Forensic audit is the application of accounting methods to the tracking and collection of forensic evidence, usually for investigation and prosecution of criminal acts such as embezzlement or fraud.

Forensic audits are in a number of forms one of which is investigative audit. Section 54(2) of the LGA, 1998 empowers the Auditor General to undertake investigative and any other audit considered necessary. Such audits may be commissioned by the NLGFC, MLGRD or the Local Authority.

14.4.3.4 Compliance Audits

An audit which is conducted to comprehensively review LA's adherence to regulatory guidelines.

14.4.3.5 Value for Money Audit

An audit that is used to assess the economy, efficiency and effectiveness of LA`s spending i.e. optimal use of resources to achieve intended outcomes.

14.4.3.6 Information Systems Audit

An information technology or information systems audit is an examination of the management controls within an information technology (IT) infrastructure. The evaluation of obtained evidence determines if the information systems are safeguarding assets, maintaining data integrity, and operating effectively to achieve the Local authority`s goals or objectives. These reviews may be performed in conjunction with financial statements audit, internal audit or other form of attestation engagement.

14.4.4 Preparing for Audits and Responding to Audit Queries

14.4.4.1 Planning and Preparation

(a) Appoint an Audit liaison person
(b) This should be an experienced person who is senior and has good communication skills. The liaison person will provide a link between the local authority and the auditors.
(c) Contact Auditors and setup entrance meeting
(d) The auditors will clarify the purpose of the audit and ask that audit requirements be in writing.
(e) Send Communication
(f) The controlling officer shall ensure that communications have been sent to sectors, departments including internal auditors.
(g) Make necessary arrangements for the audit team

The local authority should undertake the following:

- Obtain the list of requested records and develop an approach for pulling the information on the timely basis.
- Give a target date for providing records to the auditors
- Review the records prior to submission to the auditor and consider if the records provide the necessary support
- Maintain a list of all records provided to the auditors
- Meet with auditors at least weekly to learn of the status of the audit and significant issues that are identified.
- Agree on the date of exit meeting.

14.4.4.2 Management Letter

Section 54 of the Local Government Act, 1998 provides for the audit of accounts of Local Authorities by the Auditor General or his appointee. In undertaking the audits of Local Authorities, the management letter from the Auditor forms a natural byproduct of the audit. The management letter or letter of weaknesses

outlines weaknesses in the system of internal controls and management of the Local Authority would be expected to submit its responses before issuance of the final audit report.

The management letter is drafted soon after the completion of the audit procedures. The points as covered in the letter are discussed with management during exit discussions before the letter is issued. The Auditor General expects a response from the Local Authority within fourteen (14) days of receipt of the report as provided for under Section 14 (1) of the Public Audit Act, 2003.

Refer to manual on responding to audit queries

14.4.5 Objectives of the Auditors' Management Letter

Arising from implementation of the Decentralisation process, it should be noted that the audit of Local Authorities entails reporting on matters arising from the accounts and an evaluation of the internal control system which in the public interest should be brought to the attention of the LA and the public.

This applies not just to regularity aspects but also any possible losses arising from waste, extravagance or inefficiency.

The auditors' management letter covers three main areas as follows:

(a) Material weaknesses in the design and operation of the accounting and internal control system together with constructive recommendations for improvement
(b) Other constructive advice on economies and efficiencies
(c) Comments on accounting policies and unadjusted errors in the financial statements.
(d) The specific purposes of the auditors' report to management include:
(e) To enable the auditor give his comments on the accounting records, systems and controls
(f) To bring to the attention of management areas of weaknesses that might lead to material errors
(g) To point out areas where management could be more efficient and effective, or where economies in the utilisation of resources e.g. unnecessary large balances may be held in the bank that could be used for developmental projects.
(h) To enable management to put right matters that may otherwise have led to audit report qualification.

14.4.6 Guidelines on Responding to the Management Letter

14.4.6.1 Response period

The Public Audit Act, 2003 stipulates the response period as being within fourteen (14) days of receipt of the management letter from the Auditor General or his Appointee. It is therefore imperative that management must ensure that a proper plan is drawn that will ensure that the responses are ready, compiled and submitted to the Auditor General within this stipulated time frame.

14.4.6.2 Consideration by Management

The DC/CEO shall put in place a Management Audit Committee which shall coordinate the compilation of responses to the issues raised by the Auditors in their management letter. The DOF shall coordinate the activities of the management audit committee.

The draft responses shall be presented to and discussed by management before resolving to present the report to Finance Committee and later to the Auditor General.

The report containing the responses shall be signed for by the DC/CEO.

14.4.6.3 Presentation of the Responses

General outlook

The management responses shall take the form of a professionally prepared report (preferably bound with appropriate appendices included) that is clear, positive and concise. In the preamble, the LA should acknowledge receipt of the management letter and the constructive observations and recommendations contained therein.

Specific responses

In compiling specific responses to issues raised by the Auditors, the following must be taken into account:

(a) In responding to the management letter, the Local Authority must ensure that each point as raised by the auditors is addressed. This may entail making specific reference to each point in the management letter followed by the LAs response.
(b) The responses by the LA must be factually presented and supported with relevant documentation wherever possible. All supporting documentation forming part of the responses must be presented as Appendices and appropriately labeled.
(c) Where a comment has been made by the auditors on accounting policies and unadjusted errors that necessitate changes to the financial statements initially presented, a copy of the restated financial statements after taking into account the adjustments should be presented.
(d) Where a comment made by the auditors is on a specific area of the accounting and internal control system e.g. intact revenue banking, need for regular stock takes, reconstitution of Internal Procurement Committee, etc, the response should indicate specific time frame within which the specified recommendations would have been implemented supported by minutes where applicable.
(e) Where the response been made requires an explanation regarding a specific aspect as reviewed by the auditors, such an explanation should be backed up by relevant regulatory frameworks where possible.
(f) Where a comment has been made by the auditors on specific revenue or expense figures as included in the final accounts that need to be supported, the response must provide such relevant supporting documentation e.g. payments made without supporting documentation.
(g) Where a loss has been reported that must be made good of, the response should provide documentation regarding the recovery of the loss and stipulated time frame.
(h) Where a case as reported by the auditors requires immediate disciplinary action, the response must contain relevant documentation to back up any disciplinary action taken e.g. Police report for cases reported to the Police or higher authorities.
(i) Where a recommendation has been made by auditors on areas that would result in improved operational efficiencies and economies, the response should positively acknowledge such recommendations and a time frame within which such recommendations, where practically possible, would have been implemented.

14.4.7 Submission of Responses

Once the report containing the audit responses has been compiled, it shall be submitted to the National Audit Office (NAO) through the NLGFC.

It must be noted that auditors' management letters as issued to the Local Authorities are aimed at serving the Local Authorities interests. Indeed, if satisfactorily addressed, some of the matters that would have adversely affected the final audit report may be taken out of the auditors' report.

Appendix 14.1: Risk Register

ID	**Date raised**	**Risk Description**	**Likelihood of the risk occurring**	**Impact if the risk occurs**	**Severity** *Rating based on impact & likelihood.*	**Owner** *Person who will manage the risk.*	**Mitigating action** *Actions to mitigate the risk e.g. reduce the likelihood.*	**Contingent Action** *Action to be taken if the risk happens.*	**Progress on Actions**	**Status**
1	[enter date]	Project purpose and need is not well-defined.	Medium	High	High	Project Sponsor	Complete a business case if not already provided and ensure purpose is well defined on Project Charter and PID.	Escalate to the Project Board with an assessment of the risk of runaway costs/ never-ending project.	Business case re-written with clear deliverables and submitted to the project board for approval.	Open
2	[enter date]	Project design and deliverable definition is incomplete.	Low	High	High	Project Sponsor	Define the scope in detail via design workshops with input from subject matter experts.	Document assumptions made and associated risks. Request high risk items that are ill-defined are removed from scope.	Design workshops scheduled.	Open
3	[enter date]	Project schedule is not clearly defined or understood	Low	Medium	Medium	Project Manager	Hold scheduling workshops with the project team so they understand the plan and likelihood of missed tasks is reduced. Share the schedule and go through upcoming tasks at each weekly project progress meeting.	Revisit the schedule with the project team. 'Relaunch' the schedule.	Workshops scheduled.	Open

FINANCIAL STATEMENTS FOR THE YEAR ENDED 30TH JUNE, 20XX-

CHAIRPERSON'S/ MAYOR'S FOREWORD

On behalf of xxxxxxxxxxx Local Authority and officials, I hereby present these Financial Statements for the Year ended xxxxxxxxxx as Chairperson/Mayor of xxxxxxx Local Authority. The Financial Statements outlines our performance on the targets set to be done over this period. The Financial Statements further gives our residents and stakeholders an insight into the **performance**, **achievements, challenges** and **opportunities** of the Local Authority.

XXX Phiri
Mayor/ Chairperson

DISTRICT COMMISSIONER'S/ CHIEF EXECUTIVE OFFICER'S STATEMENT

I have the pleasure in submitting a report on the financial statements of the Local Authority for the year ended 30th June, 20xx.

The Statement should highlight the following:

General Information of the Local Authority:

- Nature of business
- Vision
- Mission
- Core Values
- Achievements for the year
- Challenges
- Opportunities
- Financial performance highlights (Revenue, Expenditure)

XXX Banda
District Commissioner/ Chief Executive Officer

STATEMENT OF MANAGEMENT RESPONSIBILITIES

(This is standard)

XX Bowa

Chief Executive Officer/ District Commissioner

XX Gwirang'ombe

Director of Finance

STATEMENT OF FINANCIAL POSITION

XXXXXXXXXXX Local Authority			
Statement of Financial Position as at 30th June 2020			
		2019/20	2018/19
ASSETS	Notes	K'000	K'000
Current Assets			
Cash and cash equivalent	1	-	-
Receivables	2	-	-
Inventory	3	-	-
Prepayments	4	-	-
Other Current Assets	5	-	-
Total Current Assets		-	-
Non-Current Assets			
Receivables	6	-	-
Investments in Associates	7	-	-
Property, Plant and Equipment	8	-	-
Land and Buildings	9	-	-
Intangible Assets	10	-	-
Total Non-Current Assets		-	-
Total assets		-	-
LIABILITIES			
Current Liabilities			
Payables	11	-	
Short-Term Borrowings	12	-	
Current portion of long-term borrowings	13	-	
Short-term provisions	14	-	
Employee Benefits**	15	-	
Superannuation**	16	-	
Total Current Liabilities		-	-
Non-Current Liabilities			
Payables	17	-	-
Long-term Borrowings	18	-	
Long-term Provisions	19	-	
Employee Benefits**	20	-	
Superannuation**	21	-	
Total Non-current Liabilities		-	-
Total Liabilities		-	-
Net assets/ liabilities		-	-
NET ASSETS/ EQUITY			
Capital Contributed by Other Government Entities	22	-	

Reserves	23	-	
Accumulated Surpluses/Deficits	24	-	
Non-Controlling Interest	25	-	-
Total Equity & Liabilities		-	-

STATEMENT OF FINANCIAL PERFORMANCE BY NATURE

XXXXXXXXXX Local Authority				
Statement of Financial Performance by Nature for the period ending 30th June 2020				
	Notes	**2019/20**		**2018/19**
REVENUE				
Taxes (Property Rates)	**26**	-		
Fees, Fines, Penalties & Licenses	**27**	-		
Revenue from Exchange Transactions	**28**	-		
Central Government Transfers	**29**	-		
Donor Funds	**30**	-		
Transfers from other government entities	**31**	-		
Other Revenue	**32**	-		-
Total revenue		-		-
EXPENSES				
Operational Expenses(Items 21,22,23,26,28,29,30,34,35,49)	**33**	-		
Wages, Salaries & Employee Benefits(Items 11,45,46,47)	**34**	-		
Grants & Other Transfer Payments (Items 39, 40)	**35**	-		
Donor Expenses (Item 57)	**36**	-		
Supplies & Consumables used(Items 24,25,27,31,32,33,36)	**37**	-		-
Depreciation & amortization expenses (Item 3356)	**38**	-		-
Impairment of Property, Plant & Equipment	**39**	-		-
Other Expenses (Items 33, 48, 50, 52)	**40**	-		-
Finance Costs (Item 51)	**41**	-		-
Capital Outlay(Items 54, 55,56)	**42**	-		-
Expenses Total		-		-
Share of Surplus of Associates		-		-
Surplus/(Deficit) for the period		-		-
Attributable to:				
Owners of the controlling entity	**43**	-		-
Non-controlling interest	**43**			
Surplus/(Deficit) for the period		-		-

STATEMENT OF CHANGES IN NET ASSETS/ EQUITY

	XXXXXXXXX Local Authority					
Statement of changes in net assets/equity for 2020						
	Capital Contributed by Other Government Entities	Reserves	Accumulated Surplus/ (Deficit)	Sub-Total	Non-Controlling Interest	Total Net Assets/ Equity
Balance as at 1st July.....	-	-	-	-	-	-
Changes in Accounting Policies				-		-
Re-stated Balance	-	-	-	-	-	-
Changes in Net Assets/ Equity						
Movement in equity	-					
Revaluation surplus/ Deficit		-		-		-
Net Revenue Recognized directly in net assets/equity	-	-	-	-		-
Surplus/ Deficit for the period			-	-		-
Total recognized revenue & expense for the period	-	-	-	-		-
Balance carried forward	-	-	-	-	-	-

STATEMENT OF CASHFLOW

XXXXXXXXX Local Authority			
Statement of Cash flow for the year ended 30th June 2020			
	K'000		**K'000**
Cashflow from operating activities			
Receipts			
Taxes (Property rates)			
Fees, Fines, Penalties & Licenses			
Revenue from Exchange Transactions			
Central Government Transfers			
Donor Funds			
Transfers from other government entities			
Other Revenue			
Total receipts	-		-
Payments			
Operational Expenses(Items 21,22,23,26,28,29,30,34,35,49)			
Wages, Salaries & Employee Benefits(Items 11,45,46,47)			
Grants & Other Transfer Payments (Items 39, 40)			
Donor Expenses (Item 57)			
Supplies & Consumables used(Items 24,25,27,31,32,33,36)			
Depreciation & amortization expenses (Item 41)			
Impairment of Property, Plant & Equipment			
Other Expenses (Items 33, 48, 50, 52)			
Finance Costs (Item 51)			
Capital Outlay(Items 54, 55,56)			
Total Payments	-		-
Net cashflow from Operating activities	-		-
Cashflow from Investing Activities			
Purchase of Plant and Equipment			
Proceeds from Sale of Plant and Equipment			
Proceeds from sale of investments			
Net Cashflow from Investing activities	-		-
Cashflow from Financing activities			
Proceeds from Borrowings			
Repayments of borrowings			
Net Cashflow from Financing activities	-		-
Net Increase/(Decrease) in cash and cash equivalents			
Cash and cash equivalents at the beginning of period	-		
Cash and cash equivalents at the end of period			

NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 30TH JUNE 2020

Basis of Preparation

Statement of compliance

The financial statements have been prepared in accordance with the International Public Sector Accounting Standards (IPSAS) Accrual basis transitional recommendations - Stage 3, the Public Finance Management Act, 2003 and the Revised Local Authorities Accounting and Financial Management Procedures, 2009.

The financial statements are prepared in terms of the historical cost convention with the exception of certain non-current assets, which are included at valuation and cost. No other procedures have been adopted to reflect the impact on the financial statements of specific price changes or changes in the general level of prices. The principal accounting policies are set out below.

Basis of measurement

The financial statements have been prepared under the historical cost modified for available for sale securities and the revaluation of certain assets. The Cash flow statement has been prepared using the direct/ method. The financial statements have been prepared on International Public Sector Accounting Standards (IPSAS) transitional recommendations - Stage 3.

Functional and presentational currency

The financial statements are presented in Malawi Kwacha, which is the Local Authoritys' functional currency. All financial information presented in Malawi Kwacha has been rounded off to the nearest thousand.

Key judgments and sources of accounting estimates

The preparation of financial statements requires judgments, estimates and assumptions that affect the application of policies and reported amounts of assets and liabilities, income and expenses.

The key judgments management made in preparing the financial statements are as follows:

(a) Available for sale securities are realizable at their current market values.

(b) The lives of intangible assets and property, plant and equipment are at least that set out in notes.....

Key estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognized in the period in which the estimate is revised, if the revision affects only that period, or in the period of the revision and future periods if the revision affects both the period of revision and future periods.

**The key estimate management made in preparing the financial statements concerns the impairment provision for xxxxxxxx as set out in note.....

Adoption of new and revised standards

***State the impact of new and revised standards adopted during the year and the expected impact of new and revised standards not yet adopted. Disclosure should advise whether the impact is likely to be material or not and if it is material the impact should be quantified.

***State the basis of treatment of transactions in relation to the applicable standard used

*** In each of the standards/policies used, outline the applicable transactions falling under it

***Also group the standards in accordance with parts of financial statement they represent e.g. Revenue, Expenditure, Assets etc.

Significant Accounting policies

The following are the accounting policies adopted by the Local Authority which are in agreement with LA accounting practice and used consistently in the preparation of the financial statements.

Transitional IPSAS Financial Statements (IPSAS 33)

The Financial statements have been prepared in accordance with Malawi's road map on adoption of IPSAS accrual from cash basis. The Local Authority has adopted IPSAS 33 which provides guidelines relating to First time adoption of IPSAS accrual in preparation of financial statements.

Accounting Policies, changes in Accounting estimates and Errors (IPSAS 3)

In the application of the accounting policies, management is required to make judgments, estimates and assumptions about the carrying amounts of assets and liabilities that are not readily available from other sources. The estimates and associated assumptions are based on historical experience and other factors that are relevant. Actual results may differ from these estimates. The estimates and underlying assumptions are reviewed on an on-going basis.

Changes in accounting policy are recognized retrospectively and revisions to accounting errors and estimates are recognized prospectively in the financial statements

The Effects of Changes in Foreign Exchange Rates (IPSAS 4)

Items included in the financial statements are measured and presented in Malawi Kwacha, the functional currency of the primary economic environment in which the Local Authority operates.

Foreign currency transactions are translated into the functional currency using the exchange rates prevailing at the dates of the transactions or valuation where items are re-measured. Foreign exchange gains and losses resulting from the settlement of such transactions and from the translation at year-end exchange rates of monetary assets and liabilities denominated in foreign currencies are recognised in the statement of financial performance. The Local Authority does not currently have any hedging arrangements

Revenue (IPSAS 23)

Revenue is gross inflow of economic benefits during the period arising in the course of the ordinary activities of the Local Authority. Property rates which is the Local Authoritys main source of revenue is recognized on accrual basis.

Revenue from Exchange Transactions (IPSAS 9)

These are transactions from which an entity receives assets or services or has liabilities extinguished, and directly gives approximately equal value (primarily I form of cash, goods, services or use of assets) to another entity in exchange, e.g. rest house rentals and rates

Accounting for Government Grants (IPSAS 23)

The Local Authority receives assistance from Government in form of transfer of resources relating to the operating activities of the Local Authority. The Local Authority recognizes government grants as income over the relevant periods to match them with related costs which they have been received to compensate in accordance with IPSAS 23.

Borrowing costs (IPSAS 5)

Borrowings are recognized initially at fair value, net of transaction costs incurred. Borrowings are subsequently stated at amortized cost; any difference between the proceeds (net of transaction costs) and the redemption value is recognized in the statement of financial performance over the period of the borrowings using the effective interest method.

Fees paid on the establishment of loan facilities are recognized as transaction costs of the loan. The fee is capitalized and amortized over the period of the facility to which it relates.

Borrowings are classified as current liabilities unless Local Authority has an unconditional right to defer settlement of the liability for at least 12 months after the statement of financial position date. Borrowing costs that are directly attributable to the acquisition, construction or production of a qualifying asset are capitalized and included in the cost of that asset. A qualifying asset is an asset that necessarily takes a substantial period of time to get ready for its intended use or sale. Public Sector Entity had no such qualifying assets during the year.

All other borrowing costs are recognized as expenses in the period in which they are incurred.

Property plant and equipment (IPSAS 17)

All property, plant and equipment are stated at historical cost/ fair value less depreciation. Cost includes expenditure that is directly attributable to the acquisition of the items. Where an asset is acquired for nil or nominal consideration the asset is initially recognized at fair value, where fair value can be reliably determined, and a credit recognized as income in the statement of financial performance.

Subsequent costs are included in the asset's carrying amount or recognized as a separate asset, as appropriate, only when it is probable that future economic benefits or service potential associated with the item will flow to Local Authority and the cost of the item can be measured reliably. The carrying amount of a replaced part is derecognized. All repair and maintenance are charged to the statement of financial performance during the financial period in which it is incurred.

Depreciation on assets is charged on a straight-line basis at rates calculated to allocate the cost or valuation of the asset less any estimated residual value over its remaining useful life:

Property, plant and equipment are depreciated on the straight-line basis as follows;

Motor Vehicle 5 years

Motor cycles 5 years

Plant 7 years

Buildings 20 years

Computers 4 years

Office Equipment 4 years

Fixtures 4 years

Furniture 4 years

Leased Assets (as asset category above)

The assets' residual values and useful lives are reviewed, and adjusted if appropriate, at the end of each reporting period. Local Authority's assesses annually whether there is any indication that an asset may be impaired. An asset's carrying amount is written down immediately to its recoverable amount or recoverable service amount if the asset's carrying amount is greater than its estimated recoverable amount or recoverable service amount.

An item of property plant and equipment is recognized in accordance with Local Authority policy on fixed assets. An asset is derecognized upon disposal or when no future economic benefits from the asset are expected to flow to the Local Authority.

Inventory (IPSAS 12)

Inventory is measured at the lower of cost and net realizable value. Costs include expenditure incurred in acquiring the inventories and bringing them to their existing location and condition. Net realizable value is the estimated selling price in the ordinary course of business, less the estimated Cost of completion and selling expenses.

Financial Instruments (IPSAS 29,30)

Financial instruments are recognized in the statement of financial position when the entity becomes a party to the contractual provisions of the instrument.

The Local Authority presents its financial assets and financial liabilities in the statement of financial position in accordance with IPSAS 30. These financial instruments include cash, trade receivables and trade payables

The Local Authority is exposed to a number of risks namely;

Credit Risk

This is when one party to the contract causes financial loss to another party by failing to discharge an obligation under the contract.

To mitigate against credit risk, the Local Authority ensures that it identifies, measures, controls and monitors this credit risk by putting in place internal controls.

Interest Rate Risks

This is when interest rates fluctuate unfavorably resulting in financial loss to the Local Authority. The Local Authority mitigate against interest rate risk through hedging.

Market Risks

Market risk is the risk that changes in market prices, such as interest rate affect the Local Authoritys income or the value of its holdings of financial instruments. The objective of market risk management is to manage and control market risk exposures within acceptable parameters.

During the year there were no significant market price changes that affected the Local Authoritys operations.

Financial guarantee contracts

The Local Authority does not enter into financial guarantee contracts and currently does not have any financial guarantee obligation.

Liquidity risk

Liquidity risk is the risk of Local Authority not being able to meet its obligations as they fall due. Local Authority's approach to managing liquidity risk is to ensure that sufficient liquidity is available to meet its liabilities when due, without incurring unacceptable losses or risking damage to the Local Authority's reputation. The Local Authority ensures that it has sufficient cash on demand to meet expected operating expenses through the use of cash flow forecasts.

Financial assets (IPSAS)

Loans to employees

Loans to employees are provided to assist with emergency support, schools, general purpose. Loans are repayable in 12 - 36 monthly installments.

Receivables from exchange transaction and non-exchange transactions

Receivables from exchange transactions are recognized initially at fair value and subsequently measured at amortized cost using the effective interest method, less provision for impairment. A provision for impairment of receivables is established when there is objective evidence that Local Authority will not be able to collect all amounts due according to the original terms of the receivables.

Receivables from non-exchange transactions comprises; fees, taxes and fines (and any penalties associated with these activities) as well as social benefit receivables that do not arise out of a contract. These receivables are initially assessed at nominal amount or face value; that is, the receivable reflects the amount of tax owed, levy, fine charged, or social benefit debt payable. These receivables are subsequently adjusted for penalties as they are charged, and tested for impairment. Interest and penalties charged on tax receivables are presented as tax revenue in the statement of financial performance.

The Cash Flow Statement (Cash and cash equivalents) (IPSAS 2)

Cash is actual money and on demand deposits.

Cash equivalents are short-term, highly liquid investments that are readily convertible to known amounts of cash and which are subject to an insignificant risk of changes in value.

Bank overdraft is taken as part of cash equivalent and for the purpose of the statement of cash flows, cash and cash equivalents are presented net of bank overdrafts.

Employee Benefits (IPSAS 39)

The Local Authority provides for a Defined Contribution Plan to its employees where it pays a fixed amount (The employer contributes 19.5% and the employee contributes 5% of basic salaries) into funds administered by National Insurance Company (NICO). The Local Authority has no legal or constructive obligation to pay further contributions if the fund does not hold sufficient assets to pay all employee benefits relating to employee service in the current and prior periods.

Leases (IPSAS 13)

Finance lease is a lease where the entire risks and rewards incidental to ownership of an asset are substantially transferred to the Local Authority. IPSAS 13 requires that a finance lease should be recorded in the statement of financial position of lessee as an asset and as an obligation to pay future lease payments. Operating Lease is a lease of which a fee is expensed on the part of the lessor and risks and ownership does not transfer to an uncompleted contract committing the lessor to provide the use of an asset in future periods in exchange in exchange for consideration similar to a fee for a service.

Assets held under a finance lease are capitalized at the commencement of the lease at the fair value of the leased property or, if lower, at the present value of the future minimum lease payments. The Local Authority also recognizes the associated lease liability at the inception of the lease. The liability recognized is measured as the present value of the future minimum lease payments at initial recognition.

Operating Lease is a lease of which a fee is expensed on the part of the lessor and risks and ownership does not transfer to and is an uncompleted contract committing the lessor to provide the use of an asset in future periods in exchange in exchange for consideration similar to a fee for a service.

Payments made under operating leases (net of any incentives received from the lessor) are charged to the statement of financial performance on a straight-line basis over the period of the lease.

Subsequent to initial recognition, lease payments are apportioned between finance charges and reduction of the lease liability so as to achieve a constant rate of interest on the remaining balance of the liability. Finance charges are recognized as finance costs in surplus or deficit.

An asset held under a finance lease is depreciated over the useful life of the asset. However, if it is not reasonably certain that the Local Authority will obtain ownership of the asset by the end of the lease term, the asset is depreciated over the shorter of the estimated useful life of the asset and the lease term.

Where the Local Authority has entered into property leases of certain of its properties. The Local Authority has determined, based on an evaluation of the terms and conditions of the arrangements, (such as the lease term not constituting a substantial portion of the economic life of the commercial property) that it retains all the significant risks and rewards of ownership of these properties and accounts for the contracts as operating leases and recognize the fees/charges thereof as income to the Local Authority.

Events after the reporting period (IPSAS 14)

These are events after the reporting period that provide further evidence of conditions and are indicative of condition that existed at the end of the reporting period.

There were no significant events after the reporting period.

Provisions, contingent liabilities and contingent assets (IPSAS 19)

These are provisions that are recognized when there is a present obligation resulting from a past event which will result in an outflow of economic benefit.

Local Authoritys to make provisions of not more than 5%

Appendices

Statement of comparison between Budget and Actual

XXXXXX Local Authority			
(Classification of Payments by Function)			
	Budgeted Amounts		
	Approved Budget 2019/2020	**Revised Budget 2019/2020**	**Actual 2019/2020**
Receipts			
Taxes (Property Rates)			
Fees, Fines, Penalties & Licenses			
Revenue from Exchange Transactions			
Central Government Transfers			
Donor Funds			
Transfers from other government entities			
Other Revenue			
Total receipts	-	-	-
Expenses			
General Public Services			
Agriculture			
Water			
Rural Housing			
Education			
Health			
Trade			
Community Services			
Gender			
Environment and Forestry			
Fisheries			
Labour and Youth			
NRB			
Irrigation			
Immigration			
Sports			
Disaster Management			
Development Expenses (CDF, IDF & DDF)			
Refuse collection and disposal			
Total Expenses	-	-	-
Net Receipts (Payments)	-	-	-

Schedules